FINANCIAL STABILITY REPORT

2025-I

May 30, 2025



TÜRKİYE CUMHURİYET MERKEZ BANKASI

Foreword

As the Central Bank of the Republic of Türkiye, we closely monitor financial stability issues and publish the biannual Financial Stability Report as a platform to share a summary of the recent developments with the public.

Since the previous issue of the report, the disinflation process has continued unabated as financial conditions have remained tight.

As a result of our tight monetary policy stance, loan growth has remained in line with the disinflation path. Pricing in financial markets reflects developments in the policy rate and expectations. We continued to use the macroprudential framework as a complementary tool to the policy rate. The recent steps taken within this framework have led to deceleration in FX loan growth, in turn leading to a stronger monetary policy transmission mechanism.

Despite the recent developments in financial markets, the tightening of monetary policy stance and the ongoing disinflation process have supported interest in Turkish lira assets. Hence, the share of Turkish lira deposits has remained on a stable course at historically high levels. The decline in the FX-protected deposit balance has continued, and the risks on the central bank balance sheet have significantly diminished.

CBRT's prompt reaction and resolute stance in the face of recent market turbulence has limited the impact on Türkiye's sovereign risk premium. As a result, external debt rollover ratios of corporate and banking sectors remained high. Despite tightening financial conditions, the deterioration in asset quality has been limited. Moreover, banks' prudent provisioning policies, along with their adequate capital and liquidity buffers keep risks at manageable levels.

I hope that the 40th volume of our Financial Stability Report, which covers current developments regarding financial stability, will be of benefit to all readers.

Fatih KARAHAN, Ph.D.

Governor

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I. Overview

Uncertainties in global trade policies increased market volatility and affected portfolio flows adversely. The global economic policy uncertainty index has surpassed the peak recorded in the pandemic period. Amid geopolitical developments, the US dollar weakened against the currencies of advanced economies, while the long-term bond yields of advanced economies increased. Due to global risks, emerging economies have experienced a rise in credit default swap premiums and outflows from portfolio investments.

Commercial loan growth remained almost flat, and the growth composition evolved in favor of the Turkish lira (TL) since March 2025. Amid the tight monetary policy and accommodative macroprudential framework, commercial loans moved in line with the growth limits. The reduction of the monthly foreign currency (FX) commercial loan growth cap to 0.5%, the narrowing of the scope of exemptions, and the volatility in FX markets in March caused a slowdown in FX commercial loan growth, while TL commercial loan growth slightly accelerated. On the other hand, the growth rates in the segments exempted from the macroprudential limits are higher. The current level of commercial loan interest rates indicates that financial conditions remain tight and commercial loan growth will likely continue its moderate course.

In retail loan growth, while the personal credit cards (PCC) and general-purpose loans remain as the main drivers, the pace of growth slightly decelerated in 2025. The slowdown in retail credit growth is associated with the tight monetary policy stance. While the slowdown in PCC growth was notable, the general-purpose loan growth remained flat on the back of overdraft account (ODA) utilization. General-purpose loans, excluding overdraft accounts, remained below the 2% monthly growth limit. Meanwhile, the annual growth in housing loans edged up, driven by the decline in housing prices in real terms since the beginning of 2024, the accumulated housing demand, and reduced housing loan rates.

The adverse impact of the tightening in financial conditions on asset quality remains limited. The banking sector's non-performing loan (NPL) ratio maintains its moderate upward trend. The NPL ratio of retail loans has increased in the general-purpose loans and credit cards sub-segments, while the NPL ratio of corporate loans has increased slightly due to SME loans. Although the restructuring facility introduced in the last quarter of 2024 for PCC debts and general-purpose loans partially slowed the deterioration in the retail loan asset quality outlook, risks continue to increase for these loans. Provisions for loans and NPLs continue to be high, limiting the adverse effects of rising credit risk on bank balance sheets.

Financial indebtedness of the corporate sector continues to decline and is significantly below the average of peer countries. Strong FX loan growth and the preference for TL-denominated assets had increased the balance of the corporate sector's FX short position until March. In the following period, the widening in the FX short position muted amid stronger growth restrictions and increased demand for FX assets. Moreover, during the period of wider FX short position, the rise in the share of FX loans held by firms with FX income limited the risks stemming from the short position to some extent. The external debt rollover ratios of the corporate sector's external FX borrowings remain high, exceeding 140%.

While the household debt-to-GDP ratio remains significantly low, the weight of TL-denominated assets in the financial asset composition has increased. The share of PCC and ODA balances in household debt composition increased. The debt per capita and debt to income ratio increased in general-purpose loans due to the rise in ODA utilization, but decreased in PCCs. In addition to tight financial conditions, the shortening maturity of retail loans may lead to an increase in the credit risk of certain individuals with debt / income mismatches. The continued growth in short-term and unsecured retail loans keeps risks in this segment alive. While the weight of TL-denominated assets in households' financial asset composition has increased, the share of FX and FX-protected products continues to decline. Moreover, the share of alternative financial instruments such as mutual funds and pension systems in the asset composition still elevates.

Banks' TL and FX liquidity buffers remain strong. Liquidity indicators such as the liquidity coverage ratio and the loan-to-deposit ratio maintain their favorable outlook. Since March, the TL liquidity surplus in the financial system has rapidly turned into a deficit, mainly due to non-residents' exit from TL-denominated assets. Until the first half of April, residents' demand for FX-denominated assets increased the amount of liquid FX assets held by banks. The tightening measures introduced by the CBRT in March and April have supported the preference for Turkish lira. Although the share of real and legal persons' TL deposits has been affected by recent financial volatilities, it is still at high levels.

Despite rising global uncertainties, Turkish banks' FX borrowing from abroad has been increasing. Although the rise in global uncertainty constitutes a risk factor for the external borrowing costs, its negative impact on banks' external financing conditions has been limited. Most of the syndicated loans maturing in April and May were renewed with high rollover ratios and some decline in borrowing costs. Banks' total external debt rollover ratios have been flat at high levels. In the upcoming period, global factors are expected to play a determining role in the cost of long-term external borrowing.

The impact of recent developments in financial markets and the rise in funding costs on banks' balance sheets is considered to be manageable. Thanks to the considerable level of the TL securities portfolio on bank balance sheets recorded at amortized cost, the impact of the rise in TL bond yields on balance sheets is insubstantial. The shortening in maturities of credits and securities also reduces the impact of interest rate shocks on bank balance sheets. In this context, it is assessed that against any potential interest rate shock, banks have a risk profile and balance sheet structure that are consistent with regulatory limits.

Banks' profitability is on a recovery trend. Interest rate cuts between December 2024 and March 2025 positively impacted the net interest margin, while the steps such as increasing the remuneration rate applied to required reserves maintained for Turkish lira deposits and reducing the TL-denominated reserve requirement ratio to be maintained for FX deposits also boosted the net interest income. These developments are expected to offset the negative impact of the rate hikes in March and April on profitability. Moreover, the strong course of fee, commission, and service income continues to support banks' profitability. Meanwhile, the rise in provision expenses for loans curbs the improvement in profitability.

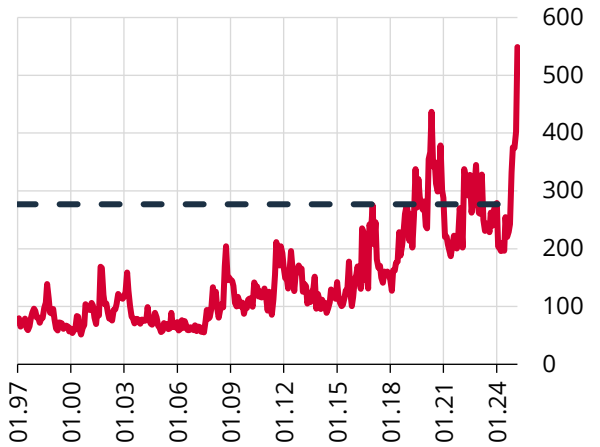
The banking sector's capital adequacy hovers above legal limits and close to the long-term average, indicating the sector's resilience. Banks' subordinated debt instruments issued abroad and the alignment of loan risk weights with Basel standards supported capital ratios. In addition to holding capital buffers above legal limits, the high amount of free provisions prudently set aside increases banks' capacity to absorb potential short- and medium-term shocks.

II. Global Financial Outlook

New tariffs and heightened geopolitical tensions have increased uncertainties in the global macroeconomic conjuncture and markets have become increasingly volatile due to mounting risks.

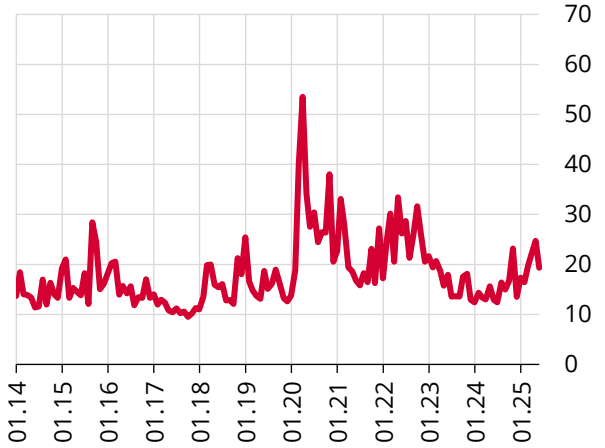
In response to rising geopolitical tensions, disruptions in the global supply chain, exogenous supply-side shocks and the recent US decisions on tariffs, the Economic Policy Uncertainty Index exceeded the pandemic era peaks (Chart II.1). While the Economic Policy Uncertainty Index hit a historic high, global markets became highly volatile due to increased vulnerability and risks in world trade, and risk appetite declined significantly (Chart II.2).

Chart II.1: Economic Policy Uncertainty Index (Index)



Source: An Index of Global Economic Policy Uncertainty, Davis (2016)
Last Observation: 03.25
Note: Dashed line shows the 12.19–03.25 average.

Chart II.2: VIX Volatility Index (Index)

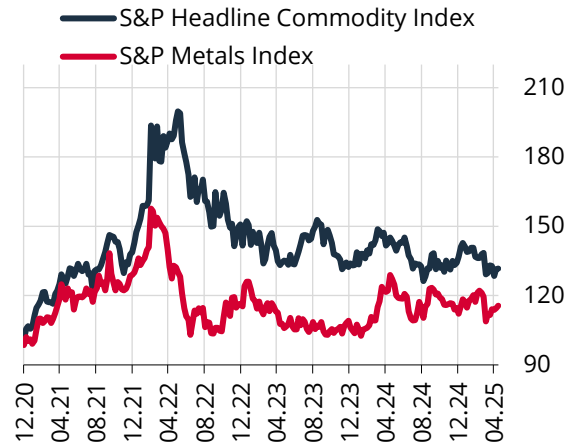


Source: Bloomberg
Last Observation: 28.05.25

Oil and commodity prices retreated amid expectations of a slowdown in the global growth outlook, while gold prices hit historic highs as gold is considered a safe haven.

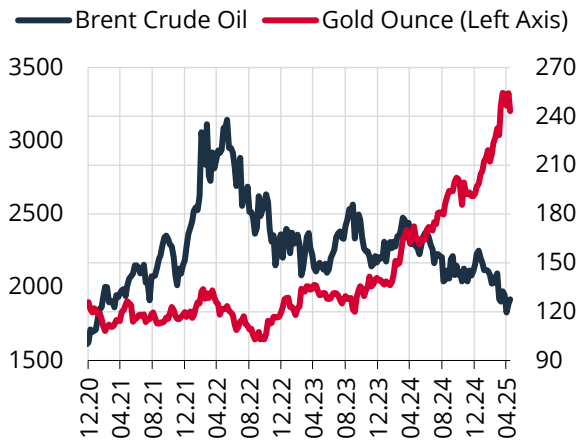
Having increased due to the global economic recovery in the post-pandemic period, oil and other commodity prices have declined significantly since the second half of 2022. Prices of metals, energy and other commodities remained almost flat at moderate levels, and the inflationary impact of these commodity groups on global economies remained limited (Chart II.3). Although flat commodity prices affect the global inflation outlook favorably, uncertainties in global trade dynamics have a negative impact on the growth outlook of countries. Expectations of a slowdown in global growth caused Brent oil prices to converge to their pre-pandemic levels. In the same period, rising global risks, selling pressure on US bonds and large-scale purchases by central banks and investment funds drove gold prices to historic peaks (Chart II.4).

Chart II.3: Headline Commodity and Metal Index (Index, 25.12.2020=100)



Source: Bloomberg Last Observation: 16.05.25

Chart II.4: Brent Crude Oil Index and Gold Prices (Index, 25.12.2020=100; Ounce/USD)



Source: Bloomberg Last Observation: 16.05.25

As the US dollar weakened globally, US long-term bond yields rose.

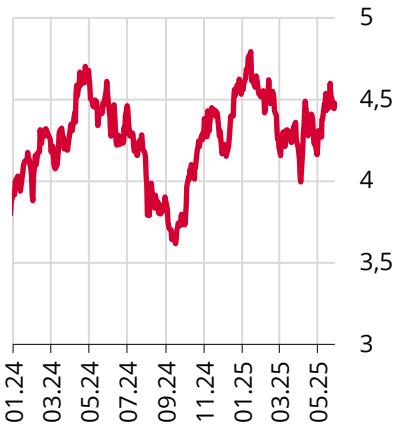
The recent US tariff decisions on imported products had a negative impact on the US economic growth and inflation outlook. The US dollar weakened globally as the new trade policies exacerbated risks to the US economy and trade (Chart III.5). As a result of these developments, there was a significant outflow from US bonds, although 10-year bond yields declined partially after March, they remained above 4% (Chart II.6). The anticipated increase in defense spending in Europe due to geopolitical developments and the expected widening in the public budget deficit accelerated the selling of European bonds, while bond yields rose and led to the appreciation of the euro. Japanese bond yields also increased in view of improving expectations for the country's inflation outlook and the tightening in monetary policy. The economic growth outlook for China, which is expected to be affected most by the additional US import tariffs, has deteriorated. This appears to explain why China's bond yields and economic growth prospects remain weak (Chart II.7).

Chart II.5: US Dollar Index (Nominal, January 2006=100)



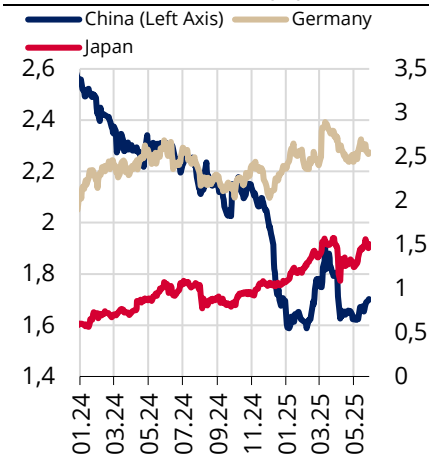
Source: FRED Last Observation: 23.05.25

Chart II.6: US 10-Year Bond Yields (%)



Source: Bloomberg Last Observation: 28.05.25

Chart II.7: 10-Year Bond Yields in Other Countries (%)

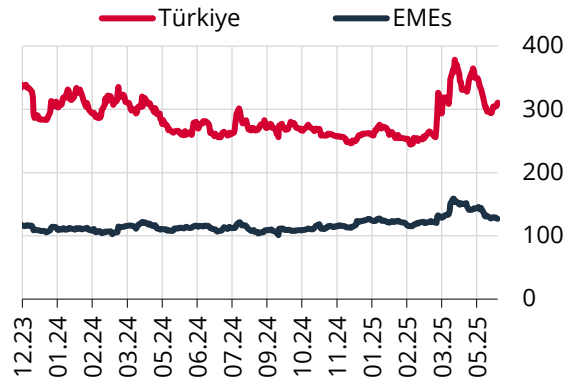


Source: Bloomberg Last Observation: 28.05.25

Credit default swap (CDS) premiums of emerging market economies (EMEs) rose but the increase in their implied exchange rate volatilities remained limited.

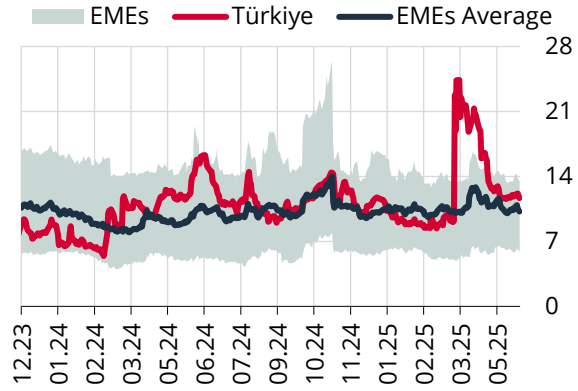
The lingering uncertainties regarding global trade policies have increased due to recent protectionist steps, and risks to the global economy and financial markets have become more evident. While EMEs were adversely affected by elevated uncertainties in global trade dynamics, CDS premiums increased slightly, reflecting the heightened risks across EMEs, but then recently converged to their previous levels (Chart II.8). Although risks increased worldwide, the reaction in the implied exchange rate volatility of EMEs was limited. Türkiye's exchange rate volatility converged to the EME average following a temporary rise (Chart II.9).

Chart II.8: Credit Default Swap (CDS) Premiums (Basis Points)



Source: Bloomberg Last Observation: 28.05.25

Chart II.9: Exchange Rate Volatility Implied by Options (1 Month)



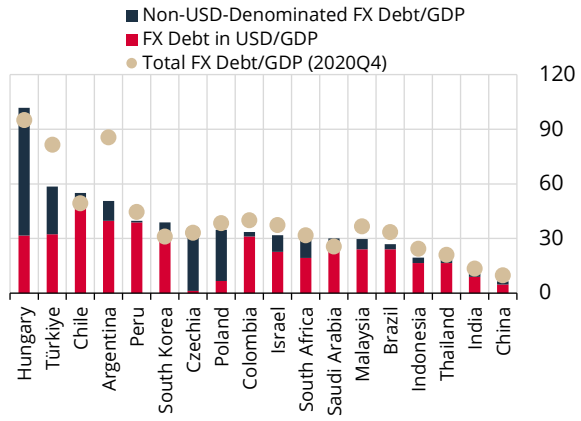
Source: Bloomberg Last Observation: 28.05.25

Note: EMEs include Brazil, Chile, Colombia, Mexico, Poland, the Philippines, Malaysia, South Africa, Indonesia, Romania, and Hungary.

EMEs have recently experienced a significant outflow of funds amid mounting global risks.

While the ratio of EMEs' FX-denominated debt to gross domestic product (GDP) remains close to 2020 levels, Türkiye's FX debt/GDP ratio has declined significantly. Across EMEs, the US dollar has a significant weight in FX-denominated borrowing (Chart II.10). Therefore, recent weakening trend in dollar may favorably affect the FX debt composition and cost of Türkiye and EMEs. On the other hand, the current uncertainties in the global economic outlook, additional import tariffs imposed by the US and risks to EMEs' export prospects caused a decline in the risk appetite towards EME markets and led to portfolio outflows from bond and equity markets (Chart II.1.1).

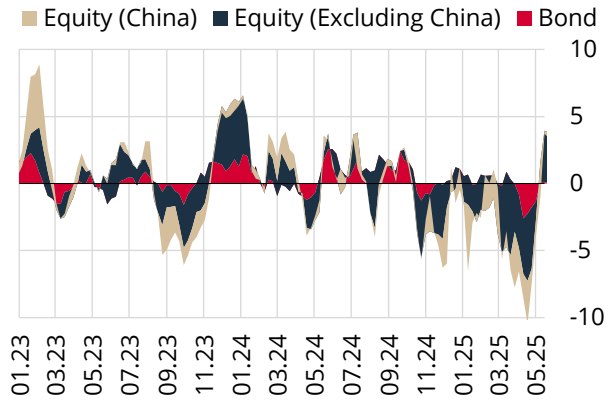
Chart II.10: FX Debt/GDP in EMEs (%)



Source: IIF Last Observation: 03.25

Note: FX debt includes foreign currency debt of corporate, public and financial sectors.

Chart II.11: Weekly Fund Flows to EMEs (4-Week Average, USD Billion)

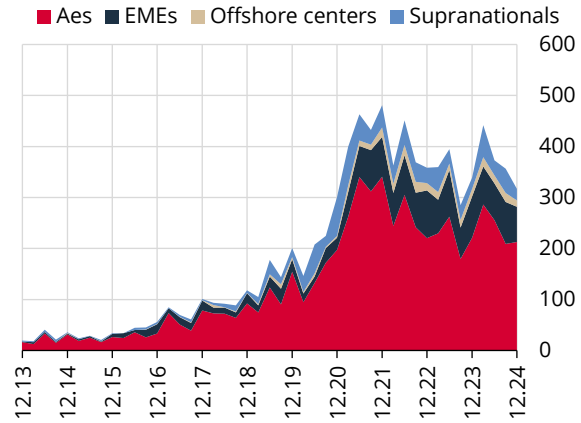


Source: Bloomberg Last Observation: 16.05.25

Advanced economies continue to have the largest share in environmental, social and governance (ESG) borrowing, while the weight of loans in debt composition has increased.

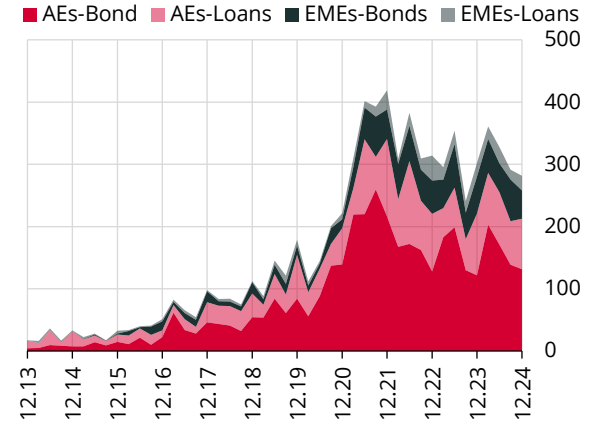
Although the increase in ESG borrowing has given way to a flat course, borrowing levels remain elevated in the current reporting period. While advanced economies (AEs) continue to have the largest share in ESG borrowing, their share in total borrowing edged down compared to the previous reporting period (Chart II.12). Both AEs and EMEs diversified their ESG debt composition, however the share of bank loans and bond issuances have recently increased (Chart II.13).

Chart II.12: ESG Borrowing (Billion USD)



Source: IIF Last Observation: 2024Q4

Chart II.13: Bond Issuances and Bank Loans for ESG Purposes (Billion USD)



Source: IIF Last Observation: 2024Q4

Note: EMEs, AEs, and offshore banking centers are the sum of 141, 35, and 24 different countries, respectively. Detailed information on country lists can be found on the Sustainable Debt Screen on the IIF corporate website. ESG borrowing can be in the form of both bond issuances and bank loans, and Chart II.1.13 analyzes this breakdown in detail for AEs and EMEs.

III. Non-Financial Sector

III.1 Household Developments

Household indebtedness remains significantly below the average of advanced and emerging economies.

In the first quarter of 2025, the household debt/GDP ratio in Türkiye (9.6%) was significantly below those of peer countries as well as its average in the 2012-2022 period (Chart III.1.1 and Chart III.1.2). The decline in the indebtedness ratio in recent years is attributed to the relatively high nominal GDP growth and the macroprudential policy framework for retail loans. [1] In addition to the macroprudential measures on retail loans, the tightening financial conditions have curbed the debt growth. During this time, when financial conditions remained tight, the considerably low level of personal indebtedness compared to other countries indicates that the risks driven by household debt remain manageable.

Chart III.1.1: Household Indebtedness in Türkiye (Debt/GDP, %)

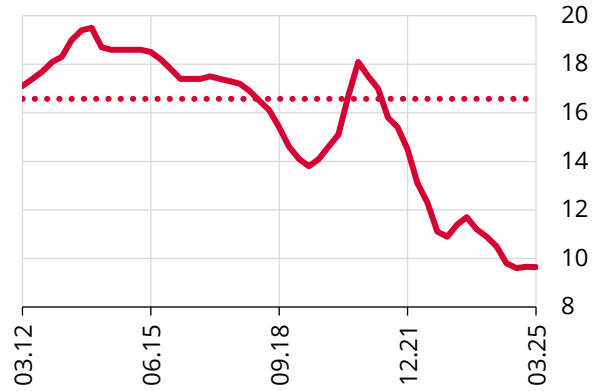
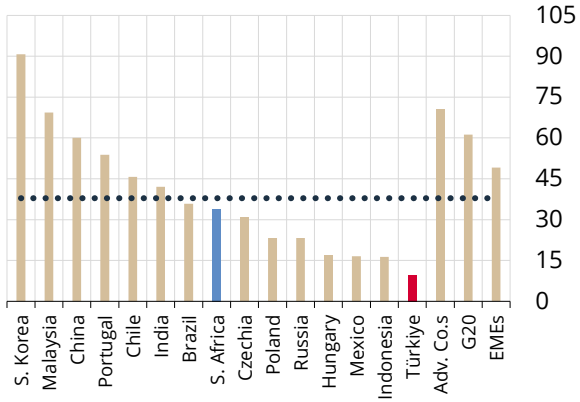


Chart III.1.2: Household Indebtedness in Peer Countries (Debt/GDP, %)



Source: BIS

Last Observation: 2024Q3

Note: Household indebtedness is calculated as the ratio of the total of debt securities and loans of households and nonprofit institutions serving households to GDP. The dashed line in Chart III.1.1 shows the average of the relevant values in the 2012-2022 period. Türkiye's data for 2024 Q4 and 2025 Q1 are estimated in Table III.1.1. The country marked in blue has median indebtedness in the sample. The dashed line in Chart III.1.2 shows the 2024Q3 average of the relevant sample.

Chart III.1.3: Ratio of Housing Loans to GDP (%)

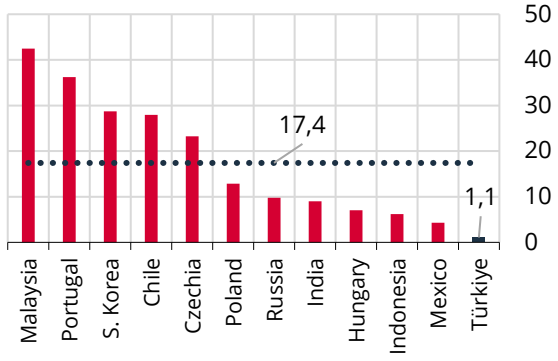
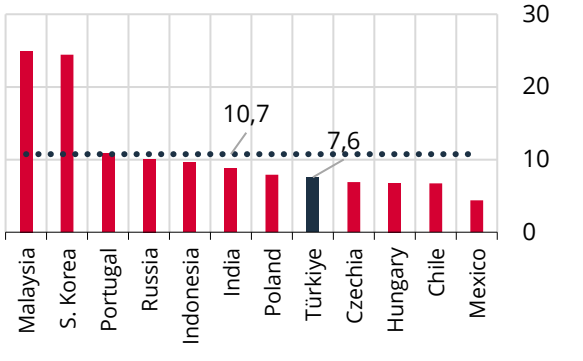


Chart III.1.4: Ratio of Retail Loans Excluding Housing Loans to GDP (%)



Sources: IMF WEO, Global Economy

Last Observation: 12.24

Note: The ratio is calculated as the current total housing loan and housing loans-excluded retail loan balance divided by end-2024 GDP. Horizontal lines are the average values for selected countries. Retail loan balance excluding housing loans includes all other types of loans extended to households (such as PCC, vehicle loans, and student loans) except housing loans.

[1] The BRSA's regulations on general-purpose, housing and vehicle loans, and the CBRT's loan growth limits have significantly contributed to the effectiveness of this macroprudential policy framework.

A breakdown of indebtedness reveals that the ratio of housing loans to GDP is well below the average of peer countries, while the ratio of retail loans excluding housing loans to GDP is below the average of peer countries (Chart III.1.3 and Chart III.1.4). Macroprudential regulations imposed on housing loans and the high course of housing loan interest rates have driven a decline in the share of housing loans. Moreover, the fact that housing loans with longer maturities are less available in Türkiye compared to advanced economies and that house sales are mostly non-mortgage sales has also led the housing loan indebtedness to remain significantly below the averages of other countries.

Table III.1.1: Household Financial Liabilities

	03.24		09.24		03.25		3-Month Growth (Annualized)	Annual Growth
	TRY Billion	Ratio to GDP	TRY Billion	Ratio to GDP	TRY Billion	Ratio to GDP		
Total Liabilities	**3,224**	**10.5**	**3,736**	**9.5**	**4,496**	**9.6**	**36.4**	**39.5**
Housing Loans	512	1.7	539	1.4	628	1.3	29.5	22.7
Vehicle Loans	102	0.3	90	0.2	80	0.2	-35.9	-21.9
General-Purpose Loans	1,130	3.7	1,350	3.4	1,641	3.5	41.9	45.3
ODA	225	0.7	380	1.0	537	1.1	71.5	138.2
General-Purpose (excl. ODA)	904	2.9	970	2.5	1,104	2.3	29.8	22.1
PCC	1,433	4.7	1,695	4.3	2,069	4.4	37.3	44.3
Installment PCC	616	2.0	573	1.5	703	1.5	28.7	14.1
Non-installment PPC	817	2.7	1,122	2.9	1,365	2.9	42.1	67.2
AMC Receivables	47	0.2	62	0.2	79	0.2	79.6	67.4

Sources: CBRT, BRSA, TOKI, Authors' calculations
Note: Liabilities also include NPLs. Finance companies are included. Value for 2025Q1 GDP is estimated.

The rise in household financial liabilities is driven by PCCs and ODAs.

Factors such as consumer inflation, which has remained high in recent years, ease of utilization through increased digitalization, the decreased use of cash and wider use of cards in payments continue to fuel credit card balance growth. The utilization of ODA, which offers an easily accessible financing opportunity to consumers for their short-term needs and was not subject to any growth limits until end-March, also remained strong (Table III.1.1). Thus, while the ratio of ODA balances to GDP continued to rise, the ratio of PCC balances to GDP remained flat following the slowdown in PCC growth (Chart III.1.5). As of the end of March, all loan utilization, excluding education expenditures and ODA utilizations with three or fewer installments, was included in the loan growth-based reserve requirement regulation. This decision is expected to stabilize ODA growth. Additionally, in February, the BRSA revised the maturity-based loan amounts in the regulation on maturity constraints in general-purpose loans based on the amount.[2] Even though this change is expected to increase the amount of general-purpose loan applications, the impact of it on the composition of household liabilities is expected to be limited as the total balance growth is subject to the 2% monthly limit.

[2] For general-purpose loans, maturity limits are set as follows: up to 36 months for loans of TL 125,000 or less, 24 months for loans between TL 125,000 and TL 250,000, and 12 months for loans over TL 250,000.

Chart III.1.5: Households' Financial Liabilities to GDP Ratio (%)

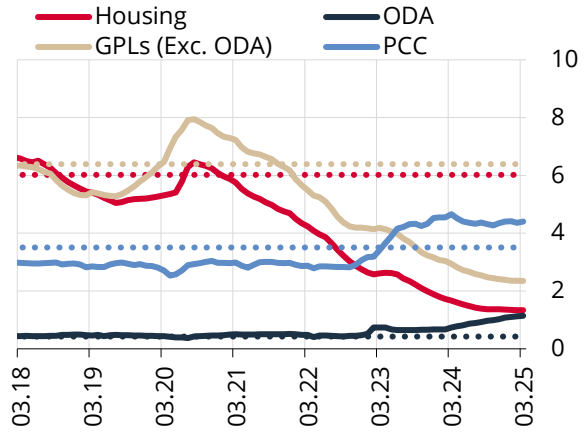
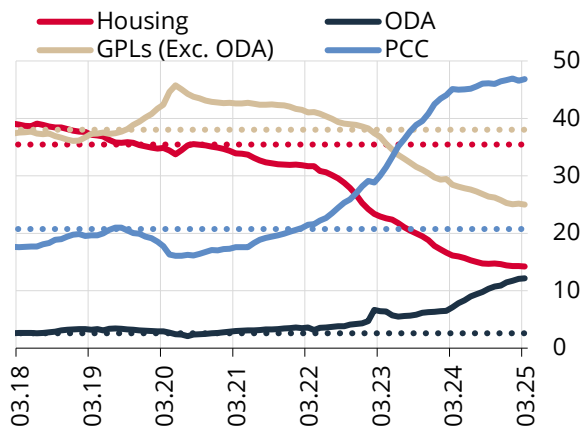


Chart III.1.6: Breakdown of Households' Financial Liabilities (%)



Sources: CBRT, BRSA, TURKSTAT
Last Observation: 03.25
Note: Liabilities also include NPLs. 2025Q1 GDP is an estimated value. Dashed lines are the average values of the related series for the 2012-2022 period.

The share of housing loans in retail loans, which was approximately 36% in the 2012-2022 period, dropped to 14%. Meanwhile, total PCCs became the most widely used credit segment with a share of more than 47% in retail loans, outpacing the general-purpose loans. The share of ODA, with its recent high utilization levels, reached 12% in the retail loan composition (Chart III.1.6). The share of ODA in general-purpose loans surpassed 32%. As a result of the measures taken in 2024, the rapidly declining share of cash advance balances in PCC debt remains flat at low levels in the current reporting period (Chart III.1.7 and Chart III.1.8).

Chart III.1.7: Periodic Development in ODA (TRY Billion, %)

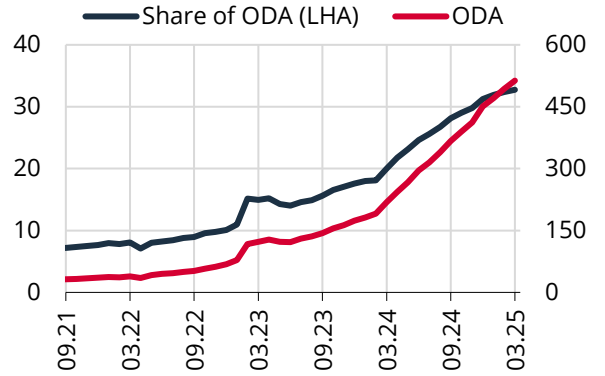
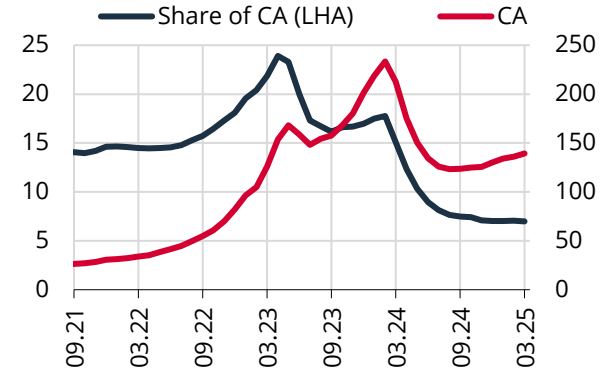


Chart III.1.8: Periodic Development in Cash Advances (TRY Billion, %)

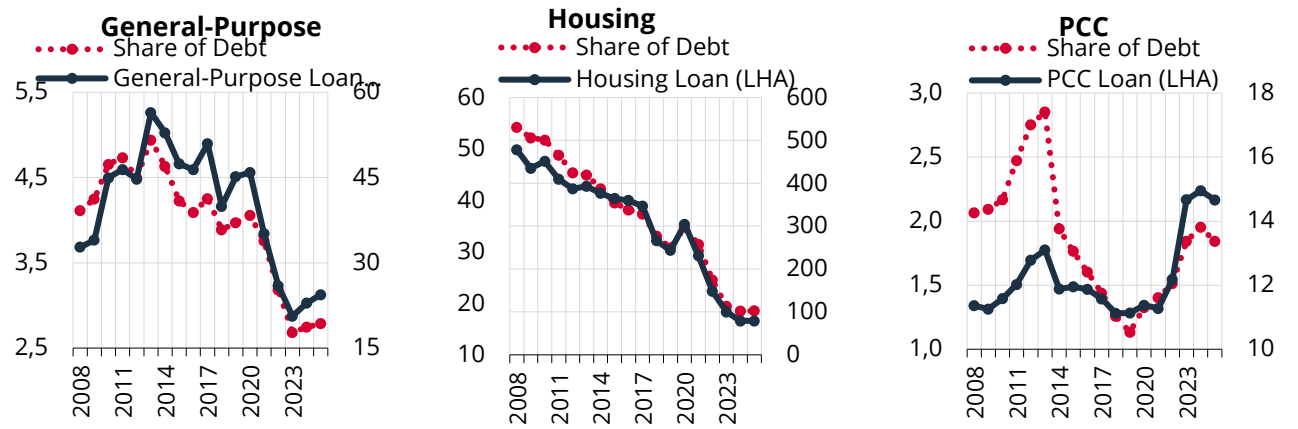


Source: BRSA
Last Observation: 03.25
Note: "Share of ODA" is the share of real persons' ODA in general-purpose loans. "Share of Cash Advance" is the ratio of cash advances to total PCC debt.

The real per capita PCC debt and the ratio of real per capita PCC debt to income declined.

The real per capita debt amount of housing loans hit a historical low. The real per capita debt amount of general-purpose loans, which had been on a downtrend until 2023, increased somewhat as of 2024 due to the increased use of ODA. On the other hand, the rise in the per capita PCC debt balance and its share in per capita income since 2020 appears to be on a slight decline in the recent period. The increase in the per capita debt amount of PCCs until 2024 is considered to be driven by the widespread use of cards in payments due to the developments in payment technologies during this period and the increased cost of carrying cash in a high inflation environment, as well as by the encouragement of PCC due to the growth constraints in general-purpose loans (Chart III.1.9). The fact that individuals' debts are proportional to their incomes limits the risks to household debt repayment performance. However, it should be noted that this evaluation based on average income may differ depending on the borrowers' income profile and distribution.

Chart III.1.9: Per Capita Debt Balance in Consumer Loans and Share of Per Capita Debt in Disposable Income (%, Inflation-Adjusted TRY Thousand)



Sources: BRSA, TURKSTAT Last Observation: 03.25

Note: Dashed lines indicate the share of debt in per capita disposable income. Loan per capita is calculated by dividing the total loan balance in the related item by the number of borrowers aggregated at bank level. Per capita loan amount is deflated by the CPI. Real income is assumed to have remained unchanged in 2024 and 2025. Per capita disposable income from the Household Consumer Tendency Survey is calculated by subtracting inter-household transfers (including alimony) and tax payments from income such as salaries, wages, rents, etc.

Average maturities of retail loan sub-categories have been shortening in general.

As the loan amount brackets in the regulation on maturity constraints in general-purpose loans based on amounts have not been updated for approximately three years, the average maturities in these loans continue to shorten. Accordingly, the average maturity of general-purpose loans is well below the long-term average with 11.5 months (Chart III.1.10). The February 2025 revision of the maturity-based loan amounts is expected to have a slightly upward impact on the average maturity of general-purpose loans. The average maturity of vehicle loans continues to shorten as the maturity-based loan-to-value ratios and maximum maturities in vehicle loans excluding electric vehicle sales have not been changed since February 2022. Despite a slight decline in the average maturity of housing loans due to the ongoing macroprudential measures and high interest rates, it still hovers above the long-term average with 107 months (Chart III.1.11).

Chart III.1.10: Average Maturity in Sub-Categories of Retail Loans (Months)

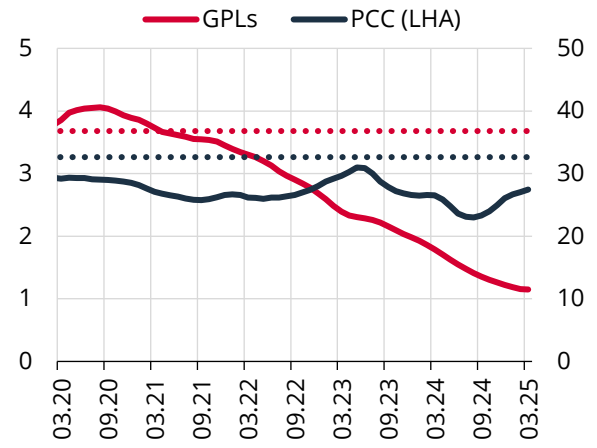
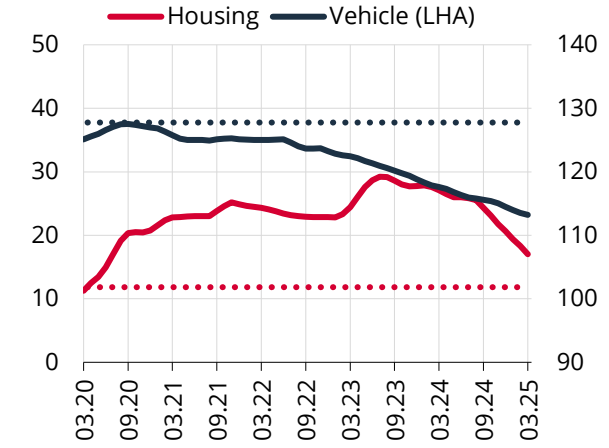


Chart III.1.11: Average Maturity in Sub-Categories of Retail Loans (Months)



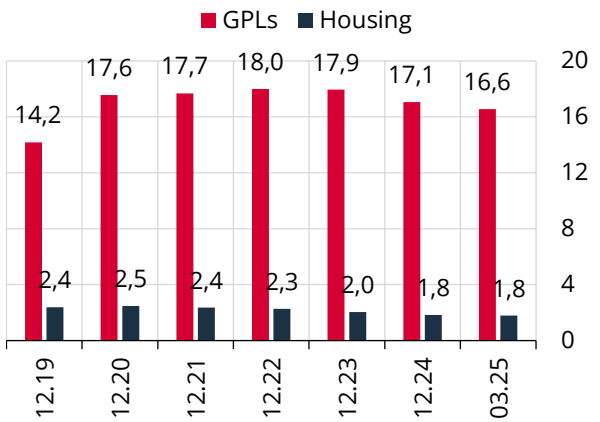
Source: CBRT Last Observation: 03.25

Note: Average maturity is calculated based on the remaining amount of outstanding stock loan balances at original maturity. Shows the three-month moving average of the series. Dashed lines show the average of the series of relevant colors in the 2012-2022 period.

The number of housing and general-purpose loan borrowers continue to decline.

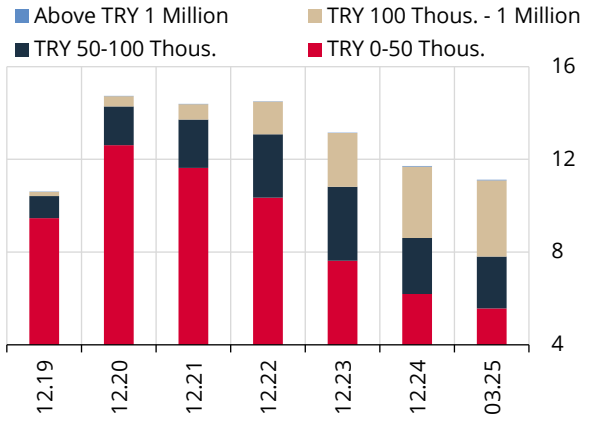
Due to the tight financial conditions, the number of general-purpose loan borrowers declined. On the housing loan market side, the high interest rates and the 75% reduction in the loan-to-value ratio for purchases of second or subsequent houses in a household are considered to have been effective in the decline in the number of borrowers (Chart III.1.12). On general-purpose loans front, the number of borrowers with debts up to TRY 100,000 decreased by 1.4 million to 7.8 million, while the number of borrowers with debts above TRY 100,000 increased by 416,000 to 3.3 million (Chart III.1.13).

Chart III.1.12: Number of People with Consumer Loan Balance (Million People)



Sources: Risk Center, CBRT Last Observation: 03.25
Note: Reports the number of individual general-purpose and housing loan borrowers in the banking sector. General-purpose loans include ODA. NPL balances are excluded.

Chart III.1.13: Number of General-Purpose Loan Borrowers by Amount (Million People)

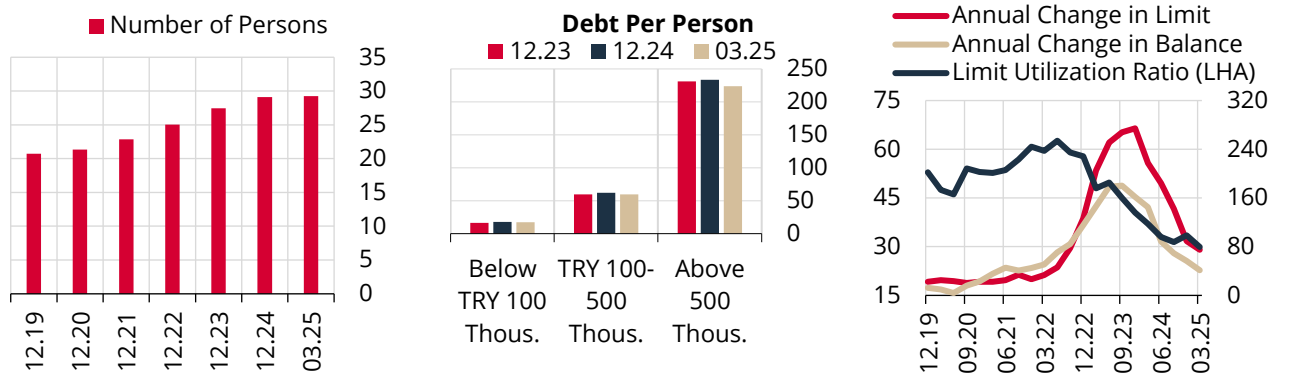


Sources: Risk Center, CBRT Last Observation: 03.25
Note: Amount brackets show the outstanding general-purpose loan debt amounts per person at all banks. The number of people is the total number of people in the relevant bracket. ODA and general-purpose loans classified as NPLs are excluded.

While the growth in the number of PCC debtors eases, limit utilization rates have declined due to increases in limits and the moderate growth in balances.

The number of active credit card users reached 29.3 million as of March 2025. In this period, banks raised credit card limits more cautiously than in the past. In fact, the per capita debt decreased in high credit card limit groups with more significant limit increases due to the slowdown in balance increases (Chart III.1.14). The fact that total credit limit growth remained higher than PCC balance growth was the driver of the decline in the limit utilization ratio.

Chart III.1.14: Number of People Actively Using PCC, Debt Per Person by Card Limit, Card Limit Utilization Rate (Million People, TRY Thousand, %)

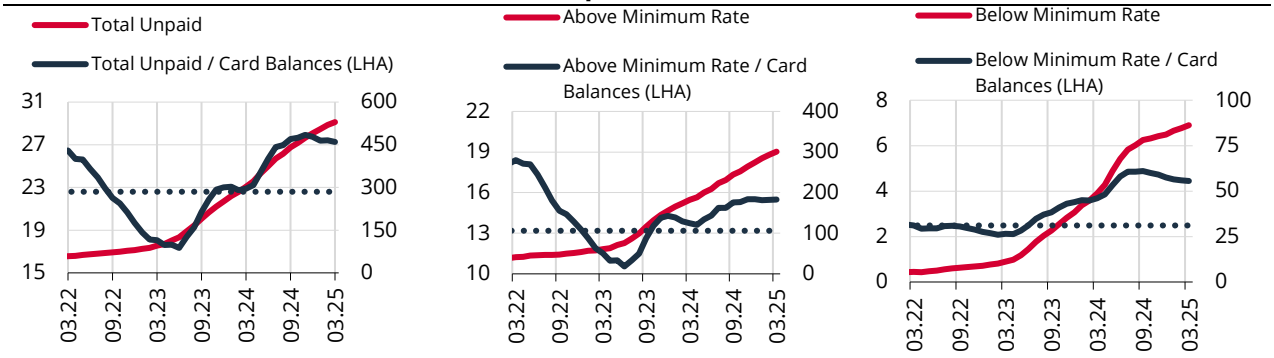


Sources: Risk Center, CBRT Last Observation: 03.25
Note: People with a credit card balance of zero have been excluded. The chart on debt per person shows the per capita balances of persons in the relevant limit brackets.

The ratio of overdue credit card debt amount to the total credit card debt declined slightly due to the restructuring facility introduced in September 2024.

The BRSA introduced a restructuring facility for PCC debt balances for which the minimum amount has not been paid as of September 26, 2024. With the effect of this decision, the share of debt for which less than the minimum payment amount is paid has decreased from 12.2% in the previous reporting period to 11.8%. Meanwhile, the ratio of the unpaid debt amounts to the total card balance for cards paid at or above the minimum payment rate is 15.5% (Chart III.1.15). As a result of this development, in the current reporting period, the ratio of total debt overdue by at least one day to the total PCC balance stood at 27.3%, remaining nearly flat, approximately 5 percentage points above its historical average.

Chart III.1.15: Personal Credit Cards with Unpaid Balances (TRY Billion, %, 3-Month MA)



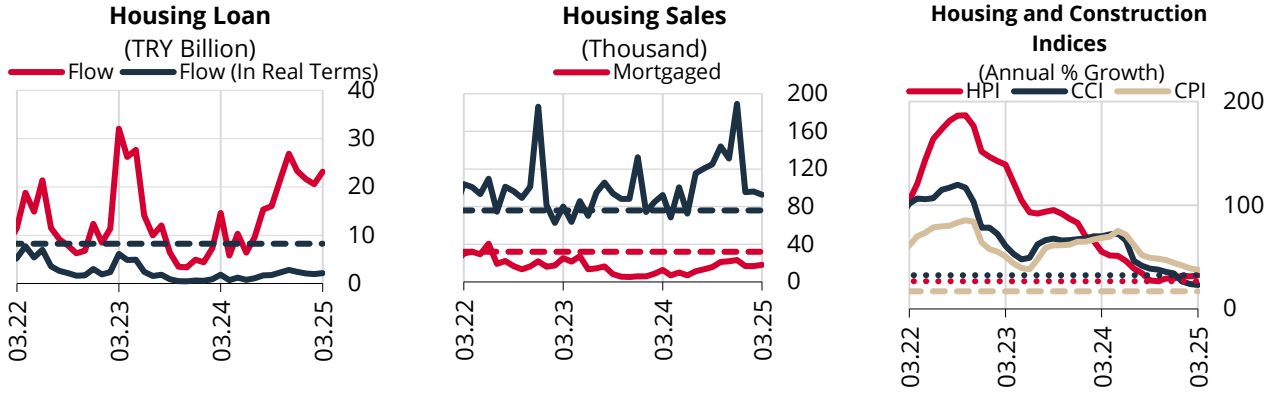
Sources: Risk Center, CBRT Last Observation: 03.25

Note: "Above Minimum" refers to the total outstanding debt for PCCs paid at or above the minimum payment rate, and "Below Minimum" refers to the total outstanding debt for PCCs for which a payment is made below the minimum payment rate. "Unpaid Debt" covers "Above Minimum", "Below Minimum", and never been paid debt. Total PCC is used to calculate the ratio. Dashed lines show the average of the relevant ratios for the 2012-2022 period.

Housing loan utilization remains below its historical average, while houses are sold mostly without mortgages.

Housing loans have seen a mild pickup due to factors such as the decline in real house prices over the past period, the low level of the housing rent multiplier, and the expectation of an increase in house prices. However, housing loan utilization remains below its historical average in real terms because of the sustained tightness in housing loan interest rates, macroprudential policies for multiple home ownership and the fact that the loan amounts determined for loan-to-value ratios have not been updated since February 2023. Moreover, houses are sold mostly without mortgages, and the share of mortgage sales remains low. The pickup in house sales through non-mortgage sales in the second half of 2024 slightly accelerated house price increases in this period. In the first quarter of 2025, non-mortgage sales converged again to their historical averages (Chart III.1.16).

Chart III.1.16: Housing Loans, House Sales and House Prices



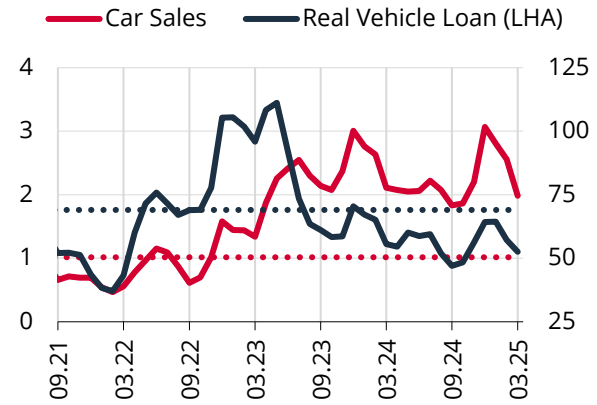
Source: CBRT Last Observation: 03.25

Note: Housing loans are shown in terms of monthly flow disbursements. Dashed lines show the average annual index changes in the 2012-2022 period (2016-2022 period for the CCI), real housing loans extended, and related house sales. Data have been deflated by the house price index (HPI).

While vehicle loan utilization remains weak, vehicle sales are robust with the effect of the real decline in vehicle prices and the sales campaigns by companies.

New car sales declined in the first quarter, yet remain above the long-term average (Chart III.1.17). Ongoing vehicle sales campaigns by firms as well as the normalization in vehicle supply boost the sales of new cars. On the other hand, the loan-to-value ratio regulation, which is applied on a gradual basis according to vehicle prices, has not been revised except for electric vehicle purchases. This has led to a significant slowdown in vehicle loan utilization. In the first quarter of 2025, the number of vehicles changing hands rose compared to the same period of the previous year. Meanwhile, the vehicle ownership to country population ratio continued to increase in recent years and approached 19% (Chart III.1.18).

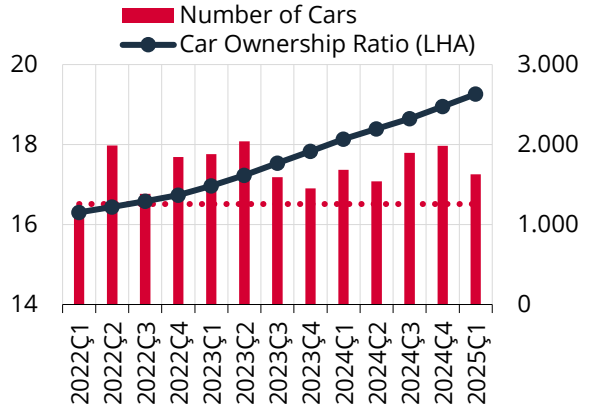
Chart III.1.17: Vehicle Loans and New Car Sales (Thousand Units, TRY Billion, 3-Month MA)



Sources: ODMD, BRSA Last Observation: 03.25

Note: Data for monthly flow vehicle loans of banks and financing companies, and new passenger car sales have been used. The adjustment is accomplished with the vehicle prices sub-index of the CPI. Dashed lines show the average real vehicle loan disbursements and car sales between 2012 and 2022.

Chart III.1.18: Number of Used Car Sales and Car Ownership Ratio (Thousand Units, %)



Source: TURKSTAT Last Observation: 2025Q1

Note: Used car sales refer to passenger cars whose ownership has changed hands once or more through public notaries. Shows the quarterly sums of the number of vehicles changing hands. Dashed line shows the average number of used car sales amounting to 1.26 million between 2012 and 2022 in quarterly periods. Car ownership ratio is the ratio of cars registered in traffic to the total population.

The share of TRY deposits and mutual funds in households' financial asset composition increases, whereas that of equities declines.

Among household financial assets, the ratios of TL savings deposits and mutual funds to GDP remained on the rise (Table III.1.2). In this period, when the shares of TL deposits and non-deposit financial instruments increased, the weight of FX-protected instruments in household assets decreased to 3.5%. In addition, there has been a significant outflow from money market funds following the volatility in financial markets in March. The share of these funds in household assets decreased by 2.5 percentage points since end-2024 to 2.7%. The high levels that TL deposit and money market fund interest rates reached in real terms have been bolstered by the policy rate decision in April. This is expected to have a favorable impact on the trend of TL financial assets in household asset composition.

Table III.1.2: Household Financial Assets

	03.24		09.24		03.25		Share in Total Assets	Annual Growth
	TRY Billion	Ratio to GDP	TRY Billion	Ratio to GDP	TRY Billion	Ratio to GDP		
Total Assets	**12,993**	**42.3**	**15,528**	**39.6**	**18,398**	**39.3**	**-**	**42.3**
TL Savings Deposits	3,198	10.4	5,072	12.9	6,755	14.4	36.7	111.2
KKM and DDM	1,617	5.3	1,114	2.8	652	1.4	3.5	-59.7
FX Savings Deposits	2,565	8.3	2,356	6.0	2,627	5.6	14.3	2.4
- (Billion USD)	*80*		*69*		*70*			-12.7
Precious Metal Deposits	1,065	3.5	1,300	3.3	1,695	3.6	9.2	59.2
- (Billion USD)	*33*		*38*		*45*			35.7
Bonds and Bills	308	1.0	337	0.9	388	0.8	2.1	25.8
Mutual Funds	2,319	7.5	3,409	8.7	4,252	9.0	23.1	83.4
Pension Mutual Funds	803	2.6	1,007	2.6	1,235	2.6	6.7	53.8
Other Mutual Funds	1,516	4.9	2,402	6.1	3,017	6.4	16.4	99.1
Money Market Funds	163	0.5	624	1.6	490	1.0	2.7	201.3
Equity Securities	1,802	5.9	1,751	4.5	1,847	3.9	10.0	2.5
Repo	24	0.1	31	0.1	79	0.2	0.4	236.2
Currency in Circulation	95	0.3	157	0.4	103	0.2	0.6	8.2

Sources: CBRT, MKK, PMC

Note: Month-end exchange rates have been used. Pension mutual funds show the total funds of participants in the Individual Pension System (IPS) and the Auto Enrollment System (AES), minus the state contribution. Deposits refer to resident real persons' deposits. Money market funds data have been revised retrospectively due to revisions. The value for 2025Q1 GDP data is estimated.

Households' TL deposits are mostly in the one to three-month maturity bracket (Chart III.1.19). In the current reporting period, the share of TL deposits with a maturity over three months declined as a result of banks' rapid cuts in long-term deposit rates in line with their expectations regarding the policy rate path. The share of FX demand deposits in FX deposits is above 70% due to the low spread between FX time and demand deposit rates (Chart III.1.20).

Chart III.1.19: Breakdown of TL Deposit Maturities (%)

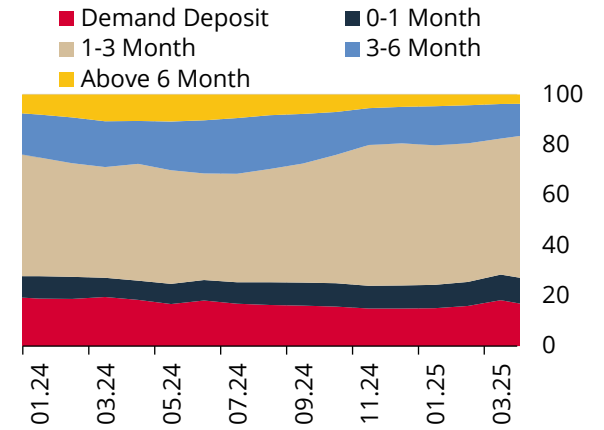
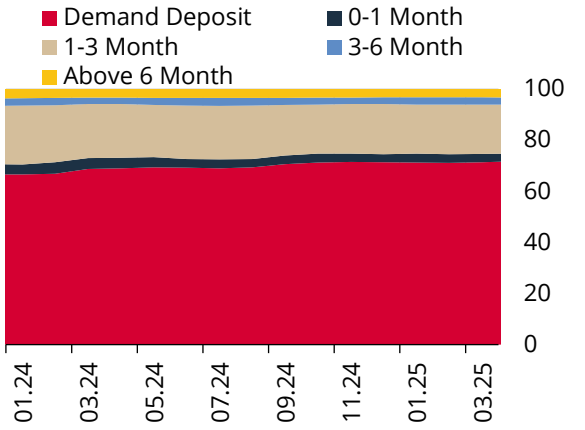


Chart III.1.20: Breakdown of FX Deposit Maturities (%)



Source: CBRT

Last Observation: 03.25

Note: TL deposits do not include KKM. The chart on the right includes precious metal deposits.

Households' tendency to diversify their portfolios continues.

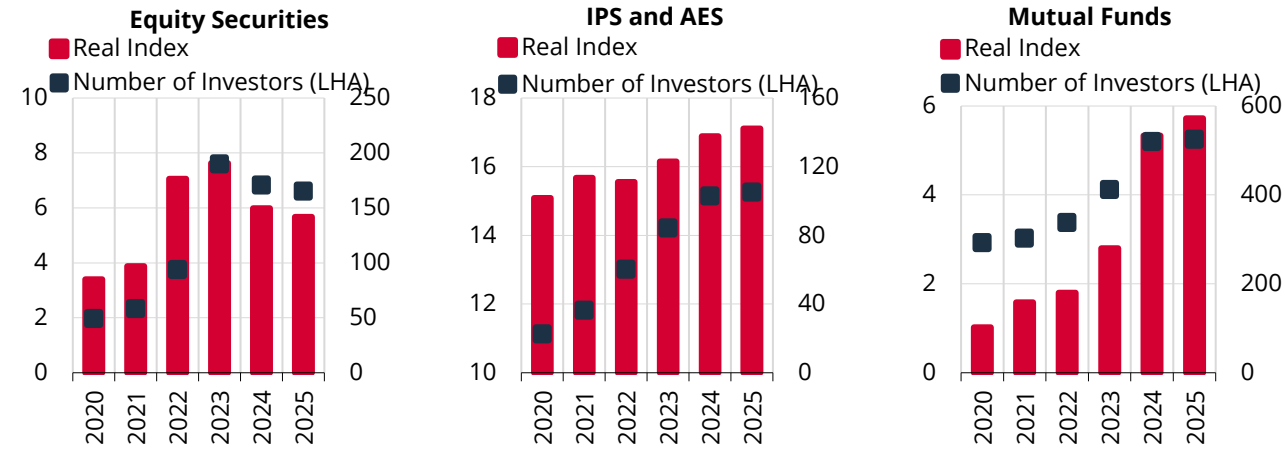
Equity investments of households continue to weaken. The number of equity investors, which hit a historic peak at 8.5 million in the last quarter of 2023, dropped to 6.6 million at the end of March 2025. The real index of household equity portfolio decreased by 5% compared to end-2024.

Households' investments in the individual pension system and auto enrollment system continue to increase at a moderate pace. Likewise, the number of participants in the pension system reached 15.3 million.

Households' tendency to invest their savings in long-term instruments is expected to contribute to financial stability.

Households' holdings of mutual funds continue to increase steadily. As of March, the number of investors in mutual funds amounted to 5.2 million, while the size of mutual funds reached TRY 3 trillion. Compared to the end of 2024, the real index of households' mutual funds portfolio increased by 7% (Chart III.1.21).

Chart III.1.21: Changes in Households' Non-Deposit Assets (Index, Million People)



Sources: MKK, PMC

Last Observation: 03.25

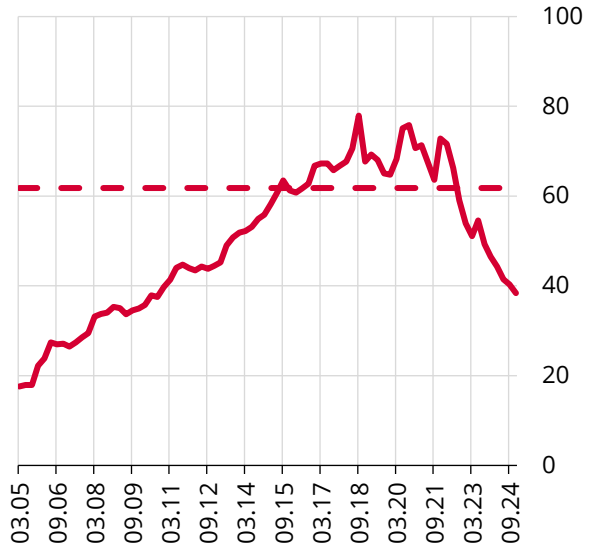
Note: The real index is CPI-adjusted and indexed to 100 in January 2021. Real index values are 3-month moving averages of the relevant series. Pension mutual fund chart shows the IPS and AES data in aggregated terms, the number of participants has been aggregated, and the state contribution amounts are not included.

III.2 Corporate Sector Developments

The decline in the corporate sector's financial debt continues.

The ratio of the corporate sector's total debt to GDP has continued to decline, primarily driven by a decrease in firms' TRY-denominated debt (Chart III.2.1). Recently, as a result of tight financial conditions and restrictive regulations on TRY loan growth, the ratio of corporate sector's TRY debt to GDP has decreased, while the ratio of FX debt to GDP has increased slightly due to relatively low FX loan costs (Chart III.2.2). It is estimated that the rise in FX debt will slow down in the coming period as the monthly growth limit for FX loans obtained by firms from domestic banks has been reduced to 0.5%.

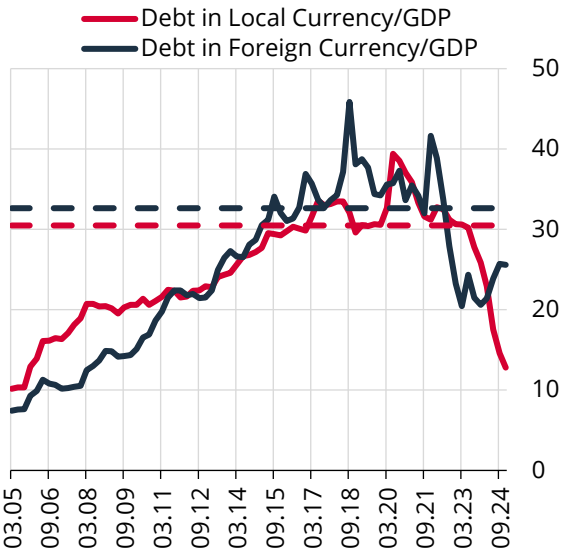
Chart III.2.1: Corporate Sector's Total Indebtedness/GDP Ratio (%)



Source: IIF Last Observation: 12.24

Note: The dashed line represents the historical average of the relevant ratio for the 2012Q4-2022Q4 period.

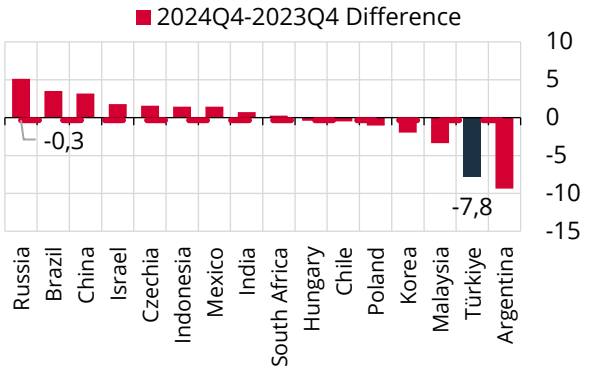
Chart III.2.2: Corporate Sector's TRY and FX Indebtedness (%)



Source: IIF Last Observation: 12.24

Note: The dashed line represents the historical average of the relevant ratio for the 2012Q4-2022Q4 period.

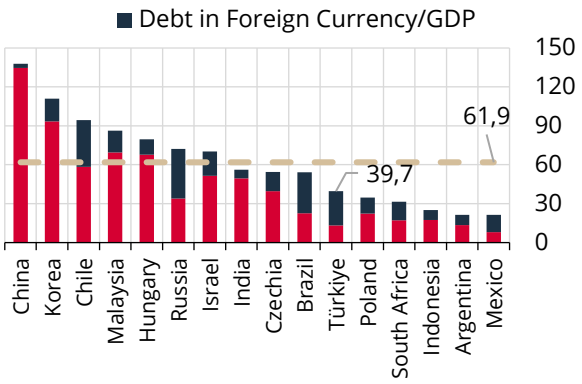
Chart III.2.3: Total Corporate Sector Indebtedness in Peer Countries (%)



Source: IIF Last Observation: 12.24

Note: The dashed line shows the average of the difference in indebtedness in peer countries between 2024Q4 and 2023Q3.

Chart III.2.4: Corporate Sector Indebtedness in Local Currency and FX in Peer Countries (%)



Source: IIF Last Observation: 12.24

Note: Calculated based on the distribution of local and FX debts. The countries in the chart are ranked from largest to smallest according to their total Debt/GDP ratios in 2024Q4. The dashed line shows the average indebtedness of peer countries for 2024Q4.

Over the last year, the corporate sector's debt-to-GDP ratio in Türkiye fell by 7.8 percentage points, while the decline in indebtedness among peer countries remained limited (0.34 percentage points) (Chart III.2.3). The corporate sector's debt-to-GDP ratio in Türkiye currently stands at 39.7%, significantly below the peer countries' average of 61.9% (Chart III.2.4). Over the past year, FX loans obtained by the corporate sector from domestic sources grew by 62.5%, while the TRY loan growth remained at 39%. Meanwhile, the growth rate of FX loans obtained by the corporate sector from abroad remained lower. Moreover, the share of domestic bond issuances in the corporate sector's financing from non-bank sources remained relatively flat, foreign issuances increased slightly. Due to the high level of TRY financing costs, the corporate sector's foreign bond issuances increased (Table III.2.1).

Table III.2.1: Financial Liabilities of the Corporate Sector (Billion TRY)

	03.24		12.24		03.25		Annual Growth (%)	Change (%)
	Billion TRY	Ratio to GDP (%)	Billion TRY	Ratio to GDP (%)	Billion TRY	Ratio to GDP (%)		
I. Domestic Loans (i+ii)	**8,929.2**	**29.1**	**11,149.5**	**25.7**	**12,407.5**	**27.1**	**53.4**	**39.0**
i. Turkish Lira (A+B+C)	5,192.3	16.9	5,854.7	13.5	6,335.5	13.8	37.1	22.0
A. Bank	4,730.9	15.4	5,283.4	12.2	5,730.1	12.5	38.3	21.1
B. NBFI	349.5	1.1	430.8	1.0	455.5	1.0	25.0	30.3
C. Bonds Issued	111.9	0.4	140.5	0.3	150.0	0.3	29.7	34.0
ii. FX (D+E)	3,736.9	12.2	5,294.8	12.2	6,072.0	13.2	73.0	62.5
ii. FX (USD equivalent)	115.8		150.1		160.8		31.7	38.8
D. Bank	111.4		144.9		154.9		30.6	39.1
E. NBFI	4.5		5.2		5.9		62.7	31.6
II. External Loans (Bonds included)	**3,010.3**	**9.8**	**3,466.0**	**8.0**	**3,977.8**	**8.7**	**73.5**	**32.1**
II. External Loans (USD Equivalent)	93.3		98.2		105.3		32.1	12.9
Total Financial Debt (I+II)	**11,939.6**	**38.9**	**14,615.5**	**33.7**	**16,385.3**	**35.7**	**58.0**	**37.2**
Info: Total FX Loans (Billion USD, Including FX Bonds Abroad)	*209.2*		*248.3*		*266.1*		17.8	56.9

Source: CBRT, BRSA Last Observation: 03.25

Note: The Ratio to GDP column shows the ratio of the item to the estimated 12-month total GDP on a monthly basis. Annualized growth is calculated by annualizing the growth between December 2024 and March 2025. The last column shows the change between March 2024 and March 2025. The growth and change values in the last row show the total difference in the FX loan balance between December 2024 and March 2025, and between March 2024 and March, 2025, respectively.

The corporate sector's access to external financing remains strong.

Although the external debt rollover ratios of corporate sector firms declined slightly in March, they remained strong (Chart III.2.5). This development was underpinned by the improvement in the macroeconomic outlook, the favorable outlook in expectations and external financing conditions. Additionally, FX loans obtained from abroad and bond issuances have contributed positively to the recent increase in the external debt rollover ratio (Chart III.2.6). Meanwhile, despite the partial rise in corporate sector's external borrowing costs due to the rise in uncertainties over global trade and economic policies and the increase in the country risk premium, the sector's access to external financing is expected to remain strong. The recent increase in the weight of subordinated FX loans obtained from abroad is also considered to be positive with respect to expectations for corporate sector firms and long-term capital flows to Türkiye.

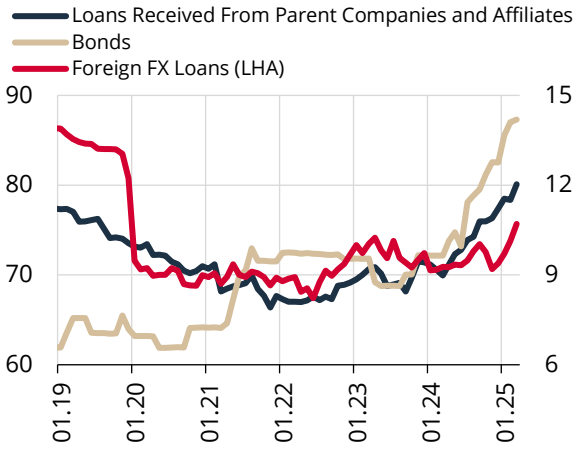
Chart III.2.5: Corporate Sector's Debt Roll-Over Ratio (6-Month, %)



Source: CBRT Last Observation: 03.25

Note: External debt rollover ratio shows the ratio of the cumulative external borrowing over a 6-month period to the debt repayment in the same period.

Chart III.2.6: Corporate Sector's Foreign FX Loans and Bond Issues (Billion USD)



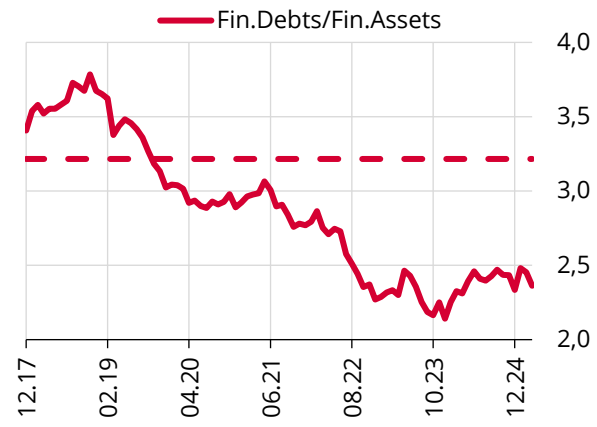
Source: CBRT Last Observation: 03.25

Note: Non-financial institutions included in the "Outstanding Loans Received from Abroad by the Private Sector" table on EVDS-Statistical Data Page.

The financial leverage ratio of the corporate sector has increased slightly but hovers well below its historical average.

The financial leverage of firms has stayed broadly flat, driven by a limited increase in FX debt and a slowdown in deposit growth. Historically, this indicator has consistently remained low (Chart III.2.7). The fact that the leverage ratio remains below its historical average indicates that firms in the corporate sector continue to withstand tight financial conditions. Recently, the ratio of firms' net assets (assets minus liabilities) to GDP has been flat (Chart III.2.8).

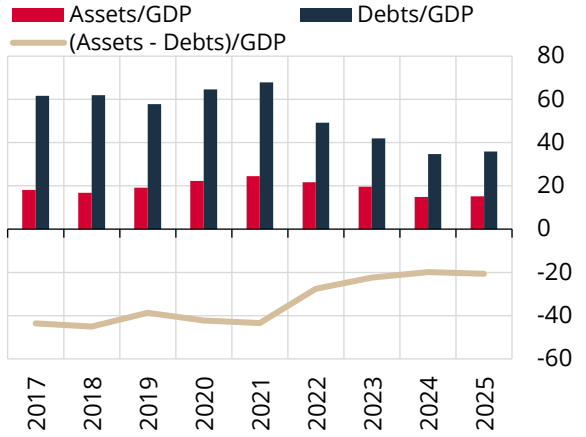
Chart III.2.7: Corporate Sector's Financial Debts/Assets (Ratio)



Source: CBRT Last Observation: 03.25

Note: Financial liabilities include the corporate sector's domestic and external loans, leasing, factoring debts and bond issuances. Financial assets include Turkish lira and FX deposits and securities, but direct capital investments abroad and export receivables are not included. GDP values used in calculations are annual estimated values. The latest GDP data is the CBRT's estimate. End-of-month FX buying rates have been used in calculations. Dashed line shows the historical average of the ratio between December 2017 and December 2021.

Chart III.2.8: Corporate Sector's Financial Debts and Assets (%)



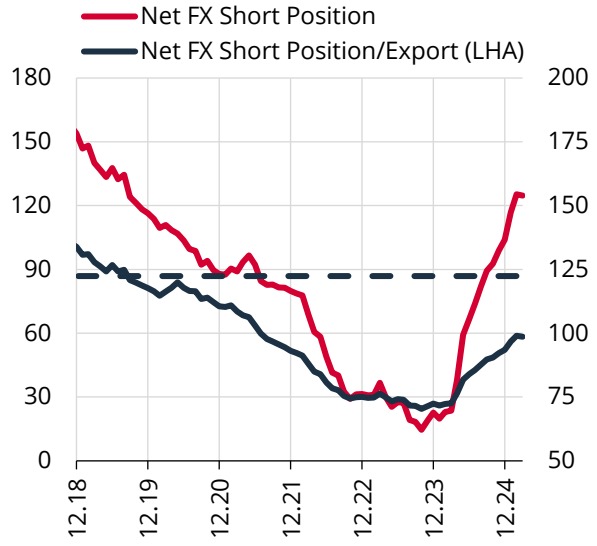
Source: CBRT Last Observation: 03.25

Note: Financial liabilities include the corporate sector's domestic and external loans, leasing, factoring debts and bond issuances. Financial Assets include Turkish lira and FX deposits and securities, but direct capital investments abroad and export receivables are not included. 12-month cumulative GDP values have been calculated by the CBRT. The latest GDP data is the CBRT's estimate.

The corporate sector's FX short position increased until February, but this uptrend has been limited since March.

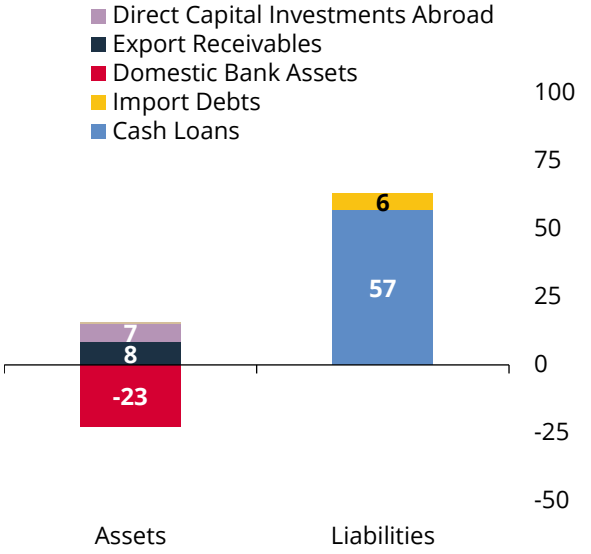
Although the corporate sector's FX open position continues to increase, it remains below its historical peak. Additionally, the ratio of companies' open positions to annual export revenues has risen to 59%, still significantly below the historical average of 87% (Chart III.2.9). The changes in FX open positions have been influenced by rising FX liabilities, driven by relatively low FX borrowing costs, and declining FX assets due to an increasing preference for Turkish lira deposits (Chart III.2.10). On the other hand, as a result of the FX credit growth limit being reduced to 0.5% in the near term, FX credit growth slowed in March, while the preference for FX deposits increased slightly. In March, the corporate sector's FX loans and FX bank assets (deposits) increased by USD 6.1 and USD 5 billion, respectively. As a result, the growth in the corporate sector's FX position deficit has moderated somewhat since February.

Chart III.2.9: FX Position of the Corporate Sector (%, Billion USD)



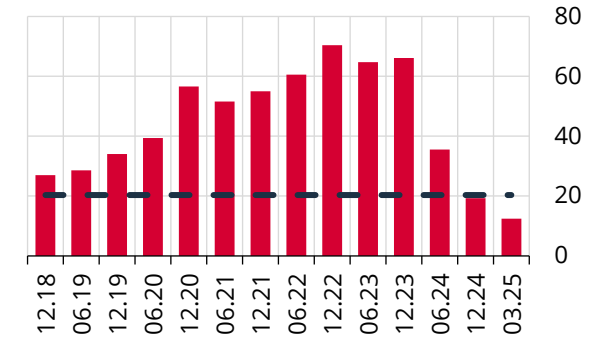
Source: CBRT Last Observation: 03.25
Note: Export values are the sum of 12-month cumulative amounts. Dashed line denotes the historical average of the Net FX Short Position/Export ratio between December 2017 and December 2021.

Chart III.2.10: Change in the Corporate Sector's FX Position (Billion USD)



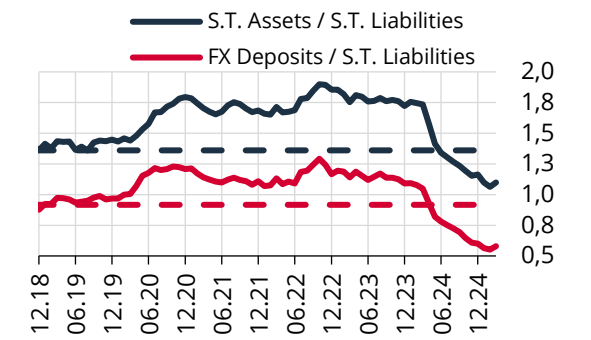
Source: CBRT Last Observation: 03.25
Note: Chart shows the change compared to March 2024. The change in the "Other Assets" item covers the change in assets and securities with banks abroad. The change in other assets is not included in the Chart as the change is marginal. Derivatives are not included.

Chart III.2.11: Corporate Sector's Short-term FX Position **(Billion USD)**



Source: CBRT Last Observation: 03.25

Chart III.2.12: Indicators of Corporate Sector's Exchange Rate Risk **(Ratio)**



Source: CBRT Last Observation: 03.25

Note: FX deposits are the total amount of deposits that resident corporate sector firms keep at domestic and foreign financial institutions. Net FX position calculations include KKM (FX-protected) deposit accounts. Dashed lines show the historical average of the relevant data between 2012- 2021. ST stands for "short-term".

The corporate sector's short-term net FX position continued to decline, falling below its historical average to nearly USD 12 billion (Chart III.2.11). This decline was driven by an increase in corporate FX deposits and greater use of short-term FX loans by firms in the first quarter of 2025. The corporate sector firms' FX liquid assets are 1.1 times their short-term FX liabilities, while their FX deposits are 0.6 times their short-term FX liabilities (Chart III.2.12). The reduction of the FX credit growth limit to 0.5% in March is expected to limit the decline in the short-term FX position.

Firm-level indebtedness indicators reveal that although the number of companies holding FX loan debt continues to rise, their ability to cover this debt through export revenues has improved.

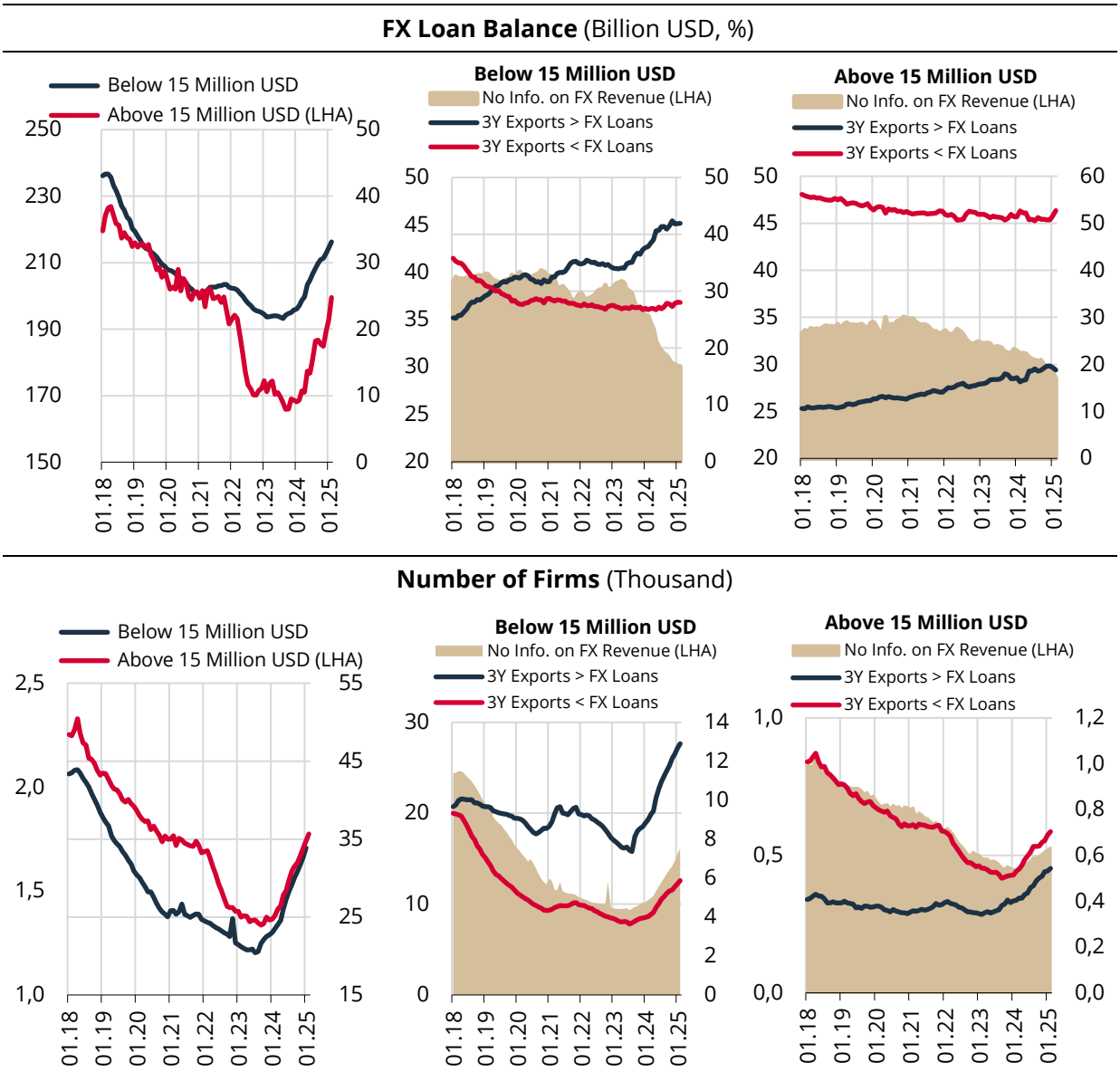
The regulation introduced in May 2018 linked access to FX loans for firms with FX credit balance below USD 15 million to their export revenues over the previous three years. The FX credit utilization trends of two groups—firms affected by this regulation (with FX credit balance below USD 15 million) and firms unaffected by it (with FX credit balance above USD 15 million)—were analyzed using microdata (Chart III.2.13). Accordingly, FX credit balances of firms below the USD 15 million threshold increased by 45%, rising from USD 22.9 billion in December 2023 to USD 33.1 billion in February 2025. The number of firms using FX loans in this group increased by 54% to over 34,000. For firms with FX credit balances above USD 15 million, FX credits increased by 18%, from USD 169 billion in December 2023 to nearly USD 200 billion in February 2025. The number of companies with FX loans in this category increased by 30%.

Among companies with an FX credit balance below USD 15 million, the share of credit held by companies whose FX export revenues exceeded their FX credit balances over the past three years has been rising since May 2023, reaching 42% in February 2025. Meanwhile, among companies with FX credit balances of USD 15 million or more—which are not subject to any regulatory restrictions—the credit share of companies whose export revenues exceeded their FX credit balances over the same period increased significantly. These indicators suggest an ongoing improvement in companies' ability to cover their FX debt with export revenues.[1]

The number of companies holding FX loans increased at a similar pace among both groups—those with credit balance below and above USD 15 million. Nevertheless, the increase in the number of companies with FX loans among companies with a credit balance below USD 15 million, was largely driven by companies whose export revenues exceeded their loan balances over the past three years. Meanwhile, the number of companies whose export revenues remained below their FX credit balance during the same period increased in both groups.

[1] In calculating FX Revenues, only foreign trade data that includes exports of goods is used. Therefore, companies with no FX revenues data are likely to have FX revenues from exports of services.

Chart III.2.13: FX Loan Balances and Number of Firms (Billion USD, Thousand)



Source: Risk Center, CBRT, Ministry of Treasury Last Observation: 02.25

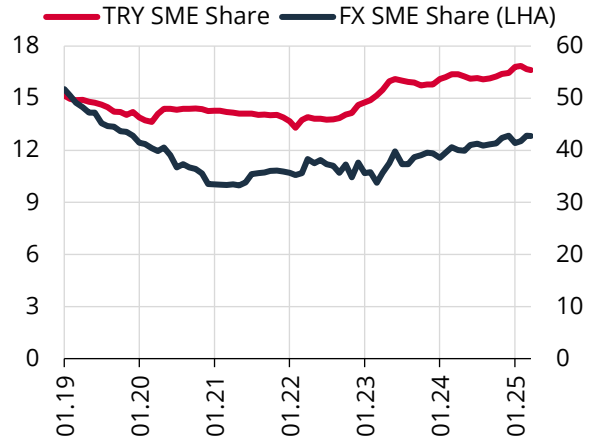
Note: When calculating FX credit balance, loans obtained from abroad via domestic banks are included, while loans obtained by firms directly from abroad are excluded. Firms' export revenues represent only the total revenues from the export of goods. Export revenues for the 2018-2024 period were calculated using the 36-month rolling window method. Firms with no export revenue records in the database during the period covered for the export revenue calculation are classified as "No Information on FX Revenue." Firms that earned export revenues only in one month during the analysis period are classified as firms with FX revenues. Then, these firms are recorded under the relevant category, and their export amount over the past three years is compared to their FX credit balance.

SMEs' share in Turkish lira financing has been increasing.

SMEs' share in TRY commercial loan financing continued to increase during the current reporting period, reaching 55% as of April 2025. SMEs' share of FX loans, which are predominantly held by corporate firms, also increased slightly, reaching 13% (Chart III.2.14). To support harmonization between loan growth and loan composition with the disinflationary path, the growth limit for TRY commercial loans was differentiated for SMEs and other commercial loans in January 2025, setting the monthly TRY commercial loan rate at 2.5% SMEs. This step aims to improve SMEs' access to financing during periods of high loan demand.

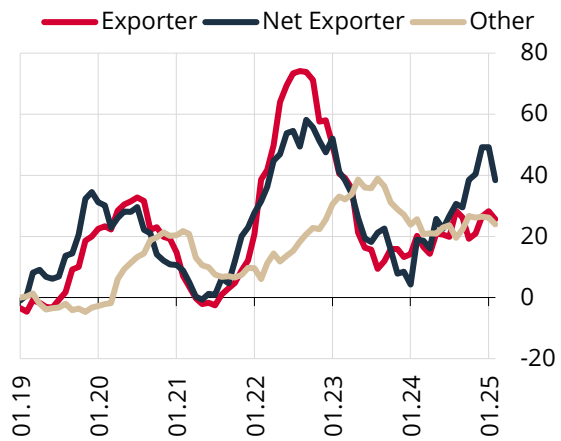
An analysis of access to financing based on foreign trade reveals that, since the beginning of 2024, net exporting firms have significantly increased their total credit growth adjusted for exchange rate effects (Chart III.2.15). Despite tight financial conditions, the improvement in these firms' access to financing is also considered a positive development for Türkiye's current account balance.

Chart III.2.14: Loan Growth of SMEs (KEA, %)



Source: CBRT, BRSA Last Observation: 21.04.25

Chart III.2.15: Loan Growth of Exporting Firms (%)



Source: CBRT, Ministry of Trade Last Observation: 02.25

Note: In the chart on the left, FX-indexed loans are included in FX loans. In the chart on the right, the definitions of exporter and net exporter are calculated using the 12-month rolling window method. Growth shows the change in the stock loan balance compared to the same month of the previous year. The net exporter definition includes companies with an X/M (Exports/Imports) ratio above 110, while the exporter definition includes all companies with X > 0, including net exporters. The end-of-month currency basket (50% US dollar, 50% euro) was used in calculating FX loan growth. Eximbank credits are included. The definitions of exporter and net exporter consider only goods trade.

While the corporate sector's deposit accounts composition has improved significantly in favor of the Turkish lira, there has also been a slight increase in FX accounts since the beginning of the year.

The ratio of the corporate sector's financial assets to GDP continued to decline and stood at 15.3% as of April 2025 (Table III.2.2). Closing KKM accounts (FX-protected deposit accounts) continued to affect the corporate sector's financial assets, and the ratio of KKM accounts to GDP decreased from 2.2% in March 2024 to 0.1% in April 2025. Meanwhile, following the rise in FX commercial deposits since the beginning of 2025, the share of Turkish lira commercial deposits decreased slightly to 8.6%.

Table III.2.2: Financial Assets of the Corporate Sector (Billion TRY)

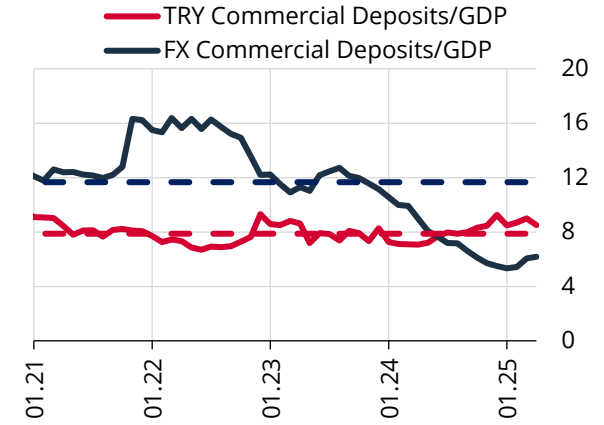
	03.24		12.24		04.25		4-Month Growth (Annualized, %)	Change (%)
	Billion TRY	GDP Share	Billion TRY	GDP Share	Billion TRY	GDP Share		
Turkish lira Commercial Deposits	2,842	9.3	4,247	9.8	4,180	8.6	-4.7	47.0
KKM Accounts (FX-Protected Accounts)	661	2.2	227	0.5	62	0.1	-97.9	-90.6
FX Commercial Deposits	2,384	7.8	2,159	5.0	2,934	6.1	151.2	23.1
(Billion USD)	*74*		*61*		*76*		*94.8*	*3.4*
Public Debt Instruments	54,4	0.2	57,1	0.1	76,4	0.2	139.6	40.4
Private Sector Debt Instruments	114,5	0.4	159,8	0.4	202,6	0.4	103.8	76.9
Total Assets	**5,395**	**17.6**	**6,623**	**15.3**	**7,393**	**15.3**	**39.1**	**37.0**

Source: CBRT, MKK Last Observation: 04.25

Note: GDP share shows the ratio of the relevant item to GDP. Annualized growth is calculated by annualizing the four-month change between 12.24 and 04.25. The last column shows the change between 03.24 and 04.25.

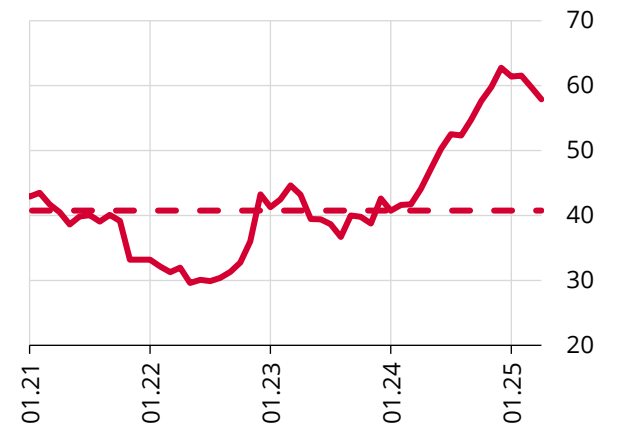
The ratio of corporate sector companies' TRY deposits to GDP continued to hover above its historical average (8%) (Chart III.2.16). The ratio of FX deposits, including KKM accounts, to GDP continued to decline, reaching 5% in February 2025. Meanwhile, in the aftermath of the volatility in financial markets in March 2025, some companies shifted to FX deposits, leading to a 6% increase in the ratio of FX deposits to GDP. As a result, while there was a slight upward movement in the share of FX commercial deposits in total commercial deposits, the ratio of TRY commercial deposits to total deposits remained above its historical average (51%) (Chart III.2.17).

Chart III.2.16: Commercial Deposits/GDP (%)



Source: CBRT Last Observation: 08.05.2025

Chart III.2.17: Share of TRY Commercial Deposits (%)



Source: CBRT Last Observation: 30.04.2025

Note: FX deposits include corporate KKM accounts. Dashed lines show the average of the relevant ratios for the period 01.21–12.24. The share of TRY commercial deposits refers to the ratio of TRY commercial deposits -excluding corporate KKM accounts- to total commercial deposits.

There has been some deterioration in the profitability, liquidity, and financing cost coverage indicators of publicly traded companies.

To evaluate how companies' profitability, liquidity, and debt repayment indicators evolved, the year-end balance sheet and income statement data have been examined for companies listed on the Istanbul Stock Exchange (BIST) that have applied inflation accounting for years 2022 and beyond. Generally, companies' net profit margins declined in 2024 and in the first quarter of 2025, though operating profit margins remained relatively high despite a moderate decrease in the first quarter of 2025. Compared to long-term trends, operating profit margin ratios remained close to long-term averages, while net profit margins fell below long-term averages in 2024 and 2025. A similar trend was observed in the ratio of profitable firms, which measure the prevalence of profitability ratio developments. The downtrend in the liquid asset ratio, which measures companies' liquidity position, continued its downward trend, falling below the long-term average. This decline likely reflects firms' reliance on existing liquid assets rather than bank loans to meet financing needs under tight financial conditions.

The financial expenses coverage ratio (FECR), which measures companies' capacity to cover their financial expenses with their operating income, remained below the long-term average. As of the first quarter of 2025, nearly half of the companies had a FECR above the threshold value of 1.5 (Table III.2.3).

Table III.2.3: Profitability, Liquidity, and Indebtedness Indicators of Corporate Sector Firms Based on Inflation Accounting

Indicator Type	Indicators	Long-Term Average	2022	2023	2024	2025
Profitability	**EBITDA/Assets (%)**	10.2	11.2	9.0	9.4	8.4
Profitability	**EBITDA/Net Sales (%)**	10.0	11.4	11.2	11.8	11.6
Profitability	**Net Profit/Net Sales (%)**	5.1	5.3	5.3	2.8	2.2
Profitability	**Net Profit/Net Sales (%)**	5.0	5.5	6.5	3.5	3.1
Profitability	**Share of Firms with EBITDA/Assets>10%**	34.7	54.9	44.0	43.1	38.0
Profitability	**Share of Firms with Net Profit/Assets>10%**	20.5	29.7	24.5	12.6	11.1
Liquidity	**Liquid Asset Ratio (%)**	23.5	22.1	20.1	18.7	17.8
Liquidity	**Share of Firms with Liquid Asset Ratio>%20**	51.7	57.3	53.9	44.0	42.9
Indebtedness	**FECR Ratio**	2.1	2.2	1.7	1.6	1.6
Indebtedness	**Share of Firms with FECR>1.5 (%)**	55.6	62.4	59.6	50.8	48.2
	Number of Firms		286	343	334	324

Note: The analysis includes companies listed on the BIST that have applied inflation accounting. Financial indicators are median values of the relevant period. EBITDA = Net Operating Profit/Loss + Amortization Expenses, FECR=EBITDA/ Financial Expenses, Liquid Asset Ratio = (Liquid Assets + Inventories+ Securities)/Assets. The columns for 2022, 2023, and 2024 represent year-end values, while the column for 2025 represents annualized first-quarter values. The ratios are weighted values. Outliers are not included in the calculation of solo ratios, while all observations have been taken into account in calculations that show general prevalence. The long-term average is based on years 2011-2019. The columns for 2022-2025 represent values that have been applied inflation accounting. The long-term average covers years 2011-2019, and inflation accounting was not applied in this period.

Box III.2.I: Firm Entry and Access to the Credit Market

Summary: *This study analyzes the effects of different periods of monetary policy on access to finance for firms providing employment and presents various findings on the access to financing under the current tight financial conditions. The findings suggest that in the post-pandemic period of expansionary monetary policy, a large number of firms participated in the credit and labor market, resulting in a gradual increase in the concentration of credit in a larger number of small-scale enterprises. Despite the current tight financial conditions, there has been no significant deterioration in firms' access to credit financing.*

Being included in the labor market and generating employment as well as getting into the credit market and having access to financing for firms are important elements for the dynamism of the national economy. Entrance of firms into the market and their access to financing are mostly expected to be aligned with economic cycles. In Türkiye, where recurrent economic cycles are a common feature, policymakers monitor the conditions of firms' entrance to market and their access to financing to interpret the impacts of policy decisions on economic dynamism. In this study, we analyze the implications of changes in the monetary policy on the access to financing by employment-providing firms and present various findings on the expansion of credit financing in the current business cycle when financial conditions are tight.

Data Set

Two micro datasets are employed in the study. The first is Social Security Institution (SSI) 4A records reported on a firm-employee basis since 2009. This dataset includes the records of private firms that employ at least one employee and make SSI premium payments on behalf of their employees.[1] The second dataset is the credit registry data compiled by the BRSA, which includes commercial loan disbursements by the banking sector on a firm basis. Matching these two datasets facilitates access to the credit market information of enterprises employing at least one employee. To monitor firms' access to the labor and credit markets, the study defines firms that are "**new entrants**". Within the scope of this definition, all firms that were registered in 2009 were pooled together, and firms that were not in this pool were classified as "**new entrants**" in the first quarter when they had been seen starting from 2010. With this classification, new entrants to the labor market and credit market can be monitored dynamically since 2010.

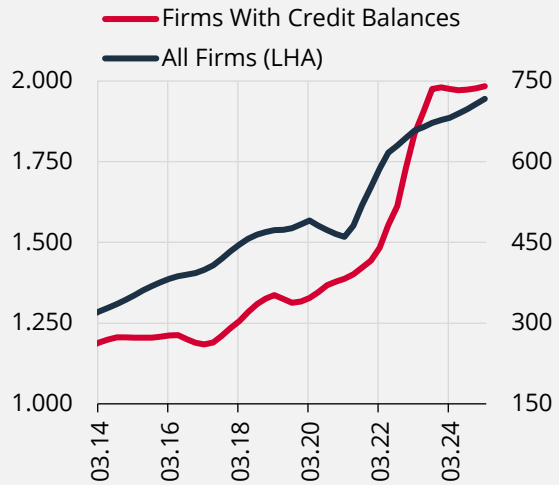
In this context, the total number of firms registered in the SSI 4A dataset is close to 2 million as of the first quarter of 2025, while the number of firms with stock commercial loans among these firms is approximately 750 thousand (Chart III.2.I.1)[2]. After 2020, the increase in the number of firms with loans is more evident than that in the total number of firms. Accordingly, the share of firms with loans in the total rose from 21.9% at end-2019 to 38.1% according to the latest data. This points to rapid progress in firms' access to finance in a short period of time.

New Entries into Labor and Credit Markets

The number of new entrants to the labor and credit markets recorded an upsurge in the post-pandemic period. In general, the trends in entries to the labor and credit markets are quite consistent with monetary policy and credit cycles. At the quarterly frequency, the number of new entrants to the labor market increased rapidly to 80-85 thousand during the monetary easing period of 2021-23, and despite edging down in the subsequent tightening period, it still stands at 75 thousand (Chart III.2.I.2). The ongoing buoyancy in the number of new entrants in the labor market is consistent with the strong prospects in the labor market indicators despite the monetary tightening.

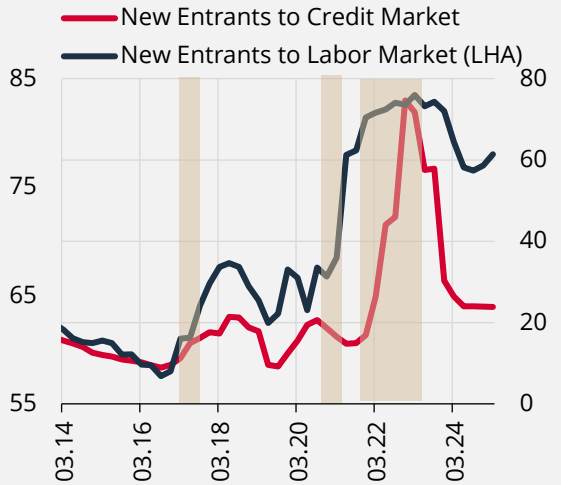
The number of new entrants to the credit market peaked at 72 thousand at the end of 2022 due to monetary easing, and then declined to 24 thousand, according to the latest data. In the second half of 2023, the latest tightening period started, and although credit market inflows declined, they still hover above pre-pandemic levels. Therefore, it is considered that new firms have not currently witnessed a significant deterioration in access to finance under quite tight financial conditions as well as credit growth limits. In this period, banks' lending appetite for new entrants to the labor market, which are expected to have higher financing needs and more limited liquid assets, have not differed from the previous period.

Chart III.2.I.1: Number of Firms in Labor and Credit Markets (Thousand, 4 Quarter MA)



Source CBRT, BRSA Last Observation: 03.25

Chart III.2.I.2: Number of New Firms in Labor and Credit Markets (Thousand, 4 Quarter MA)

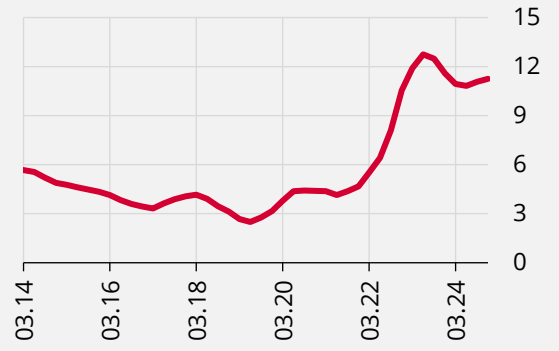


Source CBRT, BRSA Last Observation: 03.25

Note: Firms' loan records are analyzed by taking into account all performing commercial loans denominated in TL or FX. The chart on the left analyzes firms registered in the labor market. In the chart on the right, the red series denotes the number of new firms that enter the credit market and provide employment, while the black series denotes the number of new firms that start to provide direct employment. Shaded areas indicate the 2017 CGF package, 2020 pandemic period and 2021-2023 negative real interest rate periods.

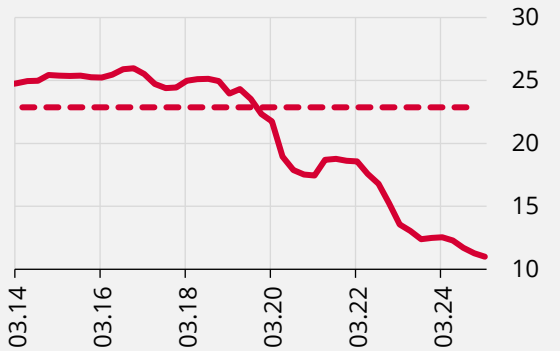
The loan utilization of firms entering the labor market in the period of entrance and in the succeeding quarter also provides significant information regarding the relationship between new entrants and loan financing. In this context, especially after 2022, when TL commercial loan rates were considerably lower in real terms, credit market inflows increased simultaneously with the employment market. According to the latest data, the share of new entrants to the labor market that utilized flow credit in the relevant quarter or the succeeding quarter is 11.3%. Despite the monetary tightening, the tendency of new entrants to utilize credit remains high (Chart III.2.I.3).

Chart III.2.I.3: Share of New Firms Taking Out Loans (%, 4 Quarter MA)



Source: CBRT Last Observation: 12.24

Chart III.2.I.4: Average Number of Employees in Firms Utilizing Credits (Persons, 4 Quarter MA)



Source: CBRT Last Observation: 03.25

Note: The chart on the left shows the percentage share of flow borrowers at time t or t+1 among new entrants to the labor market at time t. The chart on the right shows the quarterly average number of employees of firms that utilized flow loans. In the calculation, tranches of 1% of the sample are excluded from both ends of the sample. The dashed series is the average of the relevant series for the 2010-2023 period.

[1] Occupational groups that do not work for an employer and make premium payments on their own behalf are not included in this dataset.

[2] As of the end of the first quarter of 2025, the total number of single firms with TL or FX-denominated performing commercial loan balances in credit records was 2.2 million. These 750 thousand firms are firms with employment records and their share of total commercial loans in the sector is 82.7%.

The increased inflows to the credit market in the aftermath of the pandemic also changed the average firm profile in the credit market over time. In this context, the average number of employees of firms utilizing loans in a quarter followed a steady downtrend. The average number of employees of borrowing firms, which was around 23 persons before the pandemic, dropped to 11 persons according to the latest data (Chart III.2.I.4). This indicates that there is a much larger number of micro/small enterprises in the credit market, that the credit market is becoming more broad-based and that this trend has not deteriorated despite high interest rates.

Concluding Remarks

The findings suggest that in the post-pandemic period of accommodative monetary policy, a large number of firms entered the credit and labor markets, which resulted in concentration of loans in a larger number of small-scale enterprises and a broader base in financing. Thanks to the firm-bank relationship established through access to finance, credit utilization by these young new entrants continues despite the current tight financial conditions. Increased financial inclusion also contributes to dispersion of the credit risk and reduction of the concentration risk for the banking sector, thereby supporting financial stability.

Accordingly, in January 2025, the CBRT set the growth limit for SMEs at 2.5% based on firm scale in the loan growth-based reserve requirement practice. The Bank also allocated separate limits for these firms, while exempting micro segments such as tradesman and the agricultural sector from the growth limit. Thus, the CBRT aimed to maintain access to finance for these small-scale enterprises.

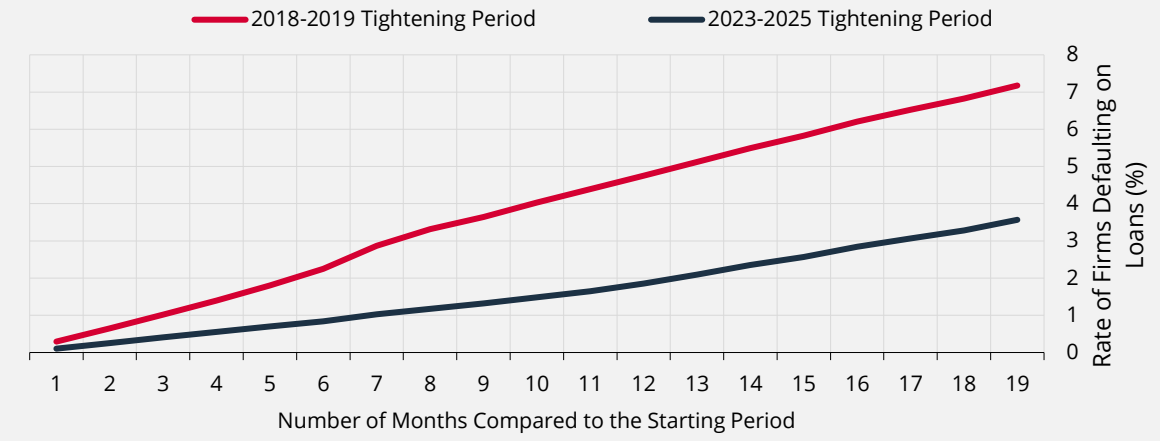
Box III.2.II: A Comparative Analysis of Corporate Sector Riskiness

Summary: *This box analyzes the default risk of corporate sector firms during the monetary tightening periods of 2018-2019 and 2023-2025. The findings show that the share of defaulting firms in the economy is considerably lower in the 2023-2025 period compared to the 2018-2019 period. Notably, during the 2018–2019 tightening cycle, default rates were relatively higher among more productive firms. In contrast, the current tightening cycle has seen higher default rates concentrated among less productive firms.*

Default is defined as a situation in which a firm's loan repayments are subject to legal proceedings, or when a bankruptcy, liquidation, or concordat decision is in place. Rising default rates pose risks to the banking and financial sector and may adversely impact key macroeconomic indicators such as growth, employment and exports—ultimately jeopardizing macroeconomic stability. Moreover, defaults among productive firms can threaten long-term economic and employment growth. This box examines recent developments in the corporate sector riskiness and highlights the differences between the 2018-2019 and 2023-2025 monetary tightening periods.

Monitoring the default rates of healthy firms is critical to sustaining macroeconomic stability. To this end, we employ the methodology employed in Bağır et al. (2024) and construct vintage curves that depict the probability of loan default over time for firms initially classified as financially healthy.[1] In the 2023-2025 period, the probability of loan default in the subsequent months for these firms is markedly lower than in the 2018-2019 period (Chart III.2.II.1). Specifically, approximately 7.2% of healthy firms in May 2018 defaulted within the next 19 months, whereas this figure dropped to 3.6% for firms classified as healthy in May 2023. The rise in defaults typically begins around six months after the onset of monetary tightening. Compared to the earlier tightening period, corporate firms entered the 2023-2025 period with lower indebtedness, higher liquidity, and increased profitability—factors that bolster resilience against financial shocks and mitigate default risks.[2]

Chart III.2.II.1: Vintage Curve for Defaulting Firms on Loans (Monthly, %)



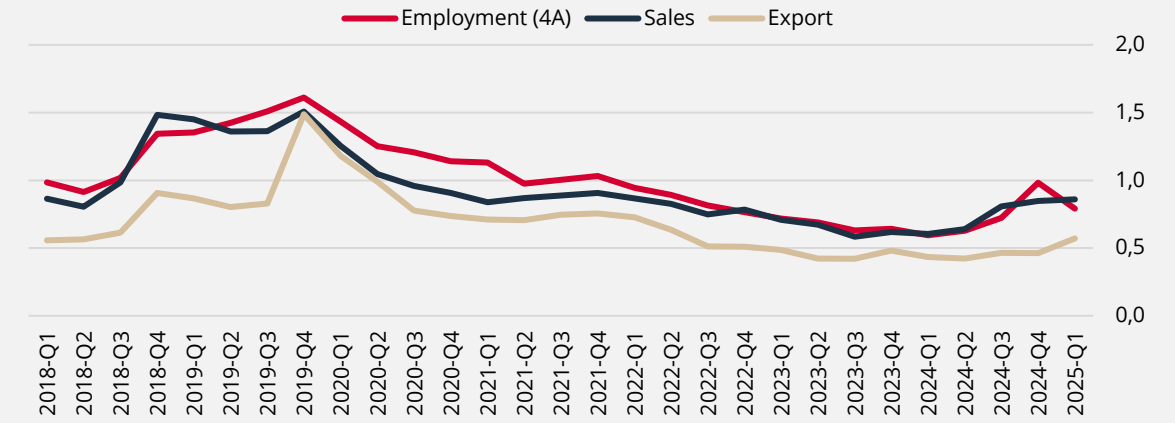
Sources: BAT RC, Authors' calculations

Note: The figure displays the cumulative monthly loan default rates of healthy firms from the end of May of the initial year through a 19-month period.

[1] For easier calculation, Chart 1 takes only non-performing loans into account.
[2] For details, please refer to Blog post in the CBRT Blog.

In addition to the number of defaulting firms, their share in the economy plays a crucial role in maintaining macroeconomic stability. Chart III.2.II.2 presents the proportion of defaulting firms in key economic indicators. During the 2018-2019 tightening cycle, the share of defaulting firms in total employment peaked at 1.61% in the last quarter of 2019. While this share declined from early 2020, it experienced a modest increase in 2024 amid monetary tightening. However, as of the first quarter of 2025, it declined on a quarterly basis. Similarly, the share of defaulting firms in total turnover rose significantly in 2018-2019 but has remained contained in the current period. Regarding exports, defaulting firms have consistently accounted for a smaller share compared to employment and turnover. In 2019, the share in exports approached 1.5%, but it has since fallen below 0.5%. In the first quarter of 2025, however, this share increased to 0.57% amid heightened global uncertainties.

Chart III.2.II.2: Share of Defaulting Firms in the Economy (Quarterly, %)

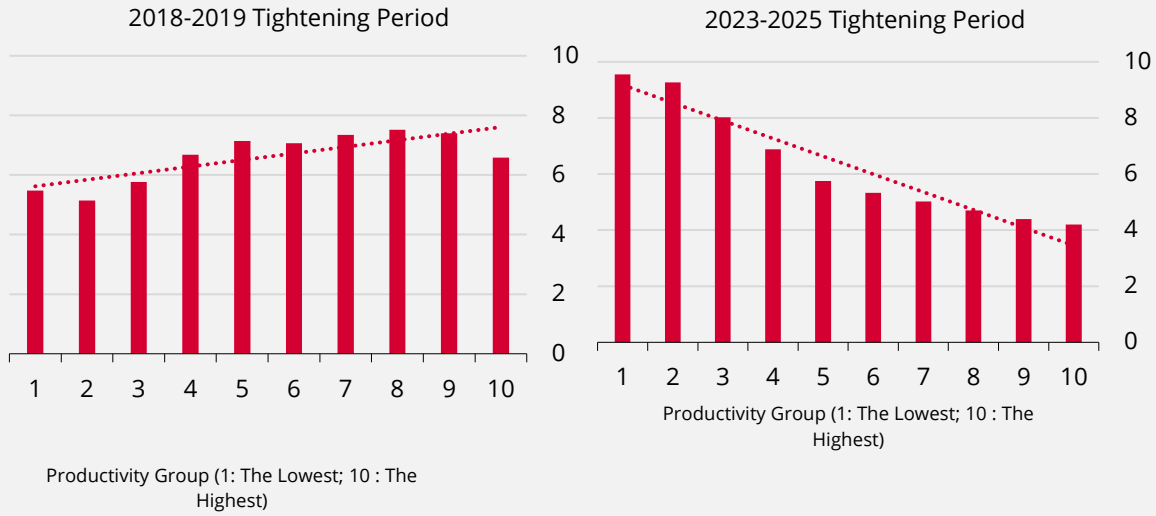


Sources: TBB RM, GİB, SGK, Authors' calculations
Note: 4A category accounts for the employees in the private sector. The employment shares of defaulting firms at the end of the relevant quarter and their shares in total turnover and exports in the last 12 months are shown.

Even if their economic share is limited, defaults by highly productive firms may undermine long-term growth prospects. To assess this risk, default rates across productivity groups were analyzed for both tightening periods. Calculations are based on the productivity levels of firms that were financially healthy at the beginning of each tightening cycle. Firms were classified into deciles by labor productivity within NACE 4-digit sectors to account for sectoral differences in labor intensity—ranging from the least productive (Group 1) to the most productive (Group 10).

Findings show that, in the 2018-2019 tightening period, default rates were notably higher among more productive firms. This is largely attributed to large-scale firms with significant foreign exchange liabilities and relatively high productivity levels. Conversely, in the 2023-2025 tightening period, a negative correlation between productivity and default rate emerges Chart III.2.II.3). Specifically, default rates reach approximately 10% for the least productive firms, while falling to around 4% for the most productive.

Chart III.2.II.3: Default Rates across Productivity Groups (%)



Sources: TBB RM, TURKSTAT
Note: Dashed lines show linear trend.

In sum, corporate sector riskiness and the ratio of defaulting firms as well as their share in the economy hovers at considerably lower levels in the 2023-2025 tightening period than the 2018-2019 period. Accordingly, the current default rates do not pose a critical threat to financial and macroeconomic stability. The inverse correlation between the default rate and productivity indicates that the current monetary tightening is not a hindering factor for economic transformation and long-term growth. Nevertheless, developments in corporate defaults remain an essential metric for maintaining both price and financial stability.

References

Bağır, Y.K., Seven, Ü., Tok, E. (2024) Investigating the Heterogeneous Effects of Rising Commercial Loan Rates on Firms' Default Probabilities (in Turkish), CBRT Research Notes in Economics No:24/11.

IV. Financial Sector

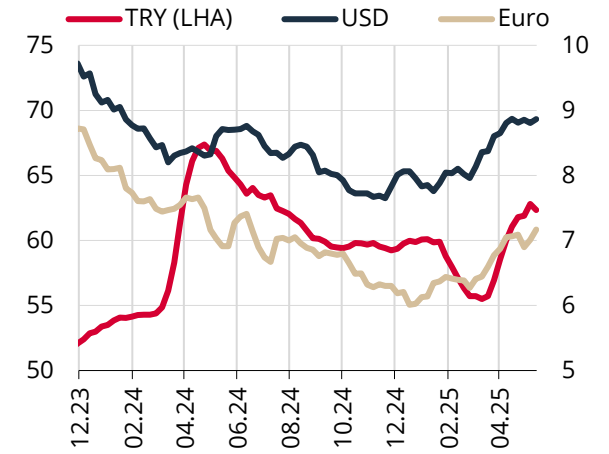
IV.1 Credit Developments and Credit Risk

IV.1.1 Credit Developments

Financial conditions remain tight.

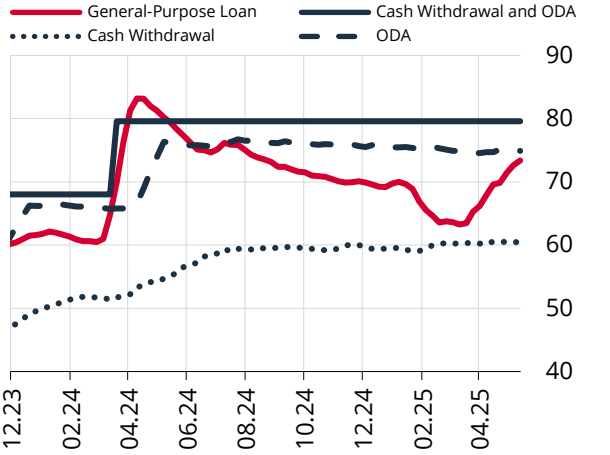
Having receded in the first quarter of 2025 following the policy rate cuts, TL loan rates increased by around 7 percentage points following the hikes in the CBRT overnight lending rate in March and the policy rate as well as the overnight lending rate in April. Due to the fall in global interest rates and the improvement in the sovereign risk premium, FX loan rates declined in 2024. However, FX commercial loan rates have risen since March 2025 amid aggravated uncertainties in global economic policies and heightened sovereign risk premium. The rise in FX loan rates is also attributed to the reduction of the monthly FX loan growth limit to 0.5%, resulting in a constrained FX loan supply (Chart IV.1.1).

Chart IV.1.1: Commercial Loan Rates (Flow, 4 WMA %)



Source: CBRT Last Observation: 16.05.25

Chart IV.1.2: General-Purpose Loan and PCC Interest Rates (Flow, 4 WMA, %)

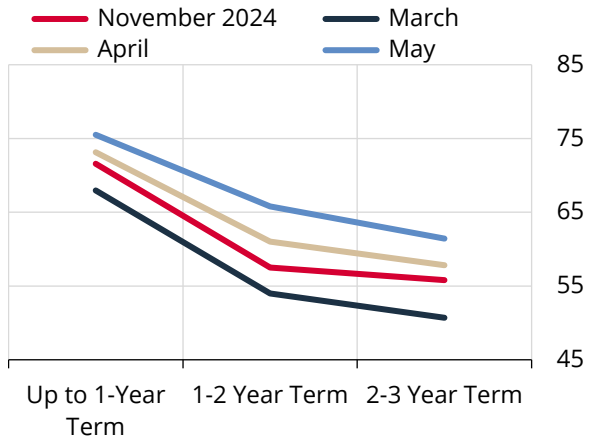


Source: CBRT Last Observation: 16.05.25

Note: Commercial loan rates exclude corporate credit cards, legal person ODAs, and zero-interest loans. Loan rates exclude costs other than interest. General-purpose loan rates exclude real person ODA. The contractual interest rate applicable to credit card purchasing transactions is differentiated according to the term debt. In the current period, the annual compound interest rates applied for cards with a term debt between TRY 0-25.000, TRY 25.000-150.000 and TRY 150.000 and above are 51.1%, 64.8% and 74.5%, respectively. The dashed line for "Cash Withdrawal" is the weighted average interest rate applicable to the amounts converted into loans from credit card balances.

Unsecured retail loan rates still hover above inflation. Since the second quarter of 2024, general-purpose loan rates have been moving in tandem with TL commercial loan rates. Having declined by around 20 percentage points in this period, general-purpose loan rates increased by 10 percentage points to 73% after March 2025. The maximum interest rates for ODA and PCC cash withdrawals did not change after March 2024 and the compound rate remained at 80% in annual terms (Chart IV.1.2). As of November 2024, PCC (shopping) interest rates were differentiated according to the term debt. The tightening effect of this differentiation in PCC rates on those with a high propensity to borrow via credit cards is expected to contribute to the rebalancing in domestic demand.

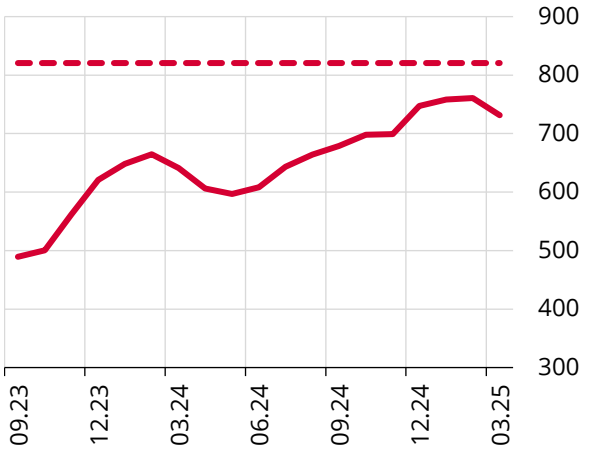
Chart IV.1.3: TL Commercial Loan Rates (Flow, %)



Source: CBRT Last Observation: 13.05.25

Note: Interest rate data is the weighted average of the interest rates on loans extended in the relevant month and is based on daily data. Loan interest rates are the interest rates of TL installment commercial loans with fixed interest rates. Corporate credit cards and loans extended to public institutions and organizations are excluded. Outliers are removed.

Chart IV.1.4: Average Maturity of TL Commercial Loans (Flow, 3-month MA, Original Maturity)



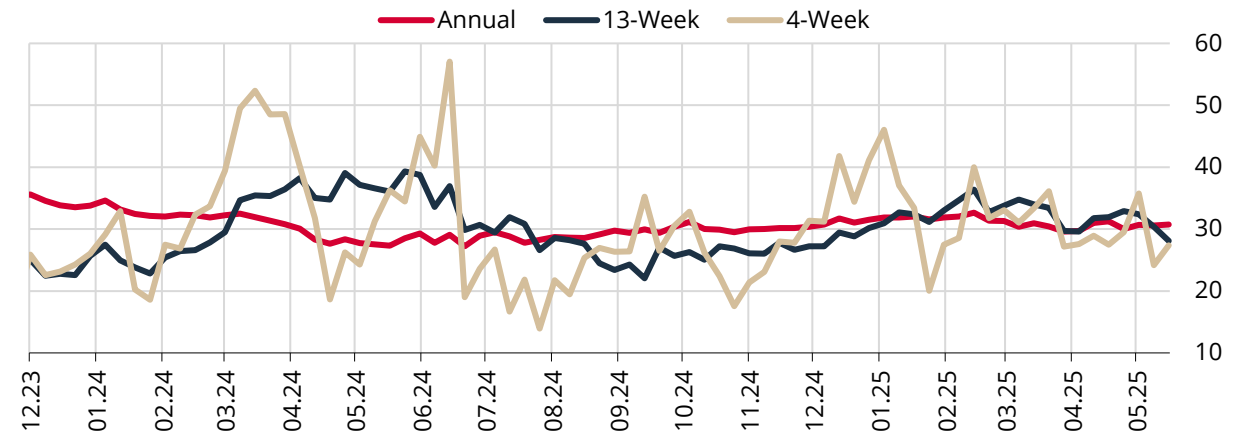
Source: CBRT Last Observation: 03.25

Note: Loan maturities are the maturities of TL installment commercial loans with fixed interest rates. Calculation excludes disbursements with zero maturity, zero interest, and non-reported interest rate structure. The dashed line shows the average of the relevant series for the January 2020-March 2025 period.

The TL commercial loan rates moved upwards for all maturities after the rate hike, while the interest rates are lower in longer maturities.

Better inflation expectations coupled with the course of inflation realizations consistent with forecasts had a downward impact on long-term commercial loan pricing until March (Chart IV.1.3). However, amid the recent financial volatility and the hike in the policy rate and overnight lending rate, TL commercial loan pricing moved upward across all maturities. Owing to improved expectations and the sustained downtrend in inflation, loan pricing is estimated to normalize in the upcoming period. Improved inflation expectations and the projected decline in funding rates in the medium and long-term raise banks' appetite for long-term and fixed-rate loans in terms of their capacity to generate interest income. As a result, the average maturity of fixed-rate TL commercial loans tended to increase until March (Chart IV.1.4).

Chart IV.1.5: Total Credit Growth (FX-Adjusted, Annualized, %)



Source: CBRT Last Observation: 16.05.25

Note: For FX adjustment, the TL equivalent of the FX loan (basket) change, calculated using the average exchange rate over the period, is summed with the TL credit change between the two periods. The change in balance is adjusted for the exchange rate by using the basket exchange rate in the relevant period.

Total loans have displayed flat growth since the second half of 2024. While total commercial loan growth remained steady, the growth composition evolved in favor of TL.

The tight monetary policy stance and the accommodative macroprudential framework still have a binding effect on loan growth. Annual growth in total loans and short-term loan growth moments support this finding. In the current period, total loan growth, which is below retail loan growth and slightly above commercial loan growth rate, has been flat around 31% (Chart IV.1.5). This flat course of total loans is mainly related to the steady growth trend in commercial loans as well as the moderate slowdown in retail loan growth in this period.

Since the last quarter of 2024, FX-adjusted annual growth in total commercial loans has been hovering around 28% on a flat path. After the FX loan growth limit was reduced to 0.5% and exchange rate volatility increased in March, FX commercial loan growth decelerated, while TL commercial loan growth accelerated. However, the annual growth trend of total commercial loans remains unchanged (Chart IV.1.6). This flat and steady course is attributed to the growth limits imposed on loans. An analysis of recent loan growth moments reveals that FX loans slowed down significantly, while TL commercial loan growth gained pace (Chart IV.1.7). However, the growth momentum of aggregate commercial loans has remained almost flat at around 30%. Macroprudential measures implemented in pursuit of price stability as well as financial stability support a more balanced path in the currency composition of loans.

Chart IV.1.6: Commercial Loan Growth
(Annual, %)

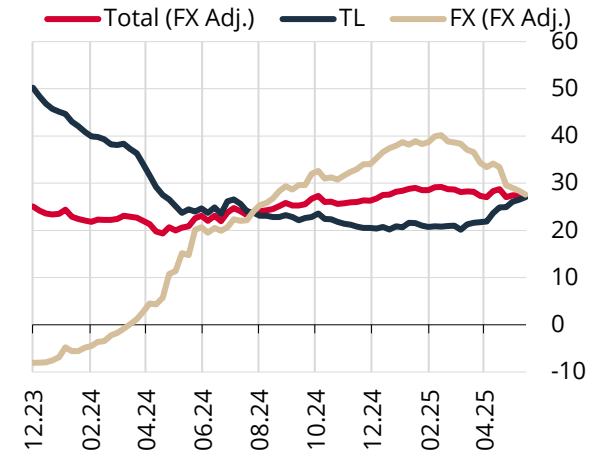
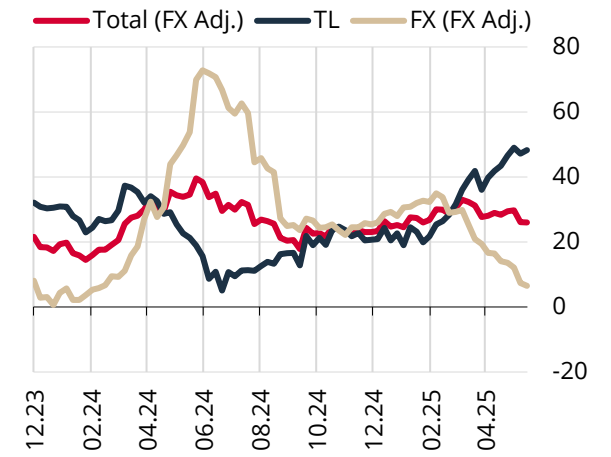


Chart IV.1.7: Commercial Loan Growth
(13-Week, Annualized, %)



Source: CBRT Last Observation: 16.05.25

Note: FX-indexed loans are included in FX loans. FX-adjusted FX loan growth is the ratio of the sum of the Turkish lira equivalent of change in FX loans, measured by multiplying one-year FX (basket) loan change with the one-year average basket exchange rate, to the total loan balance one-year (13 weeks for the right-hand chart) ago.

TL loans, which shape the majority SME loan growth, remain flat, while FX and TL loan growth in other commercial loans move in opposite directions.

During periods of tight monetary policy, credit utilization tendencies of SMEs and other firms may diverge. Due to their relatively low liquidity buffers, SMEs may have stronger demand for credit to meet their working capital financing needs. Therefore, the growth rate of commercial loans extended to SMEs and other firms may differ in certain periods. In 2025, the growth momentum of SME loans fluctuates between 25% and 45%, while that of other corporate loans fluctuates within a relatively narrow band of 21% and 27% (Charts IV.1.8 and IV.1.9). Conversely, in the same period, TL and FX growth rates of other corporate loans move sharply in opposite directions. This is attributed to the notable tightening in FX credit limits and the shift of other firms towards TL loans. On the other hand, TL loan growth, which accounts for a large share in SME loans, remained relatively high, while the FX loan growth momentum has been more volatile.

Chart IV.1.8: Growth of SME Loans (13-Week, Annualized, %)

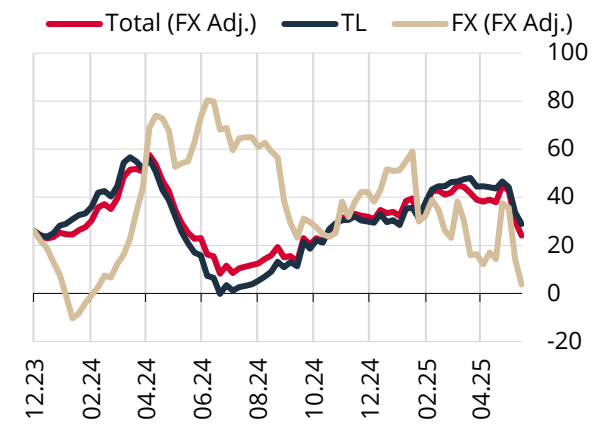
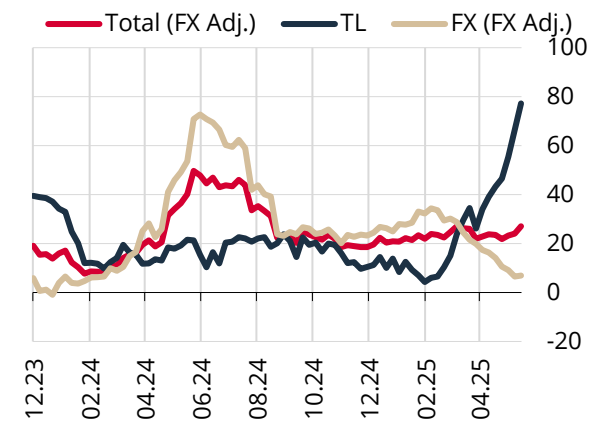


Chart IV.1.9: Growth of Other Commercial Loans (13-Week, Annualized, %)



Source: CBRT

Last Observation: 16.05.25

Note: FX-indexed loans are included in FX loans. FX-adjusted FX loan growth is the ratio of the sum of the Turkish lira equivalent of change in FX loans, measured by multiplying one-year FX (basket) loan change with the one-year average basket exchange rate, to the total loan balance 13 weeks ago.

The effects of growth limits on commercial loans are mainly observed through FX loan growth rates.

Although there are sub-types of loans exempted from the loan growth regulations, monthly commercial loan growth rates, predominantly FX loans, are consistent with the growth rate tresholds (Chart IV.1.10). Meanwhile, a relatively stronger growth trend has been recorded on the TL front due to regulatory exemptions in the first quarter of the year. An analysis of loan growth by bank groups reveals a balanced structure. In February and March 2025, TL loan growth gained some momentum in both public and private banks, while FX loan growth remained more limited (Charts IV.1.11 and IV.1.12).

Chart IV.1.10: Commercial Loan Growth (4-Week, FX-Adjusted, %)

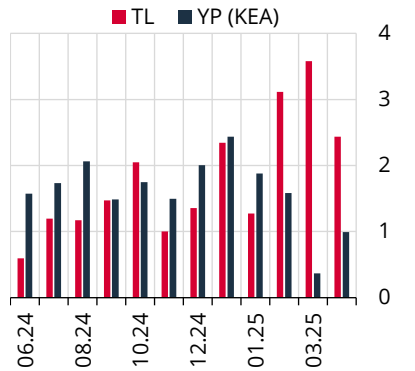


Chart IV.1.11: TL Commercial Loan Growth (4-Week, %)

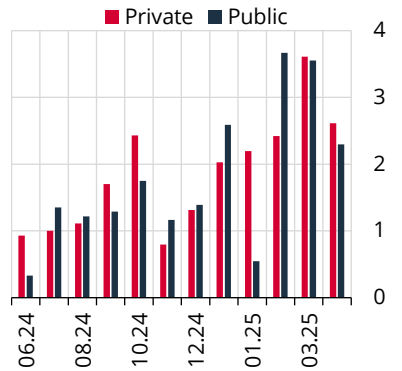
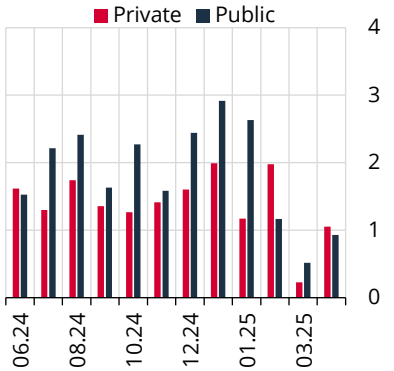


Chart IV.1.12: FX Commercial Loan Growth (4-Week, FX-Adjusted, %)



Source: CBRT

Last Observation: 25.04.25

Note: FX-indexed loans are included in FX loans. FX-adjusted FX loan growth is the ratio of the sum of the Turkish lira equivalent of change in FX loans, measured by multiplying four-week FX (basket) loan change with the four-week average basket exchange rate, to the total loan balance four weeks ago. Within the scope of the regulation, growth rates are based on the four-week RR maintenance periods.

Amid the strong effect of credit growth limits, loans not subject to limitations become noticeable in commercial loan growth.

While contributions of loans with or without limitations on growth move in tandem in TL SME loans, they diverge clearly in other corporate loans (Charts IV.1.13 and IV.1.14). This is attributed to the difference in limits for SME loans, which is 2.5% and for other corporate loans, which is 1.5%. As for FX loans, the 0.5% growth limit on FX loans appears to be binding to a significant extent (Chart IV.1.15). It is considered that the regulations and tighter growth limits for FX loans have restrained a possible deterioration in the

exchange rate risk outlook of firms, and that TL and FX growth limits have also contributed significantly to the disinflationary process.

Chart IV.1.13: Growth of TL SME Loans (4-Week, %)

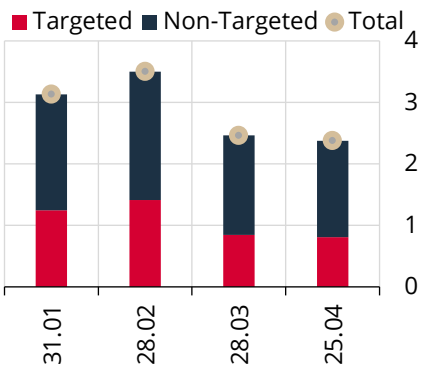


Chart IV.1.14: Growth of Other TL Commercial Loans (4-Week, %)

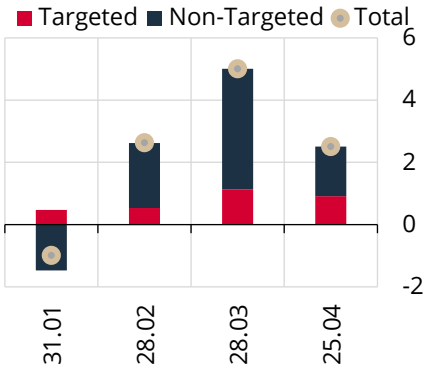
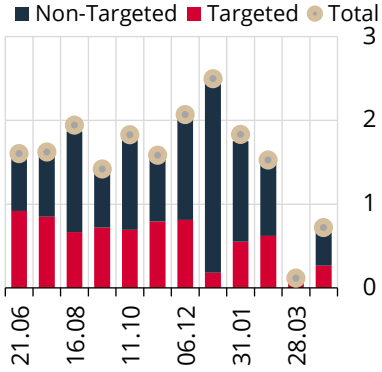


Chart IV.1.15: FX Commercial Loan Growth (4-Week, FX-Adjusted, %)



Source: CBRT
Last Observation: 25.04.25

Note: Within the scope of the regulation, the calculation of growth rates is based on the four-week RR maintenance periods. The contribution of FX commercial loans to growth is based on the basket exchange rate. The charts show the contribution of items with or without constraints to growth in percentage points.

While retail loan growth receded due to PCC growth, the slowdown in personal loan growth was more limited.

Due to the macroprudential measures and the tight monetary policy stance towards retail loans, annual growth in retail loans lost some pace in 2025 (Chart IV.1.16). Although general-purpose loans surged in the first quarter due to periodic expenditures such as education payments, they decelerated somewhat after March (Chart IV.1.17). As for PCC, the 13-week growth momentum slowed down slightly (Chart IV.1.18).

Chart IV.1.16: Retail Loan Growth (%)

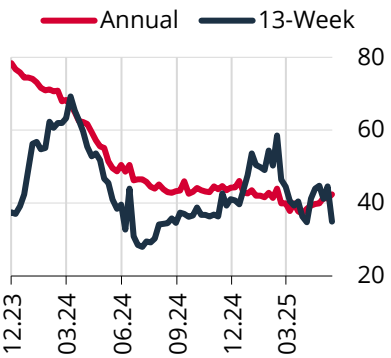


Chart IV.1.17: General-Purpose Loan Growth (%)

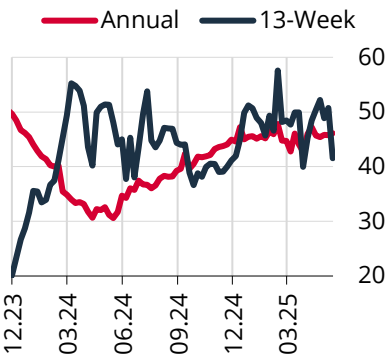
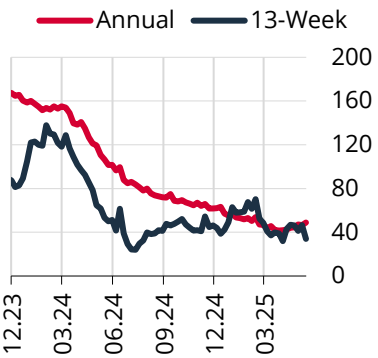


Chart IV.1.18: PCC Growth (%)



Source: CBRT
Last Observation: 16.05.25

Note: Annual series shows 12-month loan growth, while 13-week series shows annualized 13-week growth.

While the growth in general-purpose loans was driven by ODA utilization, the decline in PCC balance growth was driven by the slowdown in the balance of shopping expenditures.

Due to the 2% monthly growth cap on general-purpose loans excluding ODA, banks shifted their lending appetite toward the ODA product, resulting in higher ODA growth throughout 2024. Chart IV.1.19). Although the brisk growth trend in ODA decelerated in 2025, the inclusion of ODA balances with installments over 3 months in the growth limits in March is expected to slow down the pace of ODA growth in the upcoming period. The slowdown and stabilization in the PCC growth is evident in utilization of cards for shopping purposes (Chart IV.1.20). The 13-week growth rates of the non-installment PCC, which is mainly used for payment purposes, and the 13-week growth rates of the installment PCC, which is more related to expectations and borrowing needs, move quite close to each other and follow a downward trend

in the current Report period (Chart IV.1.21). Moreover, the recent deceleration in PCC growth is consistent with the disinflation process.

Chart IV.1.19: General-Purpose Loan Growth (13-Week, %)

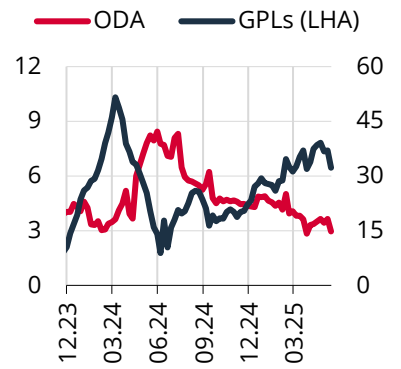


Chart IV.1.20: Growth in PCC Balance (3-Month, %)

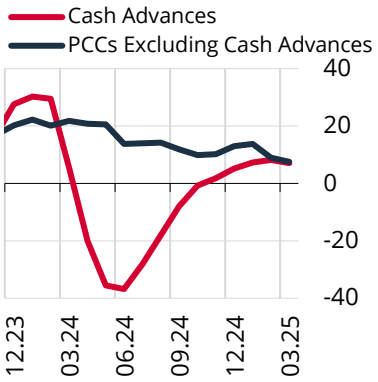
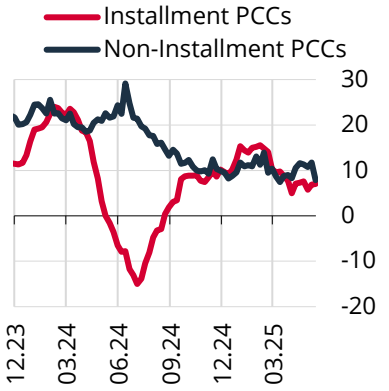


Chart IV.1.21: Growth in PCC Balance (13-Week, %)



Source: CBRT
Last Observation: 16.05.25
Note: General-purpose loans exclude ODAs. Growth figures are not annualized.

Within secured retail loans, housing loan growth followed a positive course, while vehicle loan balances continued to decline.

Since early 2024, the increase in house prices that lagged behind inflation, the pent-up housing demand and the decline in housing loan rates have pushed annual growth in housing loans above 20% (Chart IV.1.22). The 13-week growth momentum indicates that housing loans remain buoyant, albeit at a slightly slower pace in 2025. The growth limit imposed on vehicle loans and the considerably low levels in the loan-to-value ratio limits still lead to a tightening in these loans (Chart IV.1.23). On the other hand, the growth momentum of vehicle loans extended by financing companies also points to a contraction as of the second quarter of this year (Chart IV.1.24).

Chart IV.1.22: Housing Loan Growth (%)

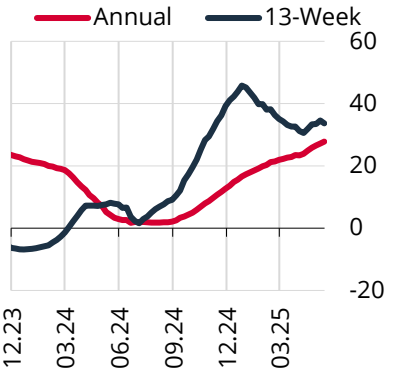


Chart IV.1.23: Banking Sector Vehicle Loan Growth (%)

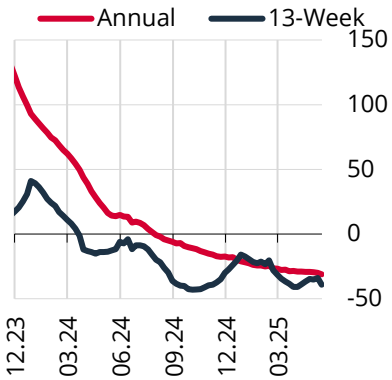
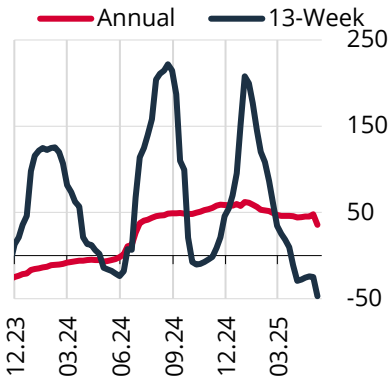


Chart IV.1.24: Financing Firms Vehicle Loan Growth (%)



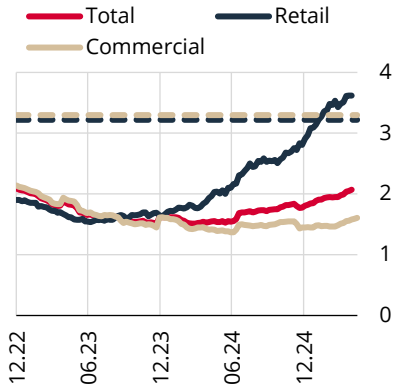
Source: CBRT
Last Observation: 16.05.25
Note: Annual series indicate 12-month loan growth, while 13-week series show annualized 13-week growth. Vehicle loans are retail vehicle loans extended by the banking sector and financing companies.

IV.1.2 Credit Risk

While the uptrend in the sector's total asset quality indicators continues, retail and commercial loan segments diverge in their asset quality outlooks.

The banking sector's total NPL ratio increased slightly to 2.1%, mainly driven by the rise in the retail NPL ratio. The retail NPL ratio climbed slightly above its historical average to 3.7%, while the commercial NPL ratio remained flat below its historical average at 1.6% (Chart IV.1.25). This can be attributed to low commercial indebtedness ratios and liquidity buffers. The similar pattern was also observed for Stage 2 loans. While the ratio of Stage 2 retail loans remains high, the Stage 2 ratio of TL commercial loans posted a limited rise. Besides, the ratio of FX Stage 2 commercial loans continues to decline due to the strong growth in FX commercial loans (Chart IV.1.26). The combined indicator for NPL and Stage 2 loans shows that the rise in non-performing loans on the retail side was offset by the moderate course of commercial loans. The proportion of the sum of these two loan groups to gross loan stock remained almost flat at 10% (Chart IV.1.27).

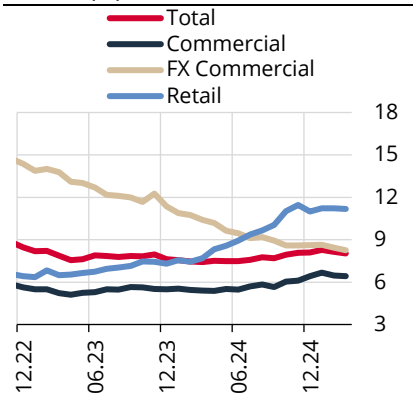
Chart IV.1.25: NPL Ratios (%)



Source: CBRT Last Obsv.: 16.05.25

Note: Dashed lines indicate the average of the relevant series for the 2012-2022 period.

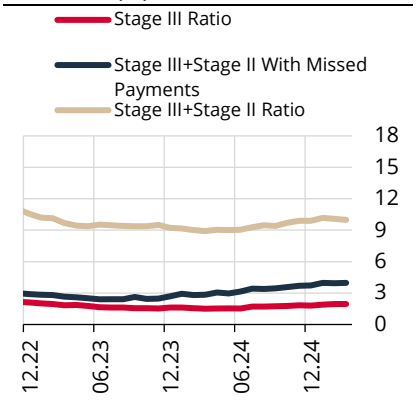
Chart IV.1.26: Ratio of Stage 2 Loans (%)



Source: CBRT Last Obsv.: 03.25

Note: Series show the ratio of Stage 2 loans to gross loans.

Chart IV.1.27: Asset Quality Outlook (%)



Source: CBRT Last Obsv.: 03.25

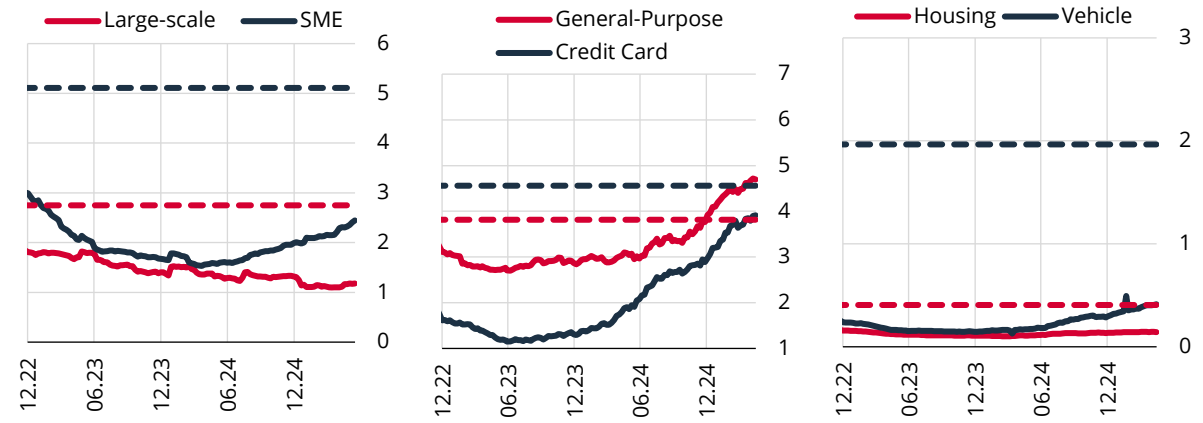
Note: Asset quality indicators are proportioned to gross loans.

The retail NPL ratio increased due to general-purpose loans and credit cards. Among commercial loan subsegments, it was SME loans that recorded an increase in the NPL ratio.

While commercial NPL ratios remained flat below their historical averages, they diverged across sub-segments. The NPL ratio of SMEs has increased slightly to 2.4%, while the NPL ratio of other firms, which includes large and corporate enterprises, stands at 1.2%. The rise in the retail NPL ratio was driven by general-purpose loans and credit cards. The general-purpose loan NPL ratio increased to 4.7% and the credit card NPL ratio rose to 3.9%. In September 2024, the CBRT differentiated credit card maximum contractual interest rates based on term debt to lower credit card indebtedness. In the same period, the BRSA introduced a debt restructuring facility of up to 60 months for credit card debts with missed minimum payments and general-purpose loans with at least 30 day-overdue payments. In 2025, the BRSA revised the limits for general-purpose loans and expanded individuals' credit utilization limits. The regulations slightly curbed the rate of increase in the non-performing loan ratio of retail loans. Particularly after the BRSA's regulation in February 2025, the rate of increase in the NPL ratio of general-purpose loans decelerated. [1] Finally, the robust collateral structure and cautious loan-to-value ratio approach continue to limit the risks associated with housing and vehicle loans. NPL ratios of these loans are well below their historical averages (Chart IV.1.28).

[1] According to an announcement by the BRSA on February 13, 2025, credit terms were revised as 36 months for loans up to TL 125,000, 24 months for loans between TL 125,000 and 250,000, and 12 months for loans above TL 250,000.

Chart IV.1.28: NPL Ratios in the Breakdown of Loan Types (%)

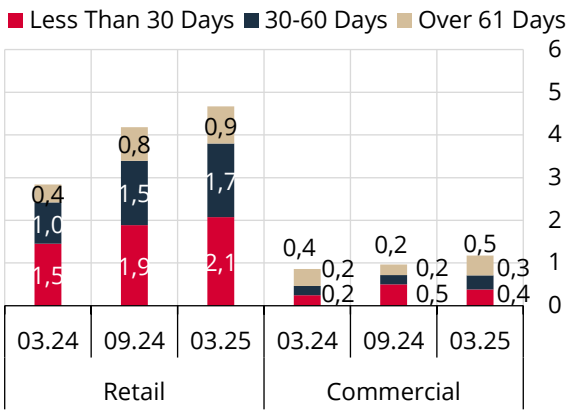


Source: CBRT Last Observation: 16.05.25
Note: Dashed lines indicate the average of the relevant series for the 2012-2022 period.

In retail loans, the share of overdue loans in total loans continued to increase, while the ratio remained relatively flat for commercial loans.

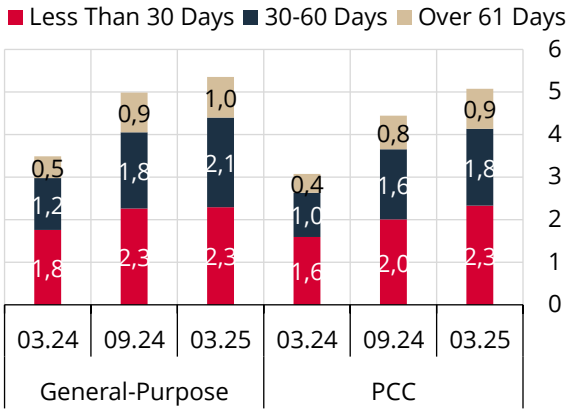
In accordance with the TRFS-9 standard used for loan classification, banks are able to classify under Stage 2 those loans that, although not past due, exhibit a significant increase in credit risk. Accordingly, 75% of Stage 2 loans are not overdue but classified under Stage 2 loans due to a significant increase in their credit risk. In the first quarter of 2025, the ratio of overdue Stage 2 retail loans to gross loans rose to 4.7%, and the same ratio for corporate loans increased to 1.2% (Chart IV.1.29). Compared to March 2024, there was an increase in all three loan groups classified based on their overdue days as less-than 30 days, between 30-60 days and more than 61 days in arrears. The rising trend in overdue general-purpose loans and credit cards continue, where overdue rates rose to 5.4% and 5.1%, respectively. (Chart IV.1.30).

Chart IV.1.29: Ratio of Overdue Loans (%)



Source: CBRT Last Observation: 03.25
Note: The chart shows the ratio of overdue loans and Stage 2 loans to gross loans.

Chart IV.1.30: Ratio of Overdue Loans (%)



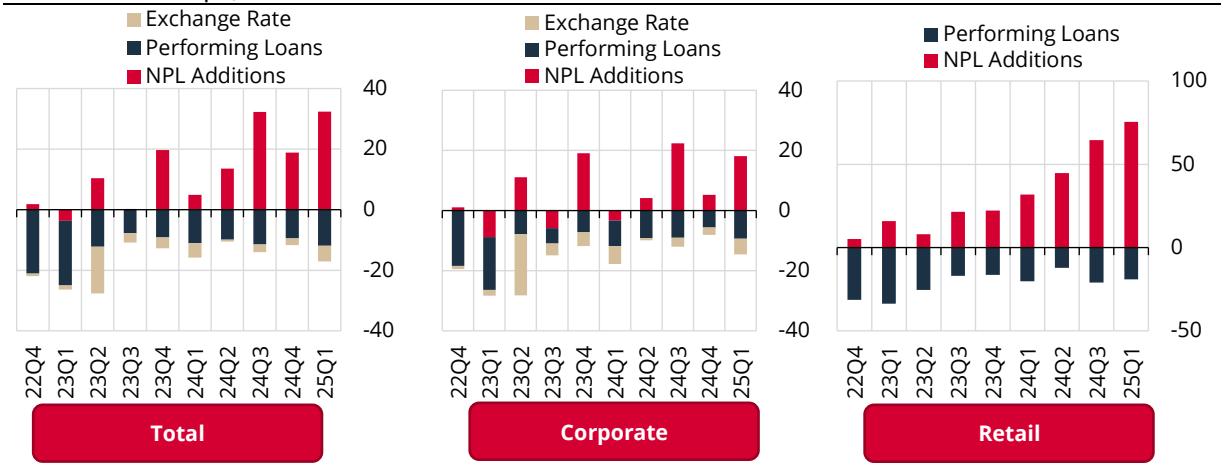
Source: CBRT Last Observation: 03.25
Note: The chart shows the ratio of overdue loans and Stage 2 loans to gross loans.

Recent changes in the NPL ratio have been driven by the increase in retail NPL balances.

An analysis of the factors contributing to the change in the total NPL ratio reveals that since the second half of 2023, contributions of additional NPLs have accelerated, despite the continued downward impact of loan growth and exchange rate developments. The periodically changing contribution of NPL additions to the commercial NPL ratio and downward effects of loan growth and exchange rate developments were

determinant in the flat course of the commercial NPL ratio. Retail NPL ratios, on the other hand, continued to increase as the growth in additional NPLs outpaced the loan growth (Chart IV.1.31).

Chart IV.1.31: Contributions to the Change in NPL Ratios (3-Month Total Contributions, bps)



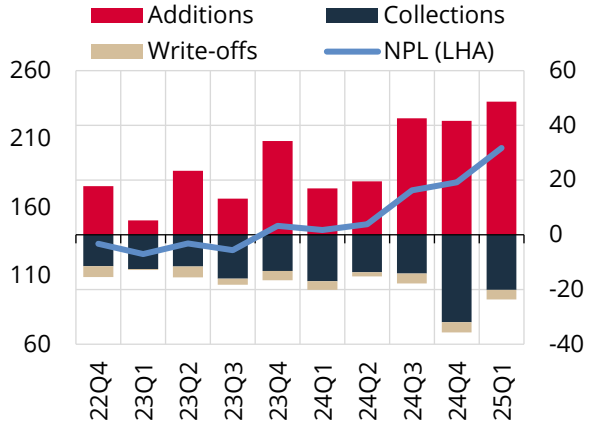
Source: CBRT Last Observation: 03.25

Note: The graph shows the total contribution amount in the relevant three months. For technical details on the methodology, see Financial Stability Report of November 2018, Box IV.1.I.

NPL collections were high for commercial loans but limited in retail loans.

Commercial NPL additions increased in the second half of 2024 due to financial and demand conditions. In the first quarter of 2025, additions in commercial NPLs exceeded collections, and the NPL balance reached TL 203 billion (Chart IV.1.32). Although the overall trend suggests a balance between collections and additions, the ratio of additional commercial NPL collection lagged behind its historical average due to the negative performance in the first quarter of 2025 (Chart IV.1.33).

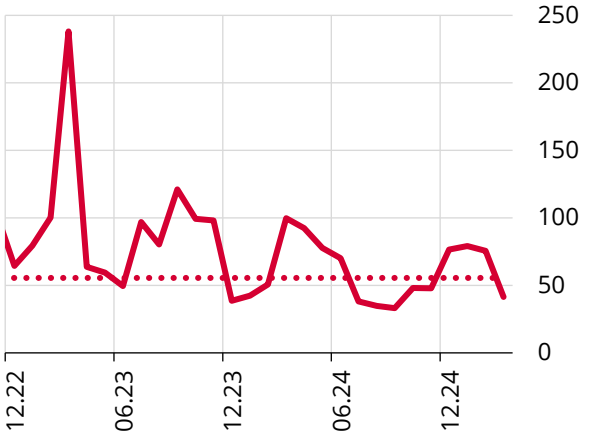
Chart IV.1.32: Components of Commercial NPL Balance (Billion TL)



Source: CBRT Last Observation: 03.25

Note: Series for collections and additions are based on three-month totals. An outlier was excluded from the data for 2022. Additions are calculated by subtracting the migrations to performing loans from new NPL additions.

Chart IV.1.33: Commercial Collections/Additions Ratio (%)



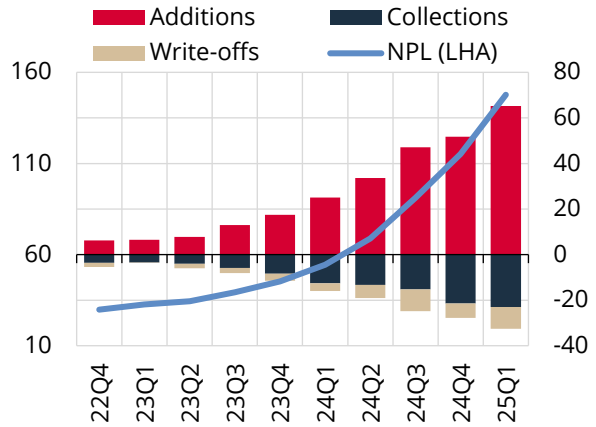
Source: CBRT Last Observation: 03.25

Note: Shows the ratio of three-month total NPL collections to three-month total net NPL additions. The dashed line indicates the average of the relevant series for the 2014-2022 period. An outlier was excluded from the data for 2022. Additions are calculated by subtracting the migrations to performing loans from new NPL additions.

The surge in the retail NPL balance was mainly driven by NPL additions. In the first quarter of 2025, NPL additions increased to TL 65 billion, pushing the retail NPL volume to TL 148 billion in the last quarter of the year (Chart IV.1.34). Although there was a partial increase in collections in this period, the rate of increase

lagged behind that of additions. As a result, the ratio of retail NPL collections to additions remained below its historical average (Chart IV.1.35).

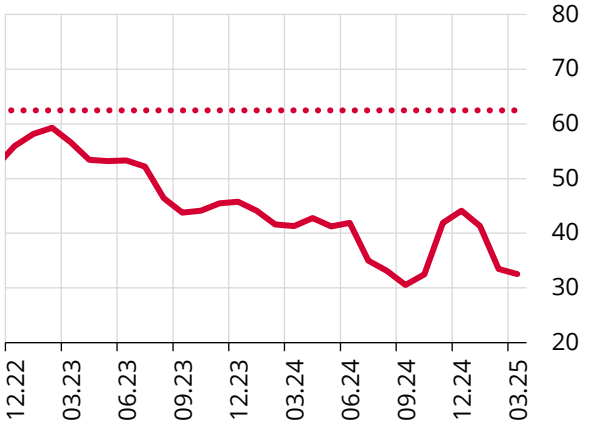
Chart IV.1.34: Components of Retail NPL Balance (TL Billion)



Source: CBRT Last Observation: 03.25

Note: Series for collections, additions and write-offs are based on three-month totals. Additions are calculated by subtracting the migrations to performing loans from new NPL additions.

Chart IV.1.35: Retail Collection/Addition Ratio (%)



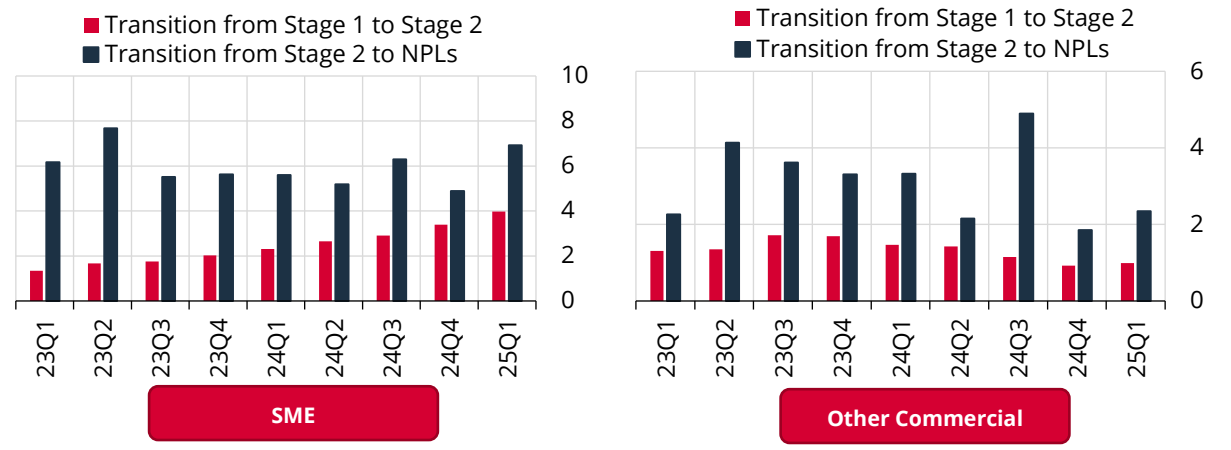
Source: CBRT Last Observation: 03.25

Note: Shows the ratio of three-month total NPL collections to three-month total NPL additions. Dashed line indicates the average of the relevant series for the 2014-2022 period. Additions are calculated by subtracting the migrations to performing loans from new NPL additions.

Leading indicators for commercial loans do not suggest a significant increase in the probability of transition to the NPL category for SME loans.

Loan transition probability indicators, signaling the forward outlook for commercial credit risk, show a modest rise for SMEs and large enterprises. (Chart IV.1.36). For SMEs, which have higher riskiness than large enterprises, the probability of transition from Stage 1 to Stage 2 increased to 4%, and the probability of transition from Stage 2 to NPLs increased to 6.9%. In the same period, transition probabilities for large enterprises edged up to 1% and then rose to 2.3%.

Chart IV.1.36: Transition Probabilities (%)



Source: CBRT Last Observation: 03.25

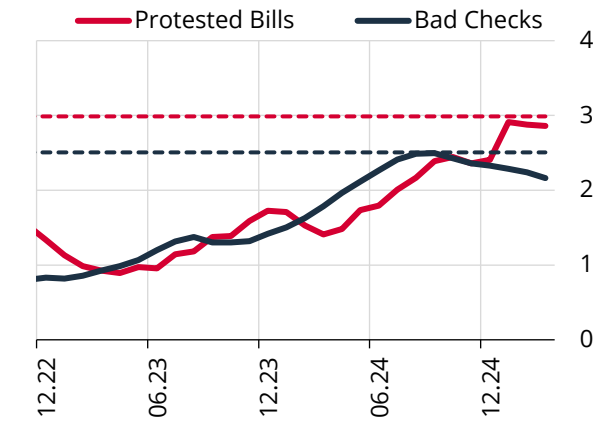
Note: The transition probability from Stage 1 to Stage 2 is estimated as the ratio of the loan amount migrating from Stage 1 to Stage 2 within the latest one-year period to the Stage 1 loan balance a year ago. The transition probability from Stage 2 to NPL is estimated as the ratio of the loan amount migrating from Stage 2 to NPL within the latest one-year period to the Stage 2 loan balance a year ago.

Indicators for commercial payment performance across firms hover below their historical averages. Subdued economic activity and tight financial conditions may negatively impact firms' commercial payment performance. Between March 2024 and March 2025, the ratio of protested bills to total commercial bills increased from 1.4% to 2.9%, and the ratio of bad checks to total checks submitted to banks increased from 1.8% to 2.2%. Since the second half of 2024, these rates have converged to their historical averages. The ratio of bad checks has declined since the end of 2024, while the improvement in protested bills has been more modest (Chart IV.1.37).

Personal credit scores, reflecting the risk profile of retail loan applicants, have not exhibited a significant deterioration.

Personal credit ratings of loan applicants are above the historical average for all retail loan types except the ODA (Chart IV.1.38). The recent improvement in housing loans—which typically receive higher application ratings than other loan types—is attributed to the income levels of individuals who are still able to purchase a home despite prevailing financial tightness. On the other hand, the below-historical average readings for ODA are linked to restrictions on general-purpose loans and the inclusion of a broader customer base for ODA applicants.

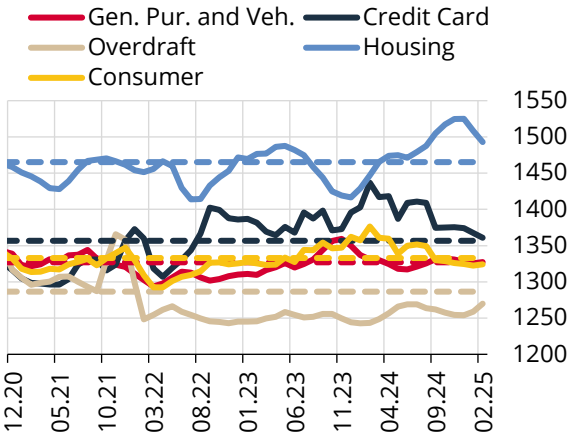
Chart IV.1.37: Protested Bills and Bad Checks (3-Mnth MA, %)



Source: CBRT Last Observation: 03.25

Note: Denotes the ratio of bad checks to total checks submitted to banks and the ratio of protested bills to commercial bills collected. Dashed lines indicate the average of the 2014-2022 period.

Chart IV.1.38: Personal Credit Rating



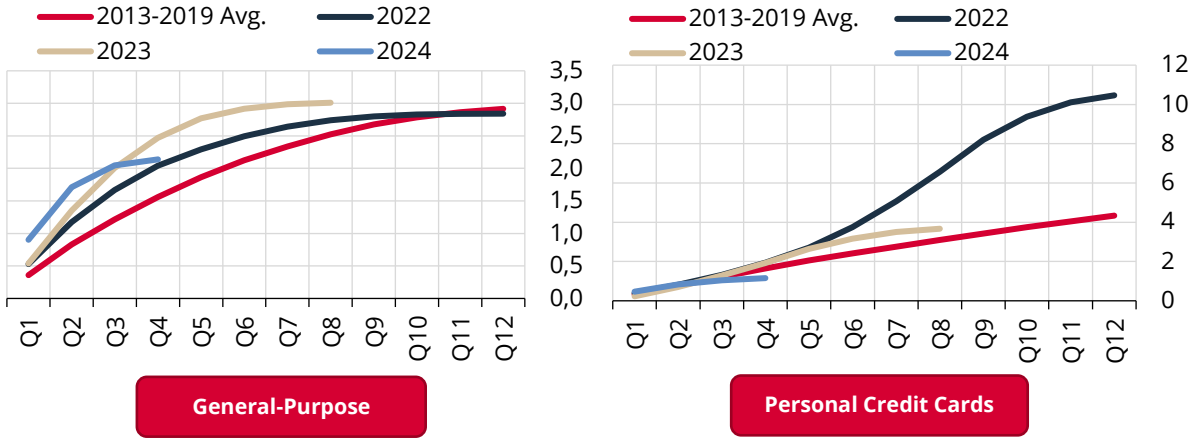
Source: CBRT Last Observation: 02.25

Note: Personal credit rating indicates the average credit rating of applicants in the respective period. Based on a three-month moving average. Dashed lines show the average of January 2020-February 2025 period.

For retail loans extended in 2024, the transition rate to non-performing loans (NPLs) remained below the levels observed in previous years.

NPL transitions of loans from the year of disbursement can be monitored by aging analysis, allowing the tracking of riskiness in general-purpose loans and credit cards throughout the credit term. The transition of general-purpose loans extended in 2023 to NPLs was above that of other years. While general-purpose loans extended in 2024 fared worse in terms of transiting to NPLs in the first three quarters, the picture for PCCs was similar to previous years (Chart IV.1.39).

Chart IV.1.39: Personal Credits Aging Analysis



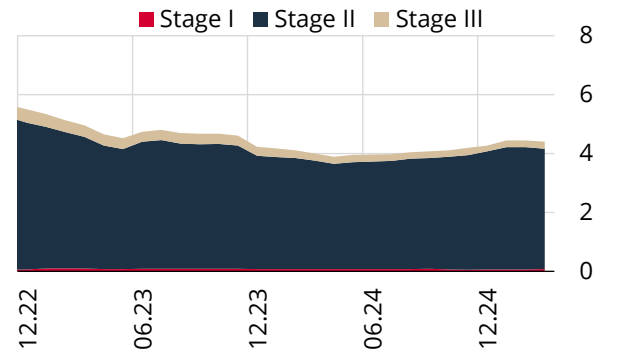
Source: CBRT Last Observation: 03.25

Note: Aging analysis shows the cumulative development of NPL ratios for loans extended in the respective year across quarters. The figures are expressed as percentages.

While the restructured loan ratio showed some increase, particularly after the restructuring facility provided for general-purpose loans and PCCs, banks preserve their policy of high provisioning against potential loan losses.

Of the total restructured loan balance, 93% are classified in Stage 2, 5.5% in NPLs, and a limited share in Stage 1. In September 2024, the BRSA introduced a regulation allowing debt restructuring of up to 60 months for credit card debts with overdue minimum payments and general-purpose loans that are at least 30 days past due. From the enactment of the regulation until March 2025, the balance of restructured Stage 2 general-purpose loans increased by TL 41 billion to TL 72 billion. In the same period, the restructured credit card balance in Stage 2 increased by TL 53 billion to TL 107 billion. This increase pushed the overall restructured loan ratio up by 33 basis points to 4.4% compared to September 2024 (Chart IV.1.40). Although there has recently been a moderate decline in banks' provisioning for the management of credit risk, the sector continues to maintain its prudent stance. Provisions earmarked for Stage 2 loans and NPLs are high at 16% and 76%, respectively (Chart IV.1.41). Banks appear to have maintained their prudent stance against future possible risks and adhered to their high provisioning policy.

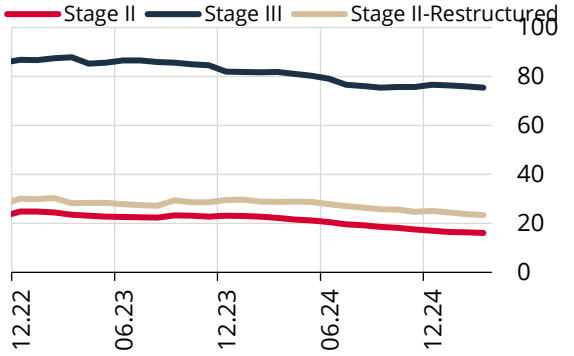
Chart IV.1.40: Restructured Loans (%)



Source: CBRT Last Observation: 03.25

Note: Series show the ratio of restructured loans to gross loans. Stage 1: Ratio of restructured loans monitored under standard loans. Stage 2: Ratio of restructured loans under closely-monitored loans.

Chart IV.1.41: Expected Loss Provisioning Ratio (%)



Source: CBRT Last Observation: 03.25

Note: Expected loss provisioning ratio is the ratio of the expected loss provision of the loan in the related category to the loan amount in that category.

Box IV.1.I: Loan Supply Capacity Index

Summary: *This Box presents the evolution of the commercial lending capacity of bank balance sheets using selected financial indicators from the banking sector. The results of the index produced by using liquidity, asset quality, profitability, and capital position indicators show that banks' lending capacity is above historical averages. Measures implemented to address loan growth have a balancing effect on excessive loan growth that may arise from supply-side factors.*

The evolution of corporate loans is determined not only by the corporate sector's demand for loans, but also by banks' appetite to supply them. Loan demand is shaped by the firm's liquidity needs and expectations, as well as by the maturity, currency type, and interest rate of the loan, while loan supply is largely determined by banks' expectations, strategies, and the lending capacity of their balance sheets. Balance sheet indicators play a decisive role in determining banks' loan supply and contain important information about banks' lending capacity. For example, a bank with a strengthening liquidity position, increasing capital, and improved profitability will see an increase in its lending capacity, while a bank with a decline in these ratios will experience a contraction in its lending capacity. In this box, in order to closely monitor developments in the banking sector's commercial loan supply capacity, an indicator is derived using various ratios obtained from financial statements. Developments in this indicator, referred to as the commercial loan supply capacity index, provide important information for understanding trends in banks' lending appetite and anticipating the potential effects of policy measures on financial conditions.

Data and Methodology

In this box, we use monthly data of 10 banks -- three public banks and seven private banks -- for the period from January 2012 to March 2025. As of March 2025, these banks represented approximately 86% of the banking sector's deposits, approximately 81% (82%) of commercial loans (shareholders' equity). Selected indicators in asset quality, capital position, profitability, and liquidity position categories are subject to principal component analysis by categories (Table IV.1.I.1). However, prior to this, the indicators are tested for stationarity[1].

Table IV.1.I.1: Selected Categories and Indicators Pertaining to Loan Supply Capacity

Asset Quality	Capital	Profitability	Liquidity
Special Provisions Stock / Non-Performing Loans	**Main Capital Adequacy Ratio (Pu)**	**Return on Assets**	**Liquid Assets/ Total Assets**
NPL Ratio	**Regulatory Capital Adequacy Ratio**	Return on Equity	**Loans/ Deposits Ratio**
Cost of Risk (Pr)	**Shareholders' Equity/ Deposits**	Profit Growth Rate	**Deposits/ Total Liabilities**
	Shareholders' Equity/ Non-Deposit Debts (Pr)	**Net Interest Income / Average Interest Earning Assets (Pr)**	**Securities Portfolio/ Total Assets (Pu)**
	Real Capital (Pu)		
	Other Foreign Liabilities / Shareholders' Equity		

Note: Cost of risk is calculated by dividing the sum of annual general and specific provisions to gross loans. Real capital is calculated by adjusting shareholder's equity for inflation using the CPI index. Non-deposit liabilities include liabilities to the CBRT, liabilities to the money market, liabilities to the securities lending market, liabilities to banks, and liabilities from repo transactions. Other foreign liabilities include issued securities and subordinated debts. The profit growth rate refers to the annual growth of 12-month accumulated profit. The net interest income/average interest-earning assets ratio is calculated by dividing the 12-month cumulative net interest income after provisioning by the 12-month average of interest-earning assets. Liquid assets include cash assets, cash reserves, Takasbank and BIST Interbank market funds, foreign banks' free funds, funds obtained from reverse repo transactions, and the securities portfolio. The abbreviations (Pu) and (Pr) refer to variables used exclusively in public and private banks in PCA analysis, respectively. All variables not marked with these abbreviations were used for both sectors. Variables shown in bold were used in the index prepared for all 10 banks. The selection of variables within the category was made in such a way that the first principal component represented at least 50% of the total variance. The Bartlett sphericity test and the Kaiser-Meyer-Olkin (KMO) test (>=0.50) conditions were also sought.

[1] The modified Dickey-Fuller GLS test proposed by Elliot-Rothenberg-Stock (1996) is applied with the Bayesian information criterion for the optimal lag and at 95% confidence level.

Some standardized indicator time series are multiplied by (-1) before principal component analysis as their expected impact on loan supply is negative. In this context, the NPL ratio, the cost of risk, other foreign liabilities/equity ratio, and loan/deposit ratio series were multiplied by (-1). The first components ($\widehat{\boldsymbol{B}}_{\boldsymbol{it}}$) obtained after principal component analysis are used after ensuring stationary. Subsequently, optimizations carried out to best explain the trend in FX-adjusted commercial loan growth ($\mathbf{g_t}$) in order to calculate the weight of each category in the final index. The weights ($\widehat{\boldsymbol{w}}_{\boldsymbol{it}}$) are calculated as presented in Equation (1).

$$\widehat{\boldsymbol{w}}_{\boldsymbol{it}} = \underset{\boldsymbol{w_{it}}}{\mathbf{argmin}}\left(\sum_{\boldsymbol{i=1}}^{\boldsymbol{4}} \boldsymbol{w_{it}}\widehat{\boldsymbol{B}}_{\boldsymbol{it}} - \boldsymbol{g_t}\right)^{\boldsymbol{2}},\ \ \mathbf{0} \le \widehat{\boldsymbol{w}}_{\boldsymbol{it}} \le \mathbf{1},\ \ \sum_{\boldsymbol{i=1}}^{\boldsymbol{4}} \widehat{\boldsymbol{w}}_{\boldsymbol{it}} = \mathbf{1} \qquad (1)$$

Before calculating the weighting coefficients ($\widehat{\boldsymbol{w}}_{\boldsymbol{it}}$), the z-score values are found after the stationarity analysis of the loan growth rate in question. For each month, weight combinations that would minimize the deviation from loan growth are obtained. Subsequently, the period averages of the relevant weights are taken to determine the index coefficients. After calculating the average weight ($\overline{\boldsymbol{w}}_{\boldsymbol{i}}$) for the entire period (T), the index values are calculated using the variable ($\widehat{\boldsymbol{E}}_{\boldsymbol{t,2}}$) calculated according to Equation (2), with the December 2011 value set to 100 for interpretability.

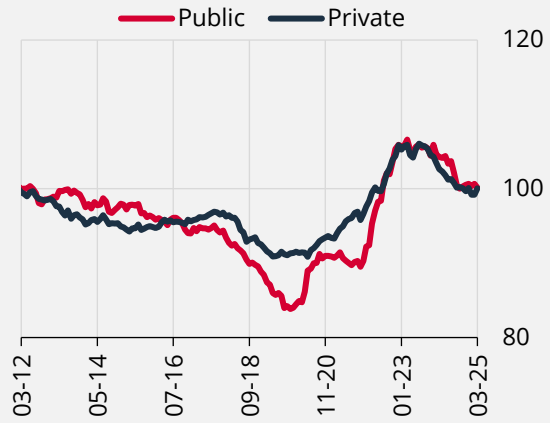
$$\widehat{\boldsymbol{E}}_{\boldsymbol{t,2}} = \sum_{\boldsymbol{i=1}}^{\boldsymbol{4}} \overline{\boldsymbol{w}}_{\boldsymbol{i}}\widehat{\boldsymbol{B}}_{\boldsymbol{it}}\ ,\ \ \overline{\boldsymbol{w}}_{\boldsymbol{i}} = \sum_{\boldsymbol{t=1}}^{\boldsymbol{T}} \widehat{\boldsymbol{w}}_{\boldsymbol{it}}/\boldsymbol{T} \qquad (2)$$

Results

Firstly, the weights of the subcategories included in the index are calculated based on their averages over the entire period, broken down by public and private banks, and the explanatory power of each category in the index was examined. Accordingly, it is concluded that the asset quality category stands out in terms of lending capacity, both across the sector and in the public/private distinction. Therefore, a deterioration in asset quality is expected to lead to a decrease in banks' lending appetite or to a reflection of this deterioration onto credit prices. Meanwhile, profitability in private banks and asset quality in public banks have the highest average weights. Due to their more competitive structures, the relatively high capital and profitability category weights in private banks stand out with respect to credit supply. Public banks, particularly during economic recession periods, prioritize supporting the economy through subsidized loans with favorable interest rates rather than focusing on the profit/capital outlook in credit supply due to their countercyclical credit policies. Therefore, the relationship between loan policies and the profit/capital outlook can be considered relatively weaker.

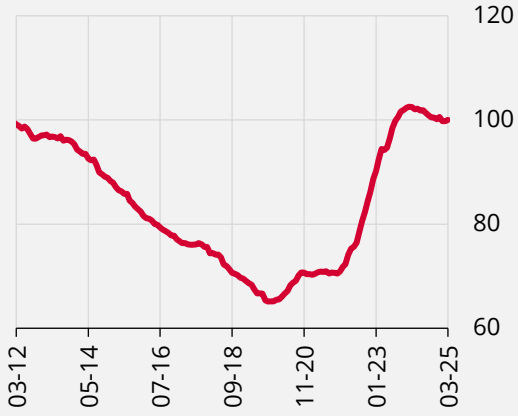
Loan supply capacity index values were calculated using the weighted averages of the categories for the entire period (Charts IV.1.I.1 and IV.1.I.2). An increase (decrease) in the index is interpreted as an increase (decrease) in credit supply capacity. Accordingly, there was a decline in the loan supply capacity of public and private banks in the 2012-2019 period. The decline in loan supply capacity became more pronounced in 2018-2019. This is attributed to the rapid deterioration in asset quality due to exchange rate developments during the relevant period, the decline in profitability indicators, and the tightening in TRY liquidity facilities stemming from rapid dollarization in the system. During and after the pandemic, there was a significant increase in loan supply capacity. The active use of CBRT swap facilities during the period significantly helped bank balance sheets in terms of TRY liquidity management, and due to expansionary policies and favorable interest rates, asset quality significantly improved and bank capital became stronger. These factors supported banks' loan supply capacity until the second half of 2023. The KKM accounts introduced at the end of 2021 and payments of exchange rate differences also provided a significant amount of permanent liquidity for banks, easing the funding composition and supporting both liquidity and profitability. As a result, the loan supply index reached its highest value across all bank groups in the first half of 2023.

Chart IV.1.I.1: Public and Private Sector's Commercial Loan Supply Capacity Index (12.2011=100)



Sources: CBRT, BRSA Last Observation 03.25

Chart IV.1.I.2: Commercial Loan Supply Capacity Index (12.2011=100)



Sources: CBRT, BRSA Last Observation: 03.25

Note: Each series shows index findings produced using coefficients obtained by taking the averages of dynamically determined weights for the entire period. The index value for December 2011 is set at 100.

Despite a slight decline in the index due to the tight monetary policy introduced in the second half of 2023, banks remain in a strong position in terms of their lending capacity. Although NPL ratios have increased slightly during the current tightening period, asset quality has not deteriorated as much as it did in previous tightening periods. And although exchange rate difference payments arising from KKM accounts have gradually decreased, the intense capital inflows and the increasing preference for TRY deposits have supported banks' liquidity outlook. Moreover, due to the rise in short-term and flexible-rate lending in the banking sector, assets have been repriced at higher rates during the current tightening period, thereby preventing a significant deterioration in profitability indicators.

Considering all these factors together, it seems that currently, banks' lending capacity is strong. This strong lending capacity may lead to rapid credit expansion in periods of high credit demand. In this context, monthly credit growth restrictions are imposed to maintain tightness in the loan market and support monetary transmission. As the disinflation process becomes more evident and the anticipated balance in domestic demand is achieved, the restrictive nature of these loan growth limits will diminish.

References

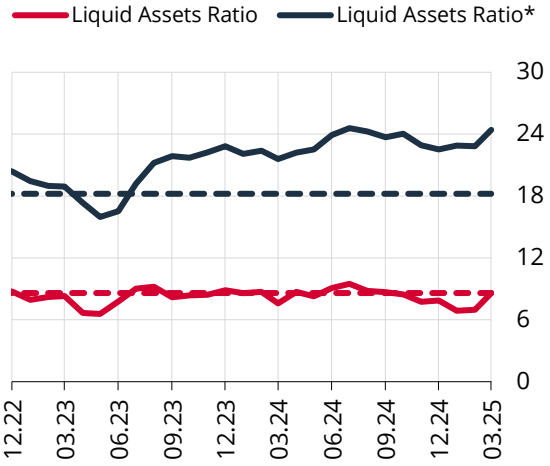
Elliot, G., Rothenberg, T. J., & Stock, J.H. (1996). Efficient tests for an autoregressive unit root. Econometrica, 64(4), 813-836.

IV.2 Liquidity Risk

The banking sector holds liquid assets at a level to sustain its sound financial structure.

Having declined somewhat in the second half of 2024, the sector's liquid assets ratio (excluding RRs) rebounded in the first quarter of 2025 and returned to its historical average. Meanwhile, the liquid assets ratio including RRs and free deposits held at the CBRT was well above its historical average (Chart IV.2.1). The CBRT's revisions to the RR ratios to manage the excess liquidity in the system had an impact on the ratio's elevated level. In the last quarter of 2024, the modest decline in the free account balance at foreign correspondent banks and in the unencumbered GDS portfolio had a downward effect on the liquid assets ratio excluding RRs. Liquid assets ratios rose in March 2025 as the related accounts resumed their upward trend. Despite a drop, the unencumbered GDS ratio remained close to its historical average. The ratio of free accounts at foreign banks to assets surpassed its historical average as a result of the increase of these accounts (Chart IV.2.2).

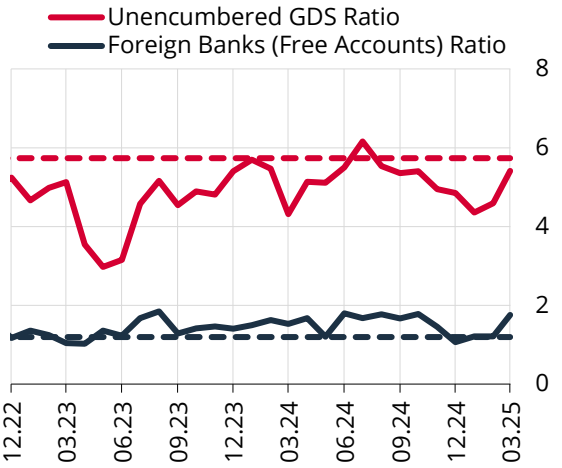
Chart IV.2.1: Share of Liquid Assets (%)



Source: CBRT Last Observation: 03.25

Note: Liquid Assets Ratio = (Cash Reserves + Free Accounts at Foreign Banks + Unencumbered GDS + Reverse Repo Receivables + Takasbank and BIST Interbank Market) / Assets. Liquid Assets Ratio* = (Cash Reserves + Free Accounts at Foreign Banks + Unencumbered GDS + Required and Free Reserves) / Assets. Dashed lines represent the 2012-2021 average.

Chart IV.2.2: Share of Selected Liquid Items (%)



Source: CBRT Last Observation: 03.25

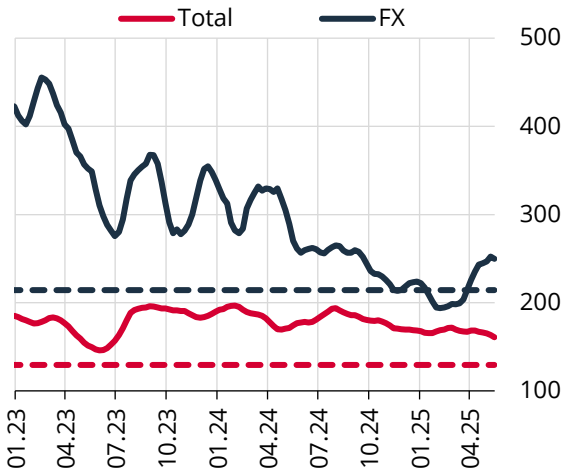
Note: Unencumbered GDS Ratio= Government Debt Securities Not Subject to Collateral /Assets. Foreign Banks (Free Accounts) Ratio = Free accounts at Foreign Banks / Assets. Dashed lines represent the average of each series between 2012 and 2021.

Alternative liquidity indicators also suggest that banks have a strong liquidity structure.

Liquidity coverage ratios (LCR), which are indicators of banks' ability to meet net cash outflows within 30 days with high-quality liquid assets, remain above legal limits (Chart IV.2.3). Accordingly, the banking sector's liquid assets are capable of meeting possible short-term TL and FX cash outflows. In 2024, the growing preference for TL deposits on the one hand and stronger demand for FX loans on the other, led banks to use their FX liquid assets for FX loan placement. These developments resulted in a reduction in the balance of FX cash inflows within 30 days, which stands in the denominator of the LCR calculation, as well as a decline in FX LCR. This trend partially reversed in the first quarter of 2025 with the lowering of the monthly growth limit for FX loans to 0.5% and the partial rise in FX deposits, leading to a higher FX LCR. This indicator is still above the regulatory threshold and its historical average.

Recent developments in the loan-to-deposit ratio (LDR) indicate that banks have a stable funding structure. Total LDR, after hitting a historical low in 2023, increased slightly and has recently been flat around 85 percent. TL and FX LDR also followed a similar course, albeit with some divergence in the recent period. The robust TL deposit growth and the rise in FX loan growth amid the tight monetary policy stance and macroprudential measures caused TL LDR to decline and FX LDR to rise until the end of February 2025. Following the recent tightening of macroprudential measures for FX loan growth and the uptrend in FX deposits, FX LDR went down while TL LDR went up (Chart IV.2.4).

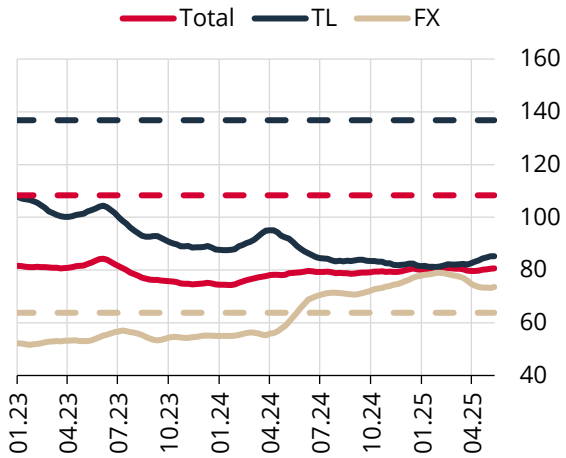
Chart IV.2.3: Liquidity Coverage Ratios
(4-Week MA, %)



Source: CBRT Last Observation: 16.05.25

Note: Development and investment banks (DIBs) are excluded. Based on unconsolidated reports of banks. Minimum regulatory thresholds for total and FX LCR are 100% and 80%, respectively. Dashed lines represent the average of each series between 2014 and 2021. LCR= High-quality liquid assets/net cash outflows within 30 days

Chart IV.2.4: Loan/Deposit Ratio
(4-Week MA, %)



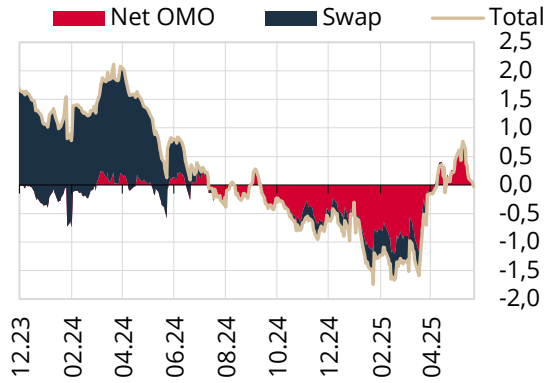
Source: CBRT Last Observation: 16.05.25

Note: DIBs are excluded. Loans extended to banks and bank deposits are not included. Dashed lines represent the average of each series between 2014 and 2021.

The funding need of the system turned positive, driven by the increased FX demand of non-residents.

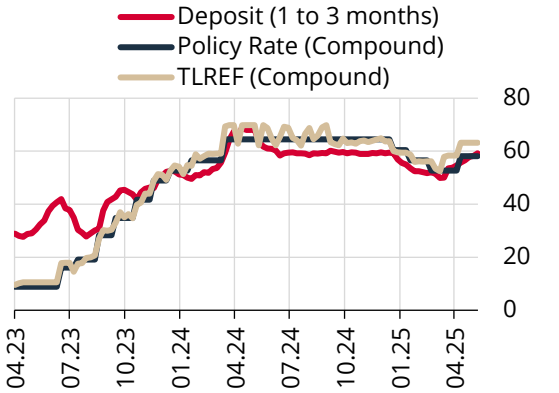
The strong demand for TL assets created a significant amount of excess TL liquidity in the system between April 2024 and March 2025, However, as of mid-March, the excess TL liquidity in the system decreased and eventually turned into a liquidity deficit as a result of non-residents reducing their TL positions and depositors' increasing preference for FX deposits following the volatility in financial markets. However, the recent recovery of interest from foreigners and depositors' preference for TL deposits have reduced the liquidity deficit in the market. Temporary excess liquidity can thus be observed on some days (Chart IV.2.5). Market and deposit rates with maturities of one to three months fell in tandem with the policy rate following the CBRT's rate cuts started in December 2024. On the other hand, TL deposit rates went back on the rise after March 2025 as the CBRT first raised the overnight lending rate and then the policy rate at the MPC meeting on April 17. Due to the hikes in the policy rate and the overnight lending rate, the compound interest rate on TL deposits with a maturity of one to three months increased by 932 bps from its level on March 14 to 59.2% on May 16, 2025 (Chart IV.2.6). The course of TL deposit rates in the upcoming period is expected to be driven by the policy rate, liquidity conditions in the market, and macroprudential policies, as well as inflation and exchange rate expectations.

Chart IV.2.5: CBRT Funding (Trillion TRY)



Source: CBRT Last Observation: 22.05.25

Chart IV.2.6: TL Deposit and Policy Rates (%)



Source: CBRT Last Observation: 16.05.25

Note: Interest rates are annual compound rates.

Following the CBRT's monetary tightening measures, the increase in FX deposits ended.

The rise in TL deposits and the downtrend in KKM accounts continues in 2025. Between the end of 2024 and May 13, 2025, TL deposits increased by TRY 1.545 trillion, while KKM accounts decreased by TRY 509 billion. While the growth rate of TL deposits slowed down as of mid-March, the rise in TL deposits became noticeable again after April 17, 2025 (Chart IV.2.7). A slight increase was observed in commercial FX deposits due to some firms' limited shift to FX for currency risk management, the transition of legal persons from terminated KKM accounts to FX deposits and developments in financial markets since mid-March. The increase in the euro/dollar parity and the rise in gold prices in international markets also contributed to the increment in FX deposit balances in terms of US dollars. On the back of these developments, from end-2024 up until April 17, 2025, FX deposits increased by USD 34.6 billion, but when adjusted for exchange rates and parity effects, the change in FX deposits was USD 18.1 billion (Chart IV.2.8). Following the CBRT's hike of the policy rate and the lending rate on April 17, 2025, FX deposits adjusted for parity and gold price effects declined by USD 1.5 billion, during the period up to May 16, 2025.

Chart IV.2.7: Change in TL Deposits and KKM in 2025 (Trillion TL)

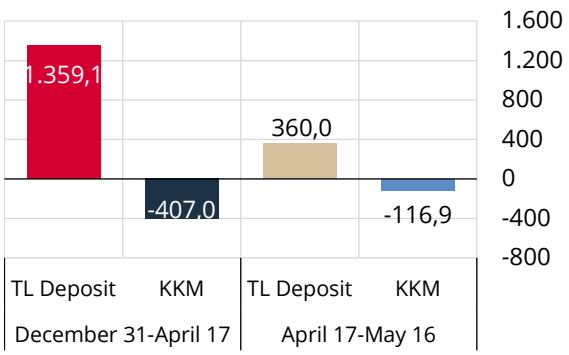
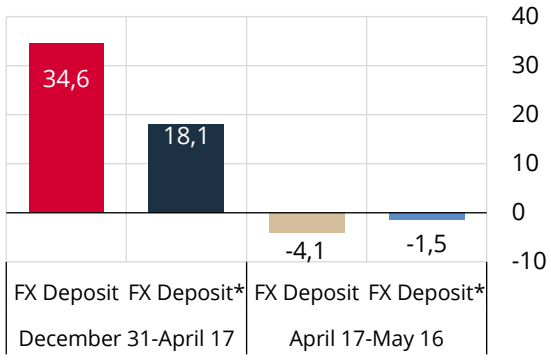


Chart IV.2.8: Change in FX Deposits in 2025 (Billion USD)



Source: CBRT

Note: The first part of the change in deposits chart represents the change between December 31, 2024, and April 17, 2025, and the second part represents the change between April 17, 2025, and May 16, 2025. FX Deposit* balance is adjusted for parity and gold price effects.

The share of TL deposits in total deposits remains above its historical average, despite a slight decline in the recent period.

The current tight monetary policy as well as the macroprudential measures that encourage the transition from KKM to TL deposits and aim to increase the share of TL deposits keep the real interest rate at high levels and continue to support the preference for TL deposits. The CBRT's decision to terminate the opening and renewal of KKM accounts for legal entities as of February 15, 2025, has also helped to maintain the sustained high share of TL deposits excluding KKM (Chart IV.2.9). Despite a slight decline in the recent period, the share of TL deposits in total deposits hovers slightly above its long-term average. The development of the share of TL deposits in savings deposits and commercial deposits also confirms the ongoing preference for TL (Chart IV.2.10). In the recent period, households' shift towards FX deposits remained limited, thereby ensuring that the decline in the share of TL deposits in savings deposits remains limited. While the decline in commercial deposits is more evident, the share of TL deposits remains significantly above the long-term average.

Chart IV.2.9: Distribution of Total Deposits (Share, %)

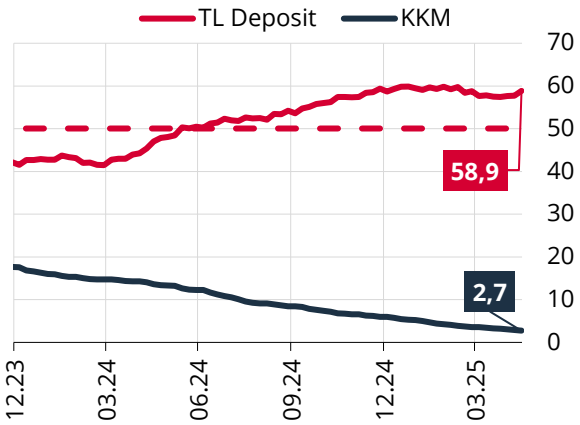
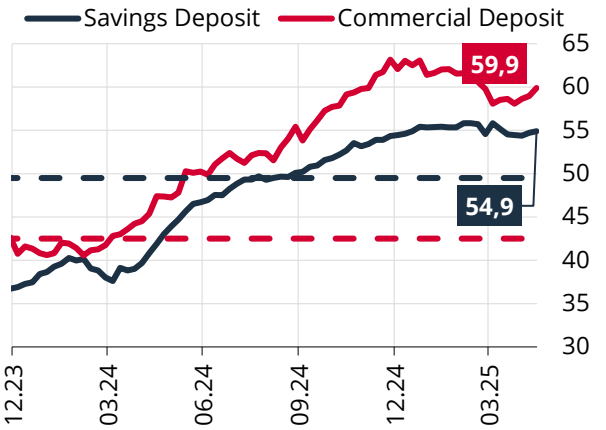


Chart IV.2.10: TL Deposit Share (Share, %)



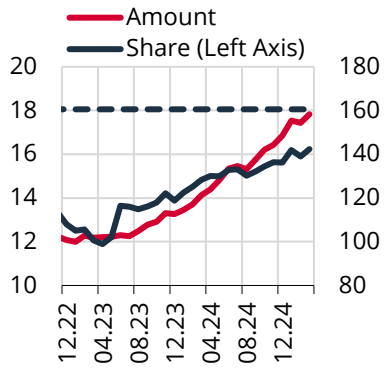
Source: CBRT
Last Observation: 16.05.25
Note: Dashed lines are the 2012-2022 average of the share series.

Although mounting global uncertainties constitute a risk factor for external borrowing costs, external financing conditions maintained favorable prospects.

Despite the recent environment of high volatility in global markets and geopolitical risks, foreign investors remain interested in Turkish banks' debt instruments. Since mid-2023, the notable improvement in the risk perception towards Türkiye had a positive effect on banks' borrowing capacity from abroad, and Turkish banks secured USD 36 billion in net external financing in 2024. The recent increase in global uncertainties has not had a negative impact on Turkish banks' access to external financing. In the first quarter of 2025, the banking sector secured net USD 9.7 billion worth of external financing.

The external debt stock of the banking sector reached USD 158 billion, while the share of external debt in the funding composition rose to 16.2 % (Chart IV.2.11). Despite having edged down recently, the total external debt rollover ratio stood at 116% as of March 2025. External debt with maturities longer than 1 year, for which lower RR rates are applied, has a rollover ratio above 150%. The average maturity of the banking sector's external debt lengthens further, which indicates that the quality of external funding has improved (Chart IV.2.12). Moreover, banks diversified their external borrowing instruments, and they recorded a considerable increase in eurobonds and subordinated debts. Between September 2024 and March 2025, net financing in eurobonds and subordinated debts amounted to USD 4.5 billion and USD 2 billion, respectively. From end-March to mid-May, the increase in eurobond balance is estimated to be USD 2.5 billion. The total balance of debt securities with environmental, social and governance themes, with a more notable flow in recent long-term external borrowing has reached USD 12.1 billion by March 2025. Banks improve the maturity and quality of their external borrowing by increasing their subordinated debt (Chart IV.2.13). In the upcoming period, developments in global uncertainties are expected to shape the course of long-term borrowing.

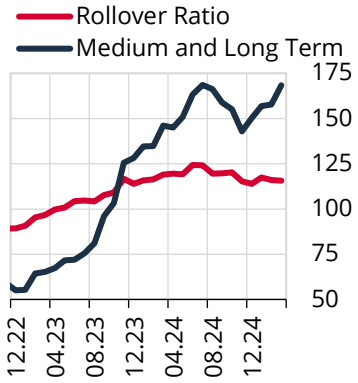
Chart IV.2.11: External Debt Balance and Share (USD Billion, %)



Sources: CBRT, MKK

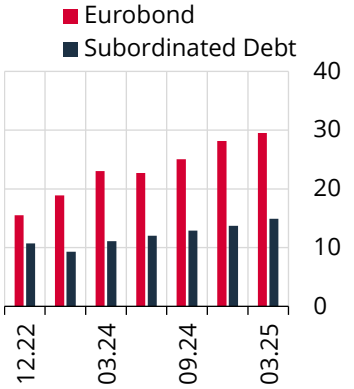
Note: The sum is adjusted for the parity effect. The USD equivalent of euro-denominated external debt is recalculated with the parity value of June 2018. The dashed line is the 2012-2022 average of the share series.

Chart IV.2.12: External Debt Rollover Ratio (%)



Note: External debt roll-over ratio is calculated over the 6-month moving sum for total and 12-month moving sum for long maturities of total external debt utilization and repayment amounts including securities issues.

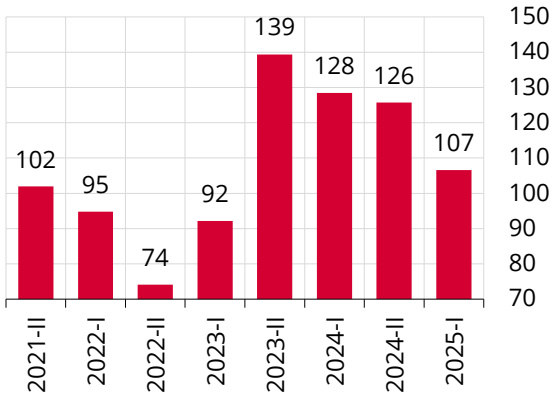
Chart IV.2.13: Eurobond and Subordinated Debt Balance (USD Billion)



Last Observation: 03.25

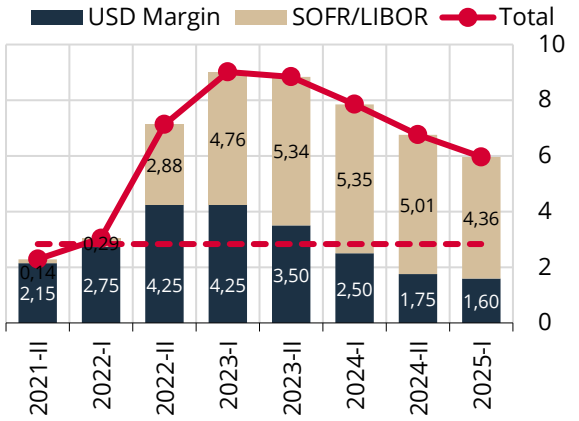
The rollover ratios for syndicated loans remained high in the first half of 2025 as in 2024, while the decline in funding costs continues. Syndicated loans that matured in the first half of the year were renewed by 107% (Chart IV.2.15). While the average Secured Overnight Financing Rate (SOFR) decreased significantly compared to last year following the Fed's initiation of rate cuts in September 2024, the additional fall in spreads pulled the total costs of syndicated loans down to around 6% for 367-day maturity. The utilization of syndicated loans with two and three-year maturities starting from the second half of 2024 curbs the liquidity risks. In syndication transactions, the risk premium for the USD-denominated 367-day maturity tranche was down by 90 bps year-on-year and by 15 bps compared to the transactions conducted in the last quarter of 2024 (Chart IV.2.16). Despite escalating global uncertainties and the rise in sovereign risk premium, syndicated loan costs declined in this period.

Chart IV.2.14: Rollover Ratio of Syndicated Loans (%)



Sources: CBRT, PDP Last Observation: 05.25

Chart IV.2.15: Costs of Syndicated Loans (%)



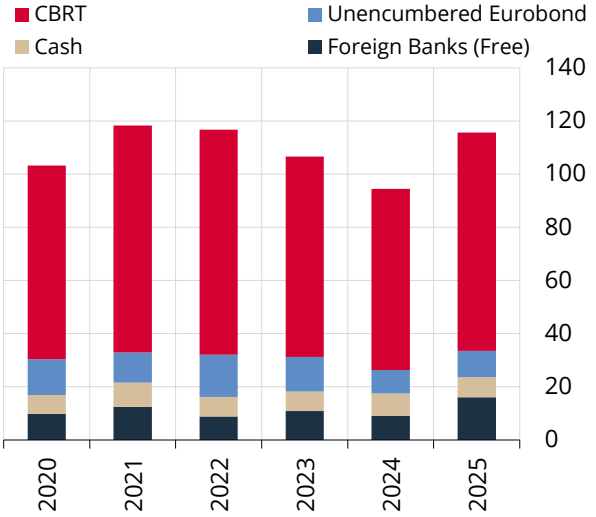
Sources: PDP, Bloomberg Last Observation: 05.25

Note: Calculated for ten large-scale banks and excluding DIBs. I and II represent April-June and October-December syndication periods of the respective year. The external debt rollover ratio is calculated as the ratio of total borrowing and repayments in the specified periods. For the first half of 2025, transactions carried out by three banks as of the third week of May are taken into account. The USD margin shows the interest rate applied at 367-day maturity in addition to the SOFR/LIBOR rate. The dashed line is the average of the total costs for the 2014-2022 period.

The banking sector's FX liquidity buffers remain strong.

As of March 2025, banks' FX liquid assets including RR reached USD 116 billion (Chart IV.2.17). The sector's FX-denominated external debt balance that is due within one year continues to increase in line with the rise in the total external debt balance. As the rise in FX liquid assets outpaced the rise in short-term external debt balance, the capacity of FX liquid assets to cover short-term external debt has increased slightly, converging to its long-term average (Chart IV.2.18). The steady course of this ratio at significantly above 100% indicates that banks have strong FX liquidity buffers.

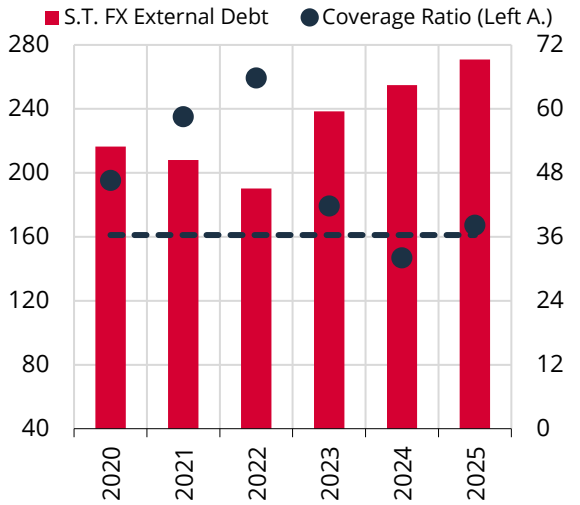
Chart IV.2.17: FX Liquid Assets (USD Billion)



Source: CBRT Last Observation: 03.25

Note: Data for the last month of the relevant year has been reported for the items. The CBRT item covers total FX required reserves and FX excess reserves.

Chart IV.2.18: Short-Term FX External Debt and Coverage Ratio (USD Billion, %)



Sources: PDP, Bloomberg Last Observation: 03.25

Note: External debt represents FX-denominated external debt that is due within one year and is calculated by excluding non-residents' FX deposit accounts. The most recent data pertaining to external debt is from March. The dashed line shows the average of coverage ratios for the 2014-2022 period.

Box IV.2.I: How Do Real Returns Affect Dollarization?

Summary: *In this study, the relationship between real returns and deposit dollarization is examined for different periods of exchange rate and inflation volatility, using bank-based data. The study reveals that returns on TL deposits above inflation and returns on TL deposits above exchange rate changes and domestic-foreign interest rate differential reduce dollarization ratios of banks. Moreover, the findings suggest that the rise in inflation and exchange rate volatilities dilute the downward effect of real returns on dollarization.*

Dollarization can be broadly defined as an increase in the tendency to hold FX-denominated assets. The tendency to hold FX assets can be strong particularly in emerging economies where domestic and external shocks often cause sudden exchange rate movements (Ize and Yeyati, 2003; De Nicoló, 2005, Basso et al., 2011; Marcelin and Mathur, 2016; Kutan et al., 2012; Vieira et al., 2012). Dollarization has many adverse effects such as weakening the monetary transmission mechanism for central banks that aim to shape the domestic currency-denominated interest rates in the system and exchange rate volatility in periods of rapid dollarization. Therefore, the course of dollarization is closely monitored by monetary policy authorities and regulatory institutions, and policies are devised to ensure that real returns have a reducing effect on dollarization. This study analyzes the impact of real returns as one of the important determinants on deposit dollarization as well as the dynamic relation of this impact with inflation and exchange rate volatilities.

The relationship between the dollarization tendency in Türkiye over the recent years and real returns is analyzed based on two key dynamics. The first dynamic is associated with how attractive the domestic currency-foreign currency interest rate differential is when exchange rate movements are considered. According to this balance, known as the *uncovered interest rate parity (UIP*) in the literature, the attractiveness of the domestic currency-denominated assets is closely related to the interest income from foreign currency and the exchange rate-driven earnings.[1] The second dynamic, on the other hand, is associated with the attractiveness of real returns on domestic currency-denominated assets (*Fisher*) when domestic inflation developments are taken into account. Thus, while the first dynamic targets additional return on FX deposits as an alternative to domestic currency deposits, the second dynamic aims to increase the above-inflation returns on deposits.

Data and Methodology

Within the scope of this study, various data sources were combined. First, deposit dollarization ratios (FX deposits/total deposits) of banks were calculated using their monthly and daily balance sheets.[2] At the second stage, *Fisher* and *UIP* returns were calculated using the annual interest rate series for three-month TL deposits obtained from banks' weekly flow deposit reports. Then, the USD exchange rate data, from the EVDS and similarly the data on annual USD interest rate implied by overnight interest rate swaps (OIS) was obtained from the Bloomberg Terminal to be used in the calculation of *UIP* and *Fisher* return variables. These financial data obtained from different sources were consolidated with the TL deposit interest rate data to calculate *Fisher* and *UIP* returns. In the third stage, the bank-level dollarization ratio data was matched with *Fisher* and *UIP* returns. Finally, in order to use as a control variable in the study, series for banks' asset size (natural logarithm of total assets), return on equity (net profit/ average assets), and leverage ratio (total equity/total assets) were retrieved from monthly balance sheets, and these series were integrated into the data set.

Analyses included in the study cover 22 banks making up a significant portion of the sector (accounting for 90% of the sector's deposits and 85% of its asset size) for the sample period of January 2013-January 2025. The average and median dollarization ratios of these banks are very close to the dollarization ratio of the overall sector (Chart IV.2.I.1).

[1] The UIP condition stipulates that there is no arbitrage between investing in a domestic currency-denominated asset and investing in an FX-denominated asset. A distortion of this condition in favor of domestic currency-denominated financial assets may have a downward effect on dollarization.
[2] FX deposits include the KKM amount.

The main empirical model has been constructed as follows:

$$Dollarization\ ratio_{i,t} = \beta\left(Return_{i,t}\right) + \sum_{k} \vartheta_k(Control) + \delta_i + \theta_t + \varepsilon_{it} \quad (1)$$

In Equation (1), the $Dollarization\ ratio$ variable denotes the value that the FX deposit rate, changing across banks and time, takes at time t. The $Return$ variable represents the $Fisher\ and\ UIP$ returns calculated in bank-level. *Fisher* is the annual return on TL deposits offered above annual inflation, *UIP* is the annual return on TL deposits that an investor receives in comparison to foreign currency interest rate, annual exchange rate change.[3] One lag of bank-level control variables ($Control$) has been added to the model.[4] The model also includes bank (δ_i) and time (θ_t) fixed effects. Standard errors are clustered at bank and month levels.

Depositors' FX deposit tendencies are monitored through the deposit dollarization ratio. Having exceeded its historical average after 2018, the dollarization ratio hit a historic peak at 76% (based on 22 banks analyzed) in August 2022 due in part to KMM accounts (Chart IV.2.I.1). Starting from the second half of 2023, the CBRT's policies, the tight monetary policy in particular, have largely curbed the shift from TL deposits to FX deposits, and the dollarization ratio has converged to its past period average. This is mainly due to the fact that returns on deposits have reached levels that encourage depositors to hold deposits in domestic currency (Chart IV.2.I.2). While *Fisher* and *UIP* returns display differences across periods, returns implied by these indicators since January 2024 show that TL deposit holders have received the highest real returns of the last 10 years (Chart IV.2.I.2).[5]

Chart IV.2.I.1: Deposit Dollarization
(22 Banks Average, %)

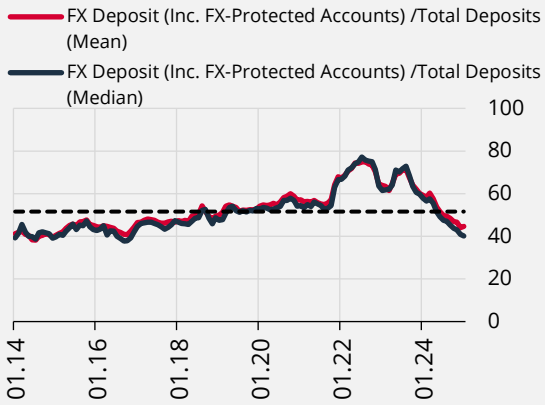
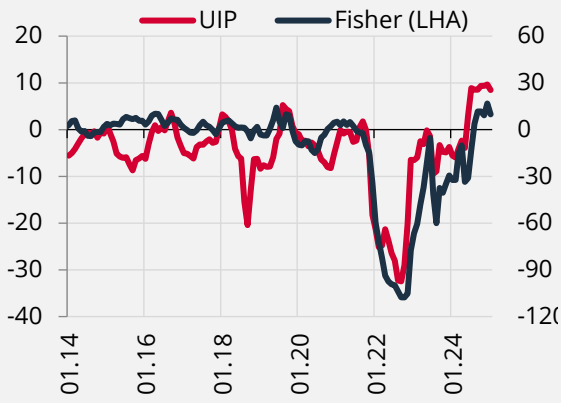


Chart IV.2.I.2: Fisher and UIP Returns
(Annual, 22 Banks Average, %)



Sources: CBRT, BRSA, Bloomberg. Last Observation: 01.25

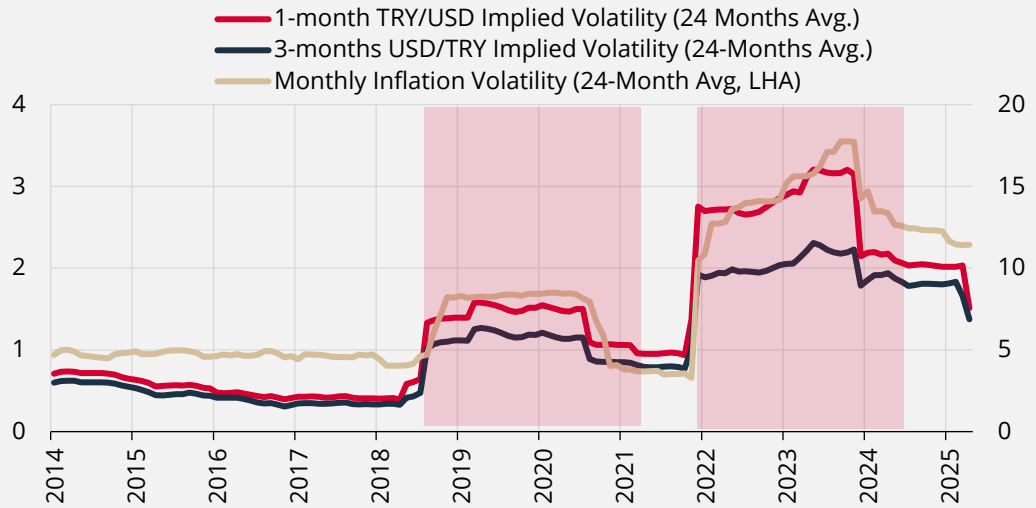
Note: Deposit dollarization, and Fisher and UIP returns have been calculated based on 22 banks. In the calculation of deposit dollarization, which shows the ratio of FX deposits to total deposits, FX-protected deposit accounts have been included in FX deposits.

In addition to factors such as inflation, exchange rate, domestic and foreign interest rates (see Ize and Yeyati, 2003; De Nicoló, 2005, Basso et al., 2011; Marcelin and Mathur, 2016), inflation and exchange rate volatilities are also known to be significant factors in explaining the deposit preference of depositors (see Vieira et al., 2012). Accordingly, an analysis of inflation and exchange rate volatilities reveals that Türkiye has seen considerable volatility in exchange rates and inflation after 2018 (Chart IV.2.I.3). In this context, real returns are expected to have a different impact on dollarization in the post-2018 period when

[3] When calculating the *Fisher* return, the TL deposit interest rate has been subtracted from realized inflation via the Fisher formula $r = \frac{(1+i)}{(1+\pi)} - 1$, and the withholding tax has been deducted from the remaining return. The UIP return is calculated by subtracting the annual change in USD exchange rate and the OIS-implied USD interest rates from the banking sector's weighted average total TL deposit interest rate. Withholding tax has been deducted from interest rates.
[4] Asset size, return on equity, and leverage ratio.
[5] Due to the differentiation of domestic and foreign asset interest rates across periods, i.e. the failure to establish the uncovered interest rate parity, the UIP return creates a periodical arbitrage for investors. Therefore, in studies where the uncovered interest rate parity is assumed to be lacking, interest rate differentials are found to be influential in deposit dollarization (Basso et al., 2011).

volatility has increased, compared to previous periods. To test this, first, Equation (1) was run separately for pre- and post-2018 periods, and the change in coefficients was analyzed.

Chart IV.2.I.3: Exchange Rate and Inflation Volatility



Sources: TURKSTAT, Bloomberg. Last Observation: 04.25

Note: Monthly inflation differentials and the 24-month standard deviation of implied exchange rate (one-month and three-month) have been calculated.

In the second step, Equation (2) was estimated to examine the effect of exchange rate volatility on the dollarization ratio-return relationship. In addition to the terms used in the previous equation, this equation also includes the terms dummy variable, which dynamically takes into account the periods of high implied exchange rate volatility and 12-month inflation volatility, and interaction among returns. Thus, the extent of the change that exchange rate and inflation volatilities induce in the deposit dollarization and return relationship has been analyzed. The equation estimated to this end is as follows:

$$Dollarization\ ratio_{i,t} = \mu\left(Return + Return_{i,t}\ x\ Volatility_t\right) + \sum_k \vartheta_k(Control) + \delta_i + \theta_t + \varepsilon_{it} \qquad (2)$$

The $Dollarization\ ratio$ and $Return$ variables, and fixed effects in Equation (2) have been constructed the same way as in Equation (1). In addition, the $Volatility$ vector included in the model denotes the dummy variables.[6] The coefficient μ obtained by multiplying this variable by the $Return$ variable shows the additional impact of returns on the dollarization ratio during periods where exchange rate and inflation volatilities are above historical averages.

Results

Results for the coefficient of return (β) in the baseline model as in Equation (1) are presented in Chart IV.2.I.4. Equation (1) estimates the dollarization effect of returns by taking into account other controls and fixed effects. In Chart IV.2.I.4, the relationship between returns and dollarization is analyzed separately for the pre-2018 period of low and the post-2018 period of high exchange rate volatility. While a one-percentage-point increase in the annual Fisher return had a downward effect of 1.12 points on dollarization in the pre-2018 period, this effect is estimated to be 0.54 points in the post-2018 period. Likewise, a one-percentage-point increase in the annual UIP return had a downward effect of 0.98 points on dollarization in the pre-2018 period, while this effect is estimated to be 0.32 points in the post-2018 period. The estimation results obtained from Equation (1) suggest that both types of returns had a stronger negative effect on deposit dollarization in the pre-2018 period of relatively low exchange rate volatility, whereas this negative effect was maintained but at a smaller degree in the post-2018 period of

[6] The dummy variable of inflation volatility takes the value of 1 during periods when the annual inflation volatility over the last 12 months is greater than the average of all periods, whereas it is zero in other periods. The dummy variable of exchange rate volatility, on the other hand, takes the value of 1 if the last-12-month average of the three-month-ahead implied USD/Turkish lira exchange rate volatility is greater than the average of all periods, and the value of zero if the same average is smaller.

high exchange rate volatility (Chart IV.2.I.4). In other words, the results show that returns have had a more limited effect on dollarization after 2018 but have still maintained their negative effect across all periods.

The second phase of the study focuses on how the impact of *Fisher* and *UIP* returns on deposit dollarization evolves during periods of high inflation and exchange rate volatilities as in Equation (2). Chart IV.2.I.5 presents the results for the coefficient μ obtained by multiplying the *Fisher* and *UIP* returns by inflation and exchange rate volatilities. Results of the model confirm that the effect of returns on dollarization is curbed when inflation and implied exchange-rate volatilities are high. According to estimation results, the dollarization effect of both Fisher and UIP returns decreases by approximately 59.61% (0.62/1.04) and 60.71% (0.34/0.56), respectively, in periods of high volatility. This indicates that the downward effect of returns on deposit dollarization becomes limited during periods of increased exchange rate and inflation volatilities, and implies that depositors demand higher real returns for the dollarization tendency to decline during periods of higher volatilities.

Chart IV.2.I.4: Returns and Dollarization

$$Deposit\ Dollarization_{i,t} = \beta(Return_{i,t}) + \sum_k \vartheta_k Control + \delta_i + \theta_t + \varepsilon_{it}$$

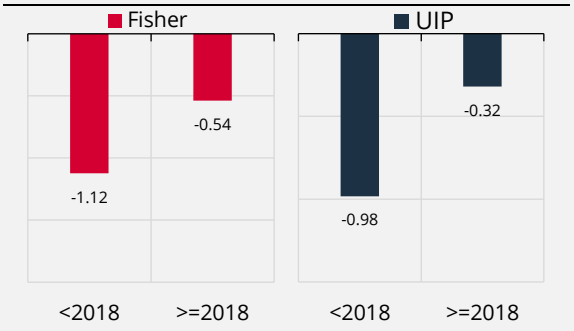
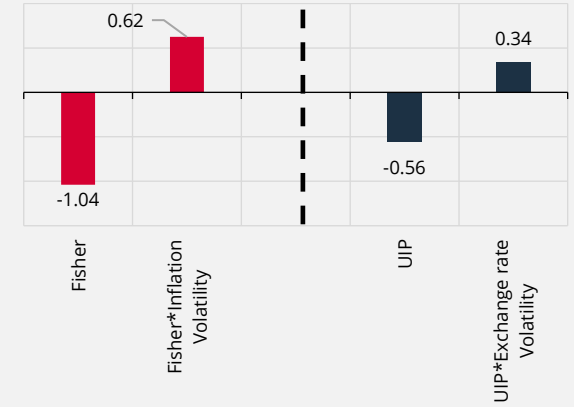


Chart IV.2.I.5: Returns and Dollarization: Volatility Channel

$$Deposit\ Dollarization_{it} = \mu(Return + Return_i\ xVolatility_t) \sum_k \vartheta_k Control + \delta_i + \theta_t + \varepsilon_{it}$$



Sources: CBRT, BRSA, Bloomberg. Last Observation: 01.25

Note: Coefficients denote statistical significance at 1%, 5%, and 10%. The inflation and exchange rate volatility variables in the right-hand chart represent dummy variables. The dummy variable of inflation volatility takes the value of 1 during periods when the annual inflation volatility over the last 12 months is greater than the average of all periods, whereas it is zero in other periods. The dummy variable of exchange rate volatility, on the other hand, takes the value of 1 if the last-12-month average of the three-month-ahead implied USD exchange rate volatility is greater than the average of all periods, and the value of zero if the same average is smaller.

Conclusion

Results of the analysis based on bank level data shows that TL deposit returns above inflation, and TL deposit returns above the exchange rate change and domestic-foreign interest rate differential reduces the dollarization ratio across all the sample. On the other hand, the results also reveal that the rise in inflation volatility limits the effect of *Fisher* returns on dollarization, and the rise in exchange rate volatility likewise limits the downward effect of *UIP* returns on deposit dollarization. Thus, curbing the exchange rate and inflation volatilities affects the reverse dollarization process favorably. Additionally, the analyses indicate that depositors demand higher real returns to taper their dollarization preference during periods of high volatility. To sum up, the CBRT's macroprudential measures, particularly the tight monetary policy it has implemented since June 2023, have contained the likely adverse effects of domestic and global factors, particularly the volatilities in exchange rates and inflation, on dollarization. As uncertainty over exchange rates and inflation diminishes, the trend towards higher TL deposits is expected to continue.

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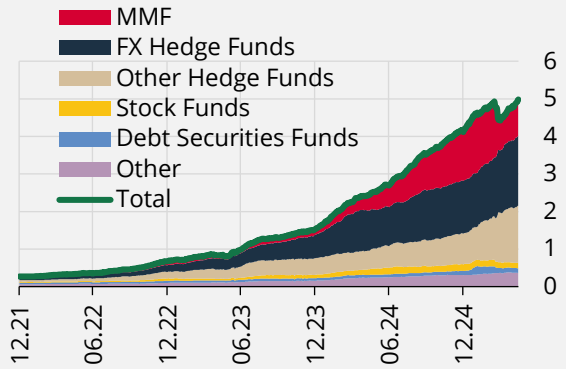
Box IV.2.II: Current Outlook for Mutual Funds

Summary: *Türkiye has recently witnessed a significant growth in the size of mutual funds and thus their significance in the financial system, with a portfolio value reaching TL 5 trillion. This box analyzes mutual funds' portfolio size, asset and currency allocation, and returns, as well as the measures taken by the CBRT to mitigate the adverse effects of the recent volatility in the market. Money market funds and FX hedge funds dominated the inflows to mutual funds, while TL assets continued to hold a significant share in the portfolio allocation. The strong demand for money market funds was driven by their high liquidity, the search for return, and elevated levels of overnight interest rates following the monetary tightening.*

Mutual funds are investment institutions that enable savings to be invested in a portfolio of deposits and a variety of money and capital market instruments such as repos, deposits, bonds, and equities. Mutual funds have become more popular due to their high liquidity, the search for return, and elevated levels of overnight interest rates following the monetary tightening. Türkiye has recently witnessed a significant growth in the size of mutual funds and thus their significance in the financial system. However, despite the benefits of mutual funds at this time of rapid growth, it is crucial to keep a careful eye on and analyze these funds in terms of financial stability due to the potential risks they may be exposed to as their portfolios contain diverse asset groups. Thus, this box examines recent developments in mutual funds.

The share of mutual funds in the financial system increased from 2.6% in 2021 to 10% in 2024. The sector's current portfolio value approached TL 5 trillion as of May 2025. The monetary tightening cycle that started in June 2023 was especially supportive of the growth in mutual funds, whose portfolio value has increased significantly in recent years, and this trend accelerated in 2024. The portfolio value of mutual funds has risen by about TL 4 trillion since June 2023 (Chart IV.2.II.1). In this period, the size of FX hedge funds grew from USD 13 billion to USD 49 billion, while the size of money market funds, including participation and money market hedge funds, jumped to TL 1.6 trillion from TL 134 billion. The increase in the value of the fund is driven by price increases in the securities a fund invests in as well as new additional inflows to the fund. Adjusted for the yield effect, inflows to FX hedge funds and money market funds were strong between June 2023 and May 2025. In the second half of March, volatility was observed in financial markets, which led to loss in value in financial assets, particularly in government bonds, and put sell-side pressure on TL-denominated assets. Following the high volatility, outflows from money market funds observed, while investors exiting money market and debt securities funds moved to TL deposits, money market hedge funds and FX hedge funds (Chart IV.2.II.2).

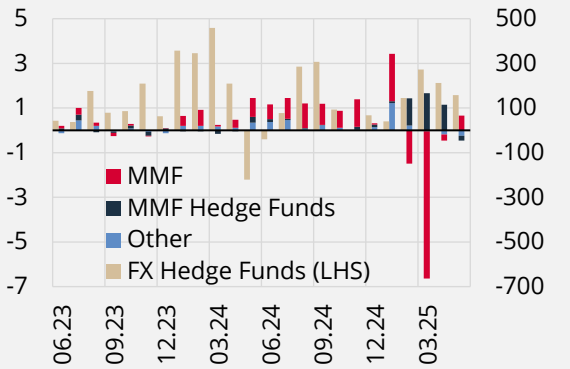
Chart IV.2.II.1: Portfolio Value of Mutual Funds (Trillion TL)



Source: TEFAS

Note: MMF denotes money market funds.

Chart IV.2.II.2: Net Inflows and Outflows (Billion TL, Billion USD)



Last Observation: 16.05.25

Note: MMF denotes money market funds with bond-holding obligations, MM hedge funds denote funds with "money" in their title under the hedge umbrella fund, and FX hedge funds denote funds with "FX" in their title under the relevant umbrella fund type.

The CBRT purchased fixed-coupon and TLREF-indexed government bonds between April 2 and April 14, 2025, to improve liquidity conditions in the bond market and support healthy price formation. A total amount of TL 253 billion was offered in outright purchase auctions, of which TL 123.7 billion was included in the portfolio (Charts IV.2.II.3 and 4). Outright purchase auctions resulted in the purchase of TL 59.7 billion worth of TLREF-indexed and TL 64 billion worth of fixed-coupon government bonds. These auctions helped contain the volatility in the bond market, and outflows from money market funds slowed significantly in April. Net inflows had been observed recently.

Chart IV.2.II.3: Nominal Amounts Offered in Outright Purchase Auctions (Billion TL)

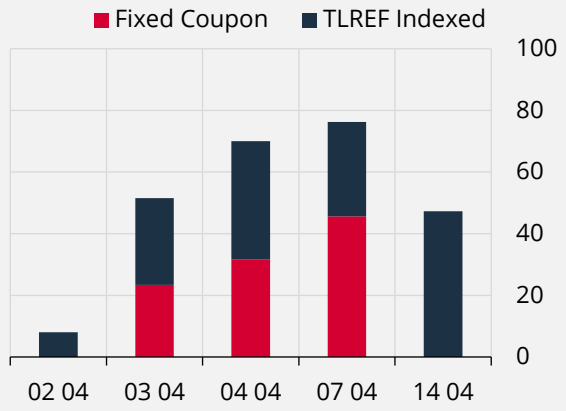
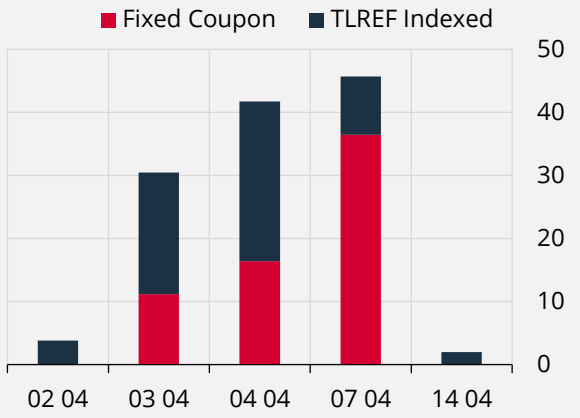


Chart IV.2.II.4: Nominal Amounts of Outright Purchases (Billion TL)

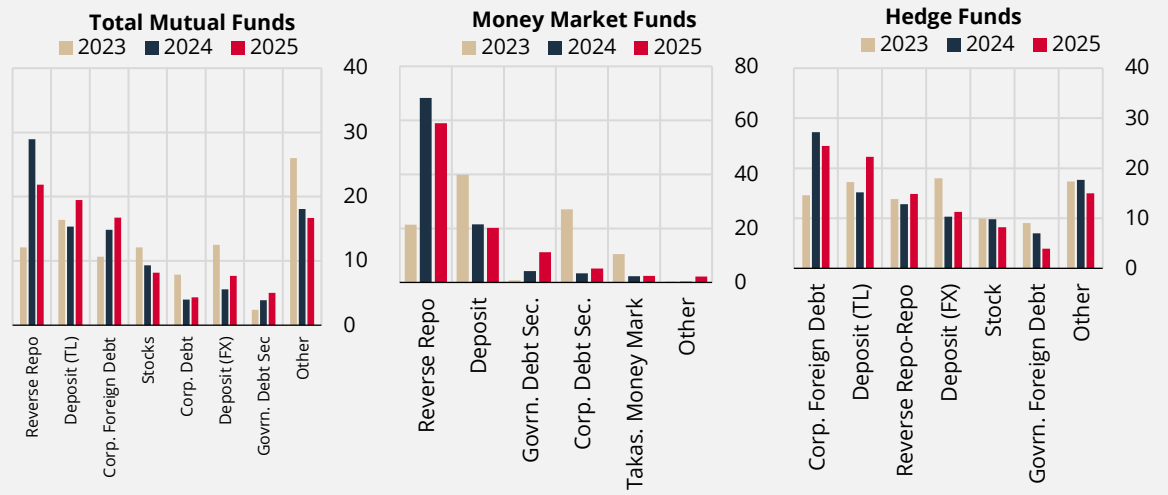


Source: CBRT

Last Observation: 23.05.25

Mutual funds are classified based on the financial instruments they invest in, and the weights of the financial assets in their portfolios may vary over time. Against this background, money market funds are funds that are made up of highly liquid, low-risk money and capital market instruments with a maximum of 184 days to maturity the weighted average maturity of the portfolio calculated on a daily basis is at most 45 days. While a maximum of 50% of the total value of money market funds can be invested in deposit/participation accounts, another 25% can be invested in reverse repo transactions in Borsa Istanbul equity repo market. Moreover, on November 21, 2024, the Capital Markets Board of Türkiye (CMB) issued a regulation in the Guidelines on Mutual Funds, requiring money market funds to hold a minimum of 10% of their portfolio in government debt securities (GDS) and comply with this requirement until February 28, 2025. This change pushed the share of GDS in the portfolio allocation of money market funds up to 11%, while the share of reverse repo transactions and deposits dropped to 59% and 20%, respectively (Chart IV.2.II.5). Unlike other funds, hedge funds have a more flexible investment strategy. These funds are mainly composed of FX-denominated investment instruments, but each fund has the option to invest in a variety of currencies and financial instruments. Moreover, foreign debt instruments, deposits, and reverse repo transactions stand out in the portfolio allocation of these funds. Money market funds are relatively more sensitive to changes in TL interest rates, while hedge funds are relatively more sensitive to changes in exchange rates, country risk premium, equity prices, foreign government bond yields, and domestic FX deposit rates.

Chart IV.2.II.5: Mutual Fund Portfolio Allocation (%)

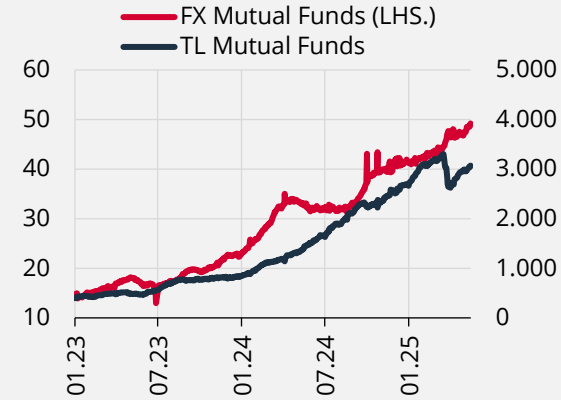


Source: Takasbank

Last Observation: 16.05.25

The increase in the portfolio value of funds was driven by the growth in TL-denominated assets. (Chart IV.2.II.6). The share of TL-denominated assets in funds increased throughout 2024, exceeding 60% (Chart IV.2.II.7). A similar trend was observed for TL deposits, with the share increasing from 31.7% in August 2023 to 59% as of May 16. Against this background, the current level of interest rates makes TL investment more attractive.

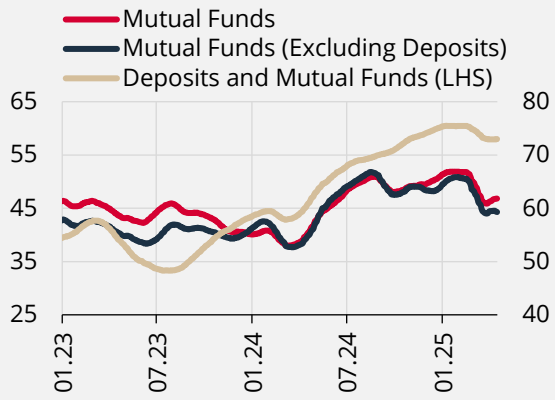
Chart IV.2.II.6 TL and FX Mutual Funds (Billion TL, Billion USD)



Source: TEFAS

Note: Assets in the portfolio allocation are categorized by currency.

Chart IV.2.II.7: TL Share (20-Day MA, %)



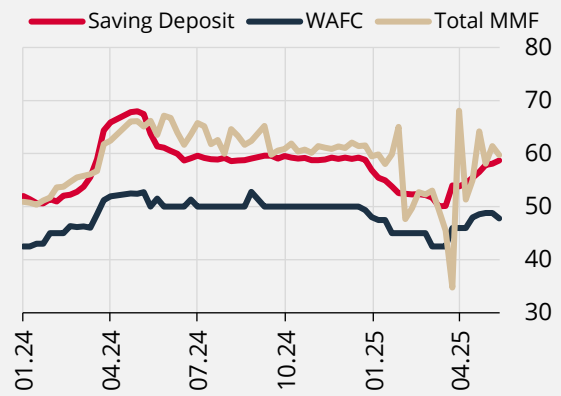
Last Observation: 16.05.25

Note: The TL share denotes the ratio of TL-denominated funds in total securities mutual funds, the share excluding deposits denotes the ratio calculated by excluding TL-FX deposits from the portfolio, and deposits and mutual funds denotes the TL share including all banking deposits and mutual funds.

The increasing interest in mutual funds, in particular money market funds, are considered to be an important factor due to their short maturity and high liquidity, as well as the fact that they offer return advantages in addition to being a substitute for deposits. The interest rate on deposits with a maturity of 1-3 months was 59% in 2024, yet the return on money market funds was generally higher than the TL deposit rate from the beginning of 2024 (Chart IV.2.II.8). As of May, interest rates on deposits with a maturity of 1-3 months are 59%, while money market funds yield 60%. In money market funds, which are obliged to hold government securities, the recent tightening in monetary policy and the decline in foreigners' share of government securities led to an increase in bond yields and caused volatility in fund

returns. Despite this volatility in returns, the returns of money market funds caught up with the returns on the hedge and participation umbrella fund types and reached to 60% (Chart IV.2.II.9).

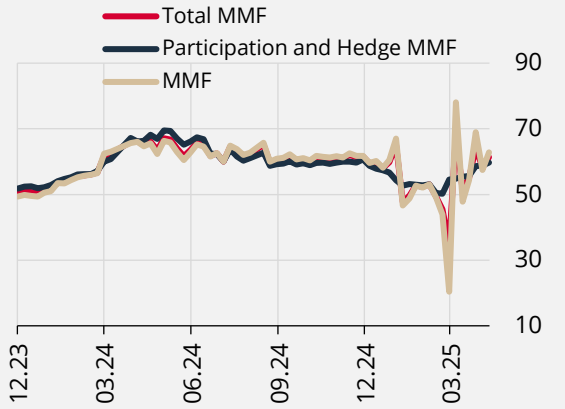
Chart IV.2.II.8: Returns on Deposits and Money Market Funds (%)



Source: TEFAS

Note: Calculated over all money market funds with "money" in their title, including traded and untraded hedge funds and participation funds. Fund-based weekly returns are weighted by the most recent portfolio value. The 1–3-month interest rate is used for savings deposit return. WAFC stands for weighted average cost of the CBRT funding.

Chart IV.2.II.9: Returns on Money Market Funds (%)



Last Observation: 16.05.25

Note: MM hedge funds include funds with "money" in their title under the hedge umbrella fund; MM participation funds include funds with "money" in their title under the participation umbrella fund. Total MMF is the sum of the money market umbrella fund and the mentioned MM hedge and participation funds. Fund-based weekly returns are weighted by the most recent portfolio value.

Overall, the size of mutual funds in the financial system has increased in recent months, and net inflows to funds remained strong throughout 2024. Money market funds and FX hedge funds stood out in inflows to funds, TL assets were the main driver of the increase in the portfolio value. In addition to the role played by tight monetary policy and macroprudential policies, mutual funds, which have gained popularity due to factors such as technological developments and increased diversity of financial instruments, have become a substitute for deposits, the main savings instrument, thanks to the return advantage they offer and their ability to be easily liquidated. The broad use of funds is crucial for deepening capital markets, boosting their liquidity, allocating resources and risks, and enhancing the effectiveness of monetary policy. On the other hand, just like banks, funds are also exposed to risks such as liquidity risk, market risk, exchange rate and interest rate risk, and in the case of financial shocks, abrupt fund outflows and rapid asset sales may be observed depending on the portfolio structure. As a matter of fact, volatility was observed in financial markets in the second half of March and this development caused investors to exit money market funds and invest in other funds. Therefore, it is critical to closely monitor the risks to which funds are exposed and as well as the impacts of their size and asset and currency allocation on financial stability.

Box IV.2.III: Liquidity Management in Participation Banking and CBRT Facilities

Developing liquidity management instruments that conform to the principles and rules of participation finance in countries where participation banks operate is essential for ensuring financial stability. Providing liquidity facilities using mechanisms that comply with the principles of participation finance contributes to the development of the sector and the sound functioning of financial markets. The development of appropriate liquidity management mechanisms for participation finance institutions is on the regulatory agenda of central banks and international organizations. To this end, the Islamic Financial Services Board (IFSB)[1] has issued a technical note (IFSB TN-5) to guide such regulatory authorities on the development of participation finance-compliant liquidity instruments. This box analyzes the IFSB's technical note regarding liquidity management instruments and compares them with the CBRT's liquidity management instruments.

Technical Note on Participation Finance Liquidity Risk Management Instruments[2]

The IFSB's technical note on Participation Finance Liquidity Risk Management Instruments, addresses the challenges in liquidity risk management faced by participation banks in various countries and provides a variety of recommendations. Given the contribution of liquidity management of participation banks operating in Türkiye to financial stability, it is important to examine international standards. Lease certificates (sukuk) are a key component of the balance sheets of participation banks for liquidity purposes. These securities are classified according to their tradability in the secondary market. Their tradability is determined based on the principles and rules of participation finance. They may have a lasting impact on liquidity in terms of being tradable in the secondary market. Monetary authorities support liquidity management of participation banks by accepting lease certificates as collateral under open market operations and standing facilities. On the other hand, participation banks face a number of challenges when it comes to liquidity risk management while adhering to the principles of participation finance. Chief among these challenges is the limited supply of short-term and liquid lease certificates compliant with the principles of participation finance. Accordingly, there is a need for liquidity management instruments that are compatible with participation finance principles and designed according to the sector's needs. The IFBS's technical note emphasizes the importance of the regular issuance of lease certificates by borrowing authorities and the need to develop new instruments to increase diversity in liquidity management. Other noteworthy issues are the establishment of collateral mechanisms suitable for participation finance institutions and the implementation of measures to enhance secondary market liquidity. Table IV.2.III.1 summarizes the liquidity instruments that central banks and regulatory authorities can introduce with respect to liquidity management.

Table IV.2.III.1: Liquidity Management Instrument Recommendations

Sterilization Instruments	Liquidity Provision Instruments	Interbank Transactions	Sukuk	FX Liquidity Management
Qard	Qard	Qard	Salam	Wa'd Promise-Based Models
Wakalah	Wakalah	Wakalah	Murabaha	
Commodity Murabaha	Commodity Murabaha	Commodity Murabaha	Ijarah	
Wakalah Certificates of Deposit	Repurchase Transactions (Repo)	Repurchase Transactions (Repo)	Musharakah	
	Collateralized Commodity Murabaha	Collateralized Commodity Murabaha	Mudarabah	
		Mudarabah	Wakalah	

Source: IFSB
Note: For further details and definitions, see https://tkbb.org.tr/katilim-sozluk (in Turkish).

Facilities Provided to Participation Banks by the CBRT

The CBRT carries out funding and sterilization operations to ensure the efficient and sound functioning of payment systems and financial markets. Conventional banks and participation banks are equally eligible to access the facilities provided by the CBRT. However, participation banks are able to use these facilities in compliance with the principles and rules of participation finance.[3] Participation banks conduct transactions with the CBRT since 2011.

Funding Instruments and Collateral Arrangements

Participation banks in need of funding can participate in one-week repo auctions at the policy rate of the CBRT. Participation banks that win the auction can borrow against lease certificates pledged as collateral.[4] Moreover, the CBRT included IILM (International Islamic Liquidity Management Corporation) securities in the collateral[5] pool to provide an additional facility for participation banks (October 2014). Foreign exchange, cash and gold deposits are also included in the collateral pool. Moreover, participation banks can access funding at the CBRT borrowing rate via the repo facility through quotation against Turkish lira-denominated lease certificates. The CBRT bolsters its OMO portfolio via outright purchasing auctions of government bonds and lease certificates for operational purposes. As part of this facility, participation banks can also make outright purchases of lease certificates through auctions. Since the CBRT is the lender of last resort, participation banks can access funding through intraday and overnight standing facilities. Accordingly, they can access funding through repo quotations within the late liquidity window facility.[6] Participation banks can benefit from intraday limit transactions for their temporary liquidity needs during the day. In addition to the markets it operates itself, the CBRT conducts transactions at other money markets. The BIST Committed Transactions Market (CTM), where repo and reverse repo transactions are carried out under participation finance principles and rules, was launched in July 2018. The CBRT started repo transactions at the CTM at the end of 2018. At this market, participation banks can access overnight funding at the CBRT borrowing rate. In addition to Turkish lira funding facilities, Turkish lira currency swap market transactions were initiated in 2018 in order to increase the effectiveness of banks' liquidity management. The CBRT's Turkish lira currency swap transactions against USD or EUR are also performed at the BIST Swap Market. In addition to funding instruments, the CBRT launched the TL Gold Swap Market and FX Gold Swap Market in 2019[7], contributing to banks' liquidity management.

Sterilization Instruments

The CBRT ensures the efficient and sound functioning of financial markets by strengthening the monetary transmission mechanisms and determines the liquidity level in the market accordingly. To this end, in order to maintain the desired liquidity level within the market, the CBRT utilizes funding instruments when there is a liquidity shortage and conducts sterilization operations when there is a liquidity surplus. Accordingly, the CBRT is able to sterilize excess liquidity in participation banks by using the reverse repo facility through auctions and quotations. The CBRT's toolkit also includes outright sales through auctions that can be held to permanently withdraw the excess liquidity from the market.

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[1] The IFSB, established in 2002 by regulatory authorities, adapts banking and finance international standards to the principles and rules of participation finance. The IFSB also encourages the development of the sector by establishing new standards. The IFSB has a total of 185 members, including 84 regulatory and supervisory bodies, 10 international organizations and 91 private sector organizations. In Turkey, the BRSA, CBRT, and IPRSA are full members of the IFSB, the Ministry of Treasury and Finance is an associate member, and the CMB, Kuveyt Türk, Ziraat Katılım, and Albaraka Türk are observer members of the IFSB.

[2] https://www.ifsb.org/wp-content/uploads/2023/11/Final-TN-5-Technical-Note-on-Shariah-compliant-Liquidity-Management-Tools.pdf

[3] Conventional banks refers to deposit banks and investment and development banks.

[4] Repo transactions with participation banks are conducted via repo (reverse repo) transactions of lease certificates for purposes of compliance with participation finance procedures. As the same transactions with other banks are conducted against collateral, lease certificates and other securities are cited as collateral in broad terms.

[5] In repo transactions, collateral is divided into two categories: collateral against transactions and collateral kept in the common collateral pool. Collateral against transaction is collateral held against the amount of repo transactions. Collateral kept in the common collateral pool is the additional collateral that is to be kept according to the kind and maturity of the securities specified in the collateral against transactions. Securities in the common collateral pool are also used as collateral in other OMO, IMM and swap transactions.

[6] Please refer to page 22 of the Turkish Lira Transactions Implementation Instructions details on the CBRT OMO and lender of last resort transaction hours (in Turkish).

[7] The CBRT may implement Turkish lira funding through swaps periodically when deemed necessary. As of 2024, these transactions have not been realized.

The CBRT started to conduct reverse repo transactions at the CTM in May 2019. As reverse repo transactions are carried out by selling securities with a repurchase commitment, the transaction limit is determined by the amount of lease certificates held in the CBRT's OMO portfolio. Accordingly, in order to strengthen the sterilization facility, the CBRT held lease certificate purchase auctions, especially in 2024, to be used in reverse repo transactions to be conducted at the CTM. As of May 2025, the nominal value of lease certificates in the OMO portfolio reached TRY 10 billion after recently held auctions (Charts IV.2.III.1 and IV.2.III.2).

Chart IV.2.III.1: CTM Transactions Volume (30-Day MA, Billion TRY)

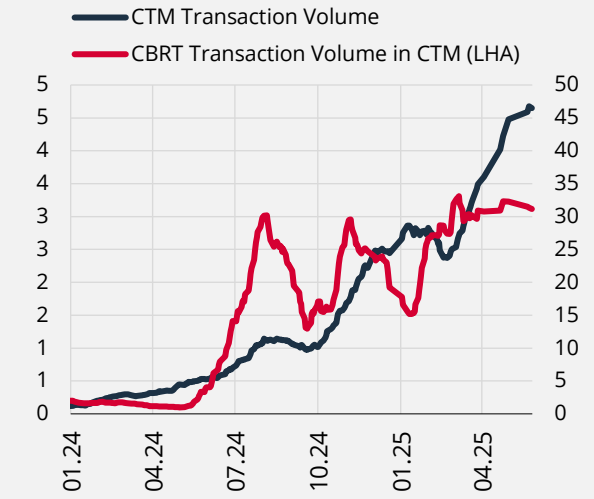
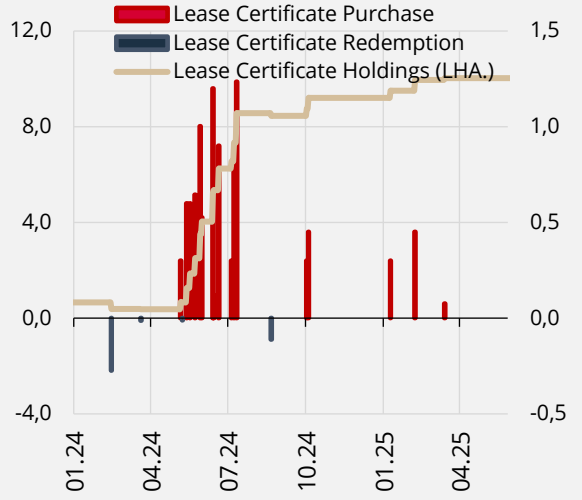


Chart IV.2.III.2: Outright Lease Certificate Purchases (Billion TRY, Nominal)

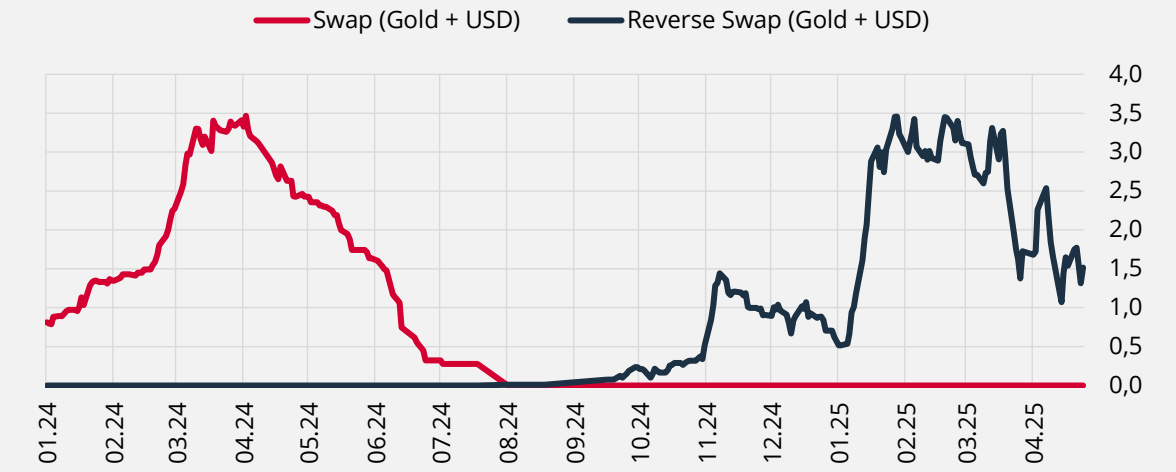


Source: CBRT

Last Observation: 05.25

In order to diversify sterilization facilities and strengthen monetary transmission, the CBRT started to hold sell-side TL currency swap auctions as of August 2024 and gold swap auctions as of October 2024. The CBRT sterilizes excess Turkish lira liquidity in the market and in participation banks in exchange for gold and FX through this facility. These instruments are used periodically depending on liquidity conditions in the market and the needs of the banking system (Chart IV.2.III.3).

Chart IV.2.III.3: Participation Banks' Swap Transactions with the CBRT (Stock, Billion USD)



Source: CBRT

Last Observation: 04.25

IV.3 Interest Rate and Exchange Rate Risk

Changes in interest rates are reflected in banks' balance sheets through loan-deposit pricing and securities valuation. The recent rise in interest rates has affected bank equity through change in securities valuation.

Policy rate cuts that started in December 2024 was reflected swiftly on deposit pricing in the first quarter of 2025. On the other hand, the monetary policy stance has been tightening since the second half of March in light of the developments in domestic financial markets and the inflation outlook. In this period, interest rates increased by 8.5 percentage points for newly extended general-purpose loans excluding ODA, 8.9 percentage points for commercial loans excluding credit cards and ODA, and 9.3 percentage points for newly opened deposits with maturities of 1-3 months. The GDDS yield curve moved upwards by 680 basis points in the short end and 510 basis points in the long end due to tighter policy rates and declining share of foreign investors in the GDDS market (Chart IV.3.2). Banks' TL-denominated government securities monitored at fair value saw a decline in their current market value in this period (Chart IV.3.3). While securities revaluation differences negatively affected bank equity following the rise in TL bond rates, the TL securities portfolio monitored at amortized cost mitigated the direct impact of the rise in bond rates on banks' balance sheets. While banks' securities monitored at fair value constitute 55% of their Turkish lira securities, the majority of these securities (48.1%) are those monitored at fair value through other comprehensive income, with a very small share monitored at fair value through profit or loss (6.9%). Therefore, the rise in fixed-income TL government bond yields influenced the equity level through the other comprehensive income channel. The ratio of this change in the current value to regulatory capital was very limited at 0.2%, reducing the capital adequacy ratio by 0.35 percentage points. [1]

Chart IV.3.1: TL Loan-Deposit Rate Spread (Flow, %)

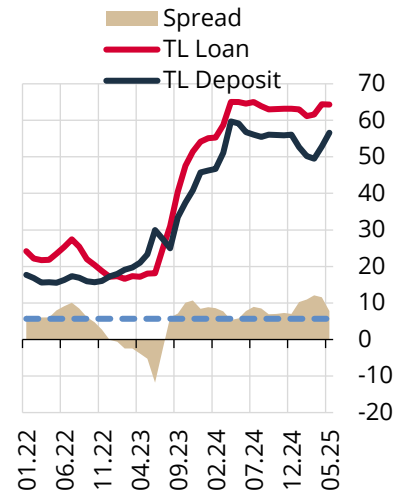


Chart IV.3.2: Fixed-Income TL Government Bond Yield Curve (%)

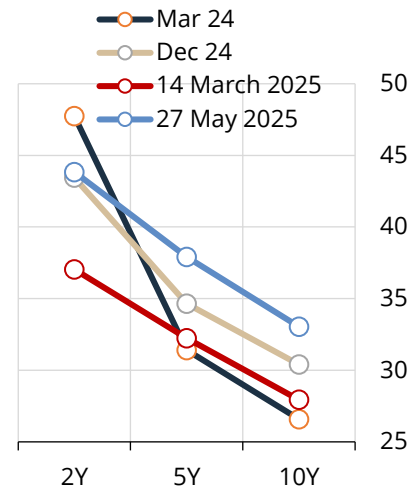
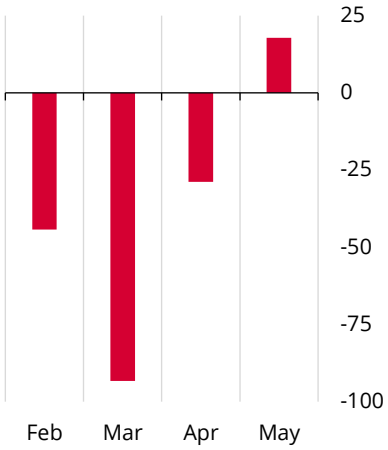


Chart IV.3.3: Monthly Change in Current Market Value of Interest Rate-Sensitive Securities (Billion TL)



Source: CBRT Last Observation: 23.05.25 Last Observation: 27.05.25 Last Observation: 22.05.25

Note: Loan rates include retail and commercial loans, overdraft accounts, and credit cards. Deposit rates exclude demand deposits. Dashed lines represent the 2013-2021 average. The monthly change in the current market value of interest rate-sensitive securities assumes banks' securities at the end of the previous month as fixed, is adjusted for the quantity effect on the banks' balance sheets and only reflects the change in the market price.

[1] The calculation is based on regulatory capital and risk-weighted assets as of March 2024.

The policy rate cut pushed the stock loan-deposit interest rate spread significantly higher, but following the CBRT's interest rate hike, the improvement in the stock loan-deposit rate spread is expected to slow down.

Loan rates, for which stock interest rate adjustments take place more slowly in a period of rate cuts, remained flat, while rate cuts had a more noticeable impact on the pricing of deposits, which have shorter maturities and are renewed faster than loans. During the December 2024-March 2025 period, the weighted average interest rate for outstanding loans was around 53%, while the stock deposit rate dropped by 5.7 percentage points to 40.7%. These developments led to an increase in the stock interest margin, and the interest rate spread excluding demand deposits moved into positive territory and exceeded its historical average. The interest-rate spread hit its highest level since 2022 when the demand deposit balance, which helps banks' cost management, is also taken into account (Charts IV.3.4 and 5). Flow loan and deposit rates went up following monetary policy tightening in March and April. While the implications of these developments on stock interest rates are not yet clear, the improvement in the stock interest rate spread may slow in the upcoming period.

Chart IV.3.4: TL Loan and Deposit Rates
(Stock, %)

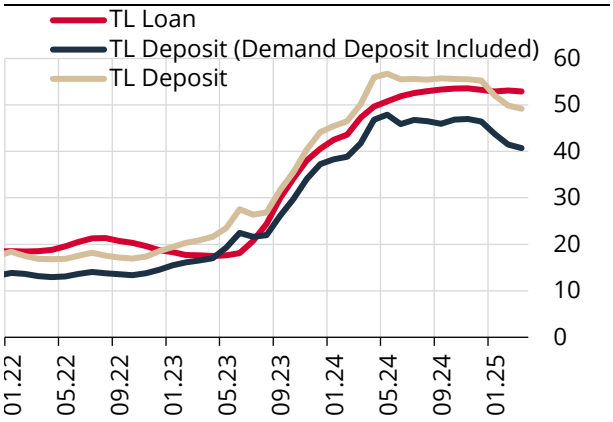
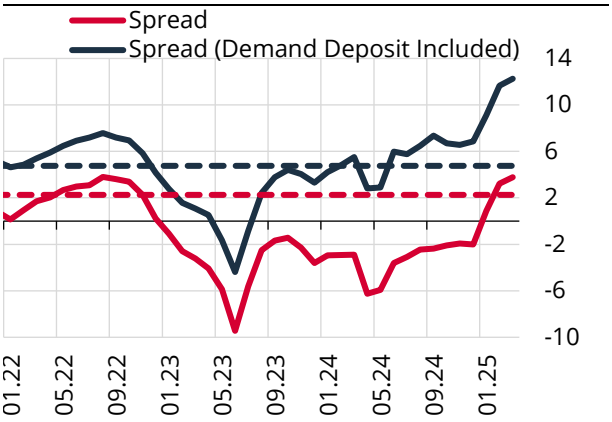


Chart IV.3.5: TL Loan-Deposit Rate Spread
(Stock, %)



Source: CBRT Last Observation: 03.25

Note: Participation banks are excluded. Deposit rates exclude banks' deposits. Loan rates include retail and commercial loans, including credit cards and overdraft accounts. Dashed lines show the 2013-2021 average.

The maturity mismatch between banks' interest rate-sensitive assets and liabilities remained below its historical average.

The weighted average maturity of banks' interest rate-sensitive TL assets shortened by 0.8 months compared to September 2024 to 12.7 months, while the weighted average maturity of interest rate-sensitive TL liabilities remained flat at five months (Chart IV.3.6). The shortening in the maturity of TL assets was mainly driven by TL securities. Moreover, due to changes in banks' loan and securities portfolio as well as derivatives, the maturity of FX-denominated interest rate-sensitive assets shortened compared to the previous reporting period to 16.8 months. Meanwhile, the weighted average maturity of FX liabilities shortened by 2.2 months to 12 months due to subordinated transactions being redeemed early and converted into TL (Chart IV.3.7). Thus, the weighted average maturity mismatch remained below the historical average both on the TL and FX sides and stood at 7.7 and 4.8 months, respectively (Chart IV.3.8).

Chart IV.3.6: Weighted Average Maturity of TL Assets and Liabilities (Month)

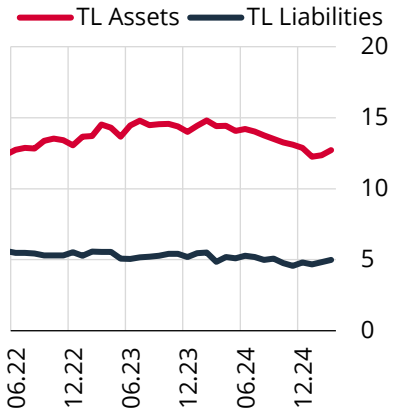


Chart IV.3.7: Weighted Average Maturity of FX Assets and Liabilities (Month)

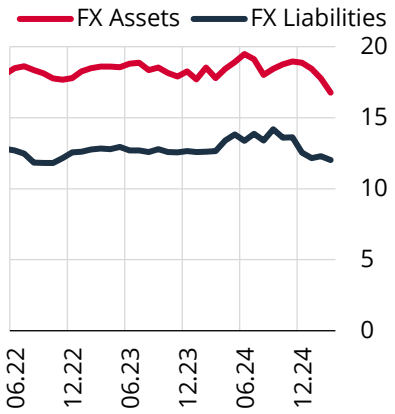
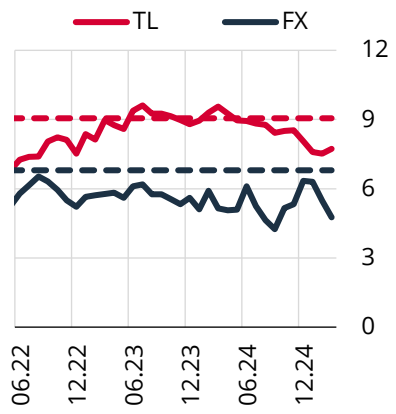


Chart IV.3.8: Weighted Average Maturity Mismatch Between Assets and Liabilities (Month)



Source: CBRT

Last Observation: 03.25

Note: Maturities show the repricing period. Weighted average maturities are calculated based on the mid-points of maturity brackets and the cash flows of related financial assets and liabilities. Dashed lines show the 2013-2020 average. Participation banks are not included. Banks can allocate core deposits, calculated based on demand deposits, across maturity brackets up to three years.

The share of fixed-rate TL loans declined, and their average maturity remained flat, while the share of fixed-rate TL securities increased, and their maturity shortened.

While the share of fixed-rate TL loans displayed a downward trend in the second half of 2024 and stood at 50%, the share of fixed-rate TL securities picked up in the first quarter of 2025 (Chart IV.3.9). The average maturity of fixed-rate TL securities has continued to the decline, while the average maturity of fixed-rate TL loans has been flat since the last quarter of 2024 (Chart IV.3.10). The shortening maturity of fixed-rate securities mitigates the impact of interest rate shocks on banks' balance sheets.

Chart IV.3.9: Interest Rate Structure of TL Securities and TL Loans (%)

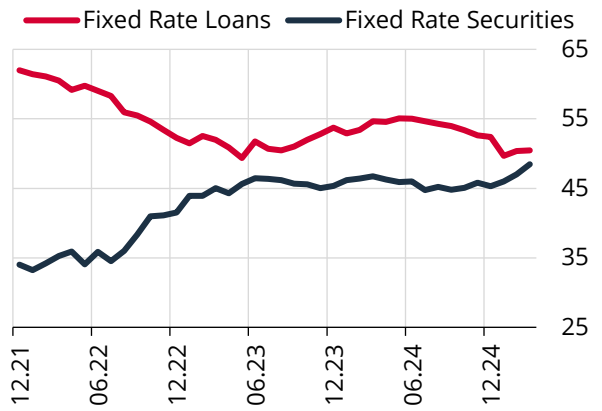
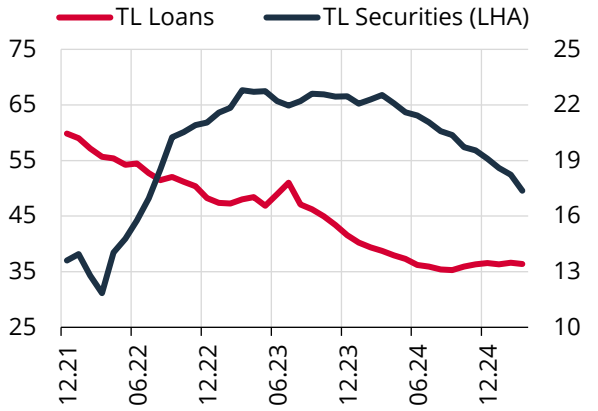


Chart IV.3.10: Maturity of Fixed-Rate TL Securities and TL Loans
(Remaining Maturity, Month)



Source: CBRT

Last Observation: 03.25

Note: Weighted average maturities are shown. Weighted average maturities are calculated based on the mid-points of maturity brackets and cash flows of fixed-rate TL loans. The maturity for TL securities is calculated based on total fixed-income securities held by banks. Participation banks are excluded.

While the share of TL securities in assets remained flat, the weight of securities classified by banks at fair value was on the rise.

The share of TL securities in bank assets is 9.8%, while that of fixed-rate TL securities is 5.1% (Chart IV.3.11). Since 2024, banks have opted to classify fixed-rate TL securities at fair value instead of amortized cost. The share of those valued at amortized cost in fixed-rate TL securities dropped to 45%, while that of the portfolio monitored at fair value reached 55% (Chart IV.3.12). Meanwhile, the share of CPI-indexed securities in the composition of floating-rate securities went down and the share of TLREF-indexed securities increased slightly.

Chart IV.3.11: Share of TL Securities in Assets
(%)

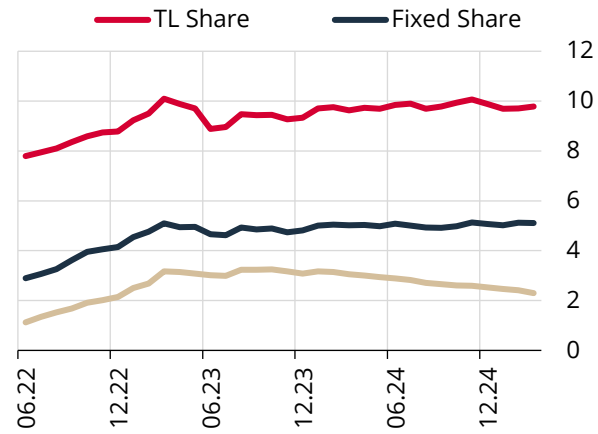
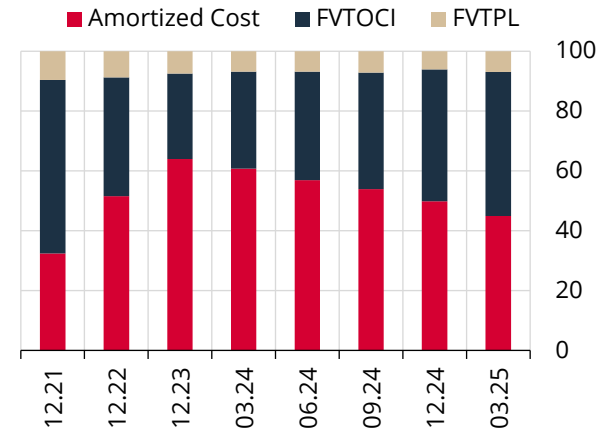


Chart IV.3.12: Fixed-Rate TL Securities
(%, Share in Total)



Source: CBRT

Last Observation: 03.2025

Note: FVTPL: Securities at fair value through profit or loss. Amortized Cost: Securities valued at amortized cost. FVTOCI: Securities at fair value through other comprehensive income. Non-interest-bearing securities are included in fixed interest-bearing securities.

While the gap between banks' TL assets and liabilities at maturities shorter than six months remained in negative territory, the positive position gap on the FX side increased.

Banks' sensitivity to changes in TL interest rates is mainly driven by their negative positions at three-month and shorter maturities based on the repricing period. The growth in TL deposits in the system concentrated in maturities of 0-1 month, and the rise in short-term TL funding obtained from financial institutions abroad caused the banking sector's TL-denominated negative position with maturities of 0-1-month to increase in comparison to the previous reporting period. The shift from FX-protected deposits at relatively longer maturities to TL deposits resulted in a widening of the TL asset-liability gap, which was already high at 3-6-month maturities (Chart IV.3.13). On the FX side, banks' positive position with maturities of 0-6-months curbs their sensitivity to changes in FX interest rates. While FX loan disbursements in the 0-1-month maturity bracket increased reserve requirement balances, and the rise in banks' accounts at correspondent banks played a role in the rise in the long position, depositors' preference for FX deposits in March limited this rise in the 0-1-month maturity bracket. The decrease in FX borrowing from banks in the 3-6-month maturity bracket and the increase in the banks' securities portfolio widened the positive position gap in the 3-6-month maturity bracket (Chart IV.3.14).

Chart IV.3.13: TL Asset-Liability Gap Analysis (%, 3-Month MA)

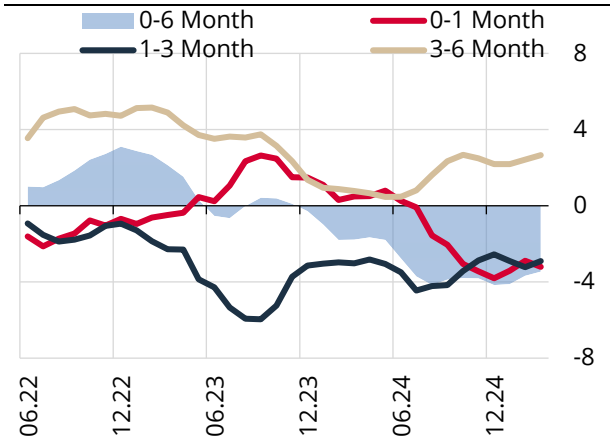
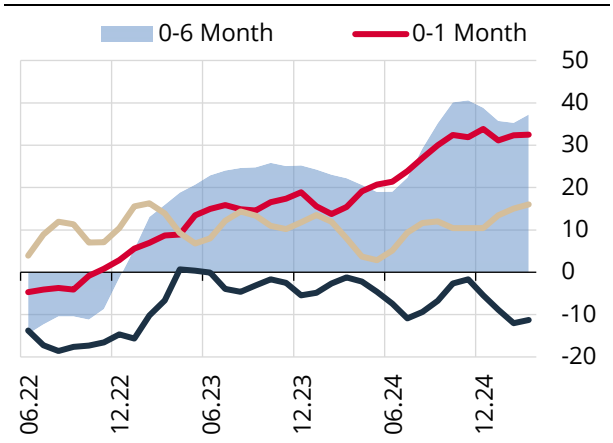


Chart IV.3.14: FX Asset-Liability Gap Analysis (Billion USD, 3-Month MA)



Source: CBRT Last Observation: 03.25

Note: Participation banks are excluded. Accounts without any maturity are excluded.

The banking books' sensitivity to TL and FX interest rate shocks is limited.

According to the standard interest rate risk measurement approach, in the case of an upward shock of 500 basis points in TL interest rates and 200 basis points in FX interest rates, the likely loss arising from banking books remains quite limited for FX. The sector's sensitivity to TL interest rate shocks, on the other hand, stands at 4.5% of the regulatory capital as of March 2025, well below the historical average (Chart IV.3.15).[2] Since December 2024, no bank has incurred a loss of 10% or more of its regulatory capital under any TL interest rate shock scenario (Chart IV.3.16). Accordingly, the sector appears to have an interest rate risk outlook and balance sheet structure aligned with regulatory limits.

Chart IV.3.15: Loss-to-Capital Ratio After Positive Interest Rate Shock (Banking Books, %)

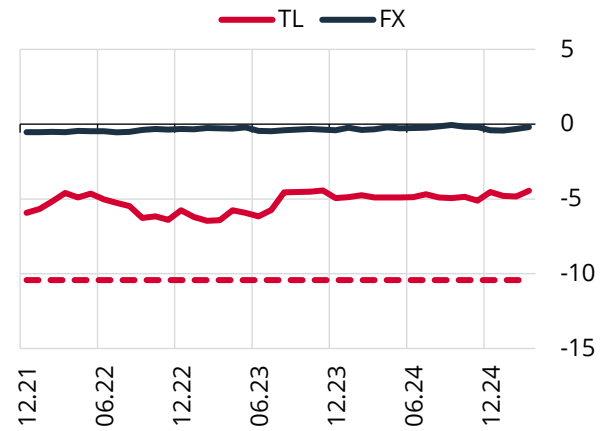
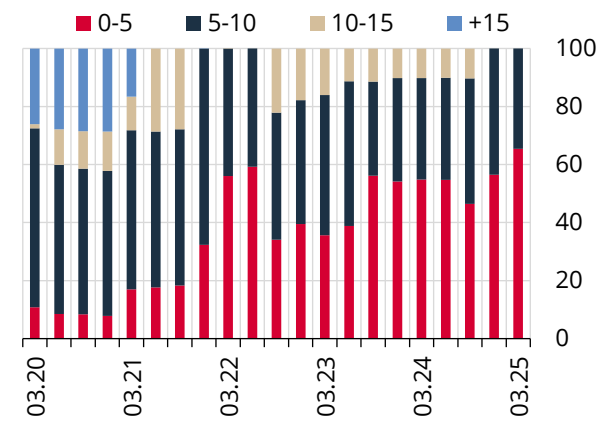


Chart IV.3.16: Asset Shares of Banks by Loss-to-Capital Ratio Intervals After TL Interest Rate Shock (%)



Source: CBRT Last Observation: 03.25

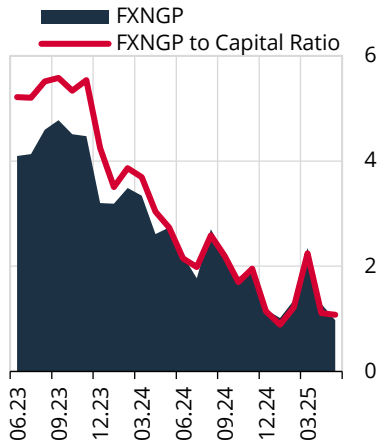
Note: The economic value approach takes account of the change in the present value of interest rate-sensitive assets and liabilities in the face of a change in the interest rate. The yield curve is assumed to display a parallel upward movement of 500 bps in a TL interest rate shock and 200 basis points in an FX interest rate shock. Losses under the interest rate shock scenario are divided into brackets. The total assets of banks in each bracket are proportional to the total assets of the sector. Participation banks are excluded. Dashed line represents the 2013-2020 average.

[2] Under the BRSA's Regulation on the Measurement and Assessment of the Interest Rate Risk in the Banking Book via the Standard Shock Method, the interest rate risk-driven loss to regulatory capital ratio cannot exceed 20%.

The sector's foreign exchange net general position (FXNGP)/capital ratio remains within legal limits, and banks are resilient to exchange rate risk.

The sector has an FXNGP surplus of approximately USD 1 billion, while the FXNGP/capital ratio is at 1.1%, well within the legal limits (Chart IV.3.17).[3] While the number of banks with FX short position has increased since the previous reporting period, the share of those with FX long position in total assets in the sector stood at 64% as of May (Chart IV.3.18). The sector's FX long position dropped by USD 1.1 billion compared to the previous reporting period. On-balance sheet short position increased by USD 8.7 billion to USD 24.7 billion, while off-balance sheet long position rose by USD 7.6 billion to USD 25.7 billion (Chart IV.3.19). On-balance sheet changes were mainly driven by developments in FX loans, deposits, and external debt, and off-balance sheet changes by developments in currency swap transactions.

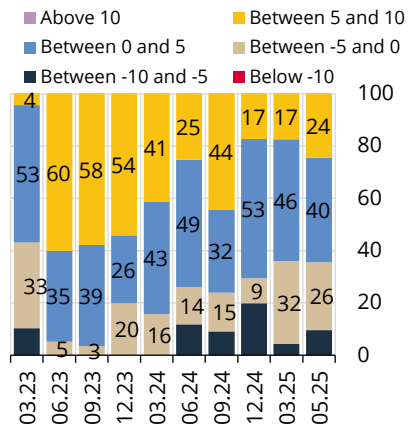
Chart IV.3.17: FXNGP/Capital Ratio and FXNGP (Billion USD, %)



Source: CBRT

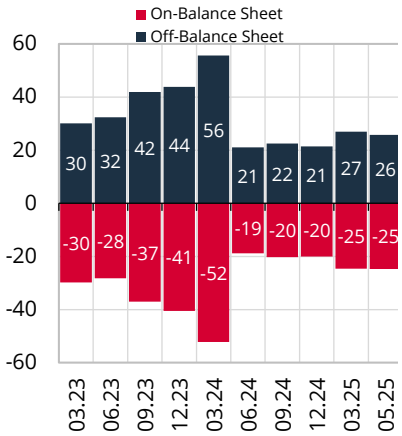
Note: Weekly simple arithmetic mean of FXNGP/Capital ratio is calculated.

Chart IV.3.18: Total Asset Shares of Banks by FXNGP/Capital Ratio (%)



Note: Asset aggregates of March are used in March 2025 and May 2025 calculations.

Chart IV.3.19: Banks' FX Position (Billion USD)



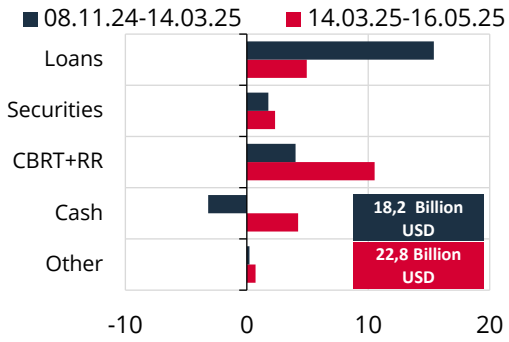
Last Observation: 16.05.25

The widening of on-balance sheet short position was mainly driven by FX deposit developments.

Compared to the previous reporting period, FX liabilities and FX assets increased by approximately USD 50 billion and USD 41 billion, respectively (Charts IV.3.20 and 21). FX deposits accounted for a significant portion of the rise in FX liabilities. FX deposits increased by USD 27 billion during the November 2024-May 2025 period. This period saw the continuation of the favorable outlook in banks' external borrowing conditions that started with the tight monetary policy stance, and banks continued to borrow through instruments such as bilateral loans and Eurobond issuances. Moreover, the increase in banks' external borrowing-driven liabilities totaled approximately USD 20 billion. Meanwhile, FX loans went up by USD 20 billion due to the strong FX loan utilization, particularly in the period leading up to March 2025. The growth in required reserves driven by climbing FX deposits as well as the rise in CBRT accounts and banks' free accounts at correspondent banks abroad were other notable developments restraining on-balance sheet short position.

[3] The regulatory limit for the FXNGP/capital ratio, which was formerly 20%, was decreased to 5% with an amendment published in the Official Gazette of December 10, 2022, and took effect on January 9, 2023, but was raised to 10% on March 9, 2023.

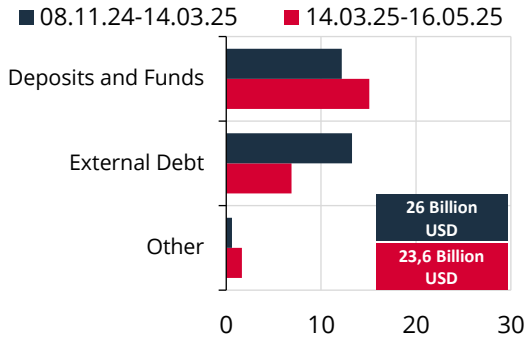
Chart IV.3.20: Change in Banking Sector's On-Balance Sheet FX Assets (Billion USD)



Source: CBRT

Note: Cash also includes receivables from domestic and foreign banks, reverse repo transactions and money markets. Loans are gross loans.

Chart IV.3.21: Change in Banking Sector's On-Balance Sheet FX Liabilities (Billion USD)



Last Observation: 16.05.25

Note: Excludes banks' deposits. External debt includes loans from abroad, securities issued, subordinated debt, and funds from repo transactions.

Banks managed the rise in on-balance sheet short position by expanding their off-balance sheet long position. Developments in the off-balance sheet position were mainly driven by currency swap and forward FX transactions.

A significant portion of off-balance sheet transactions involves currency swap transactions. Banks have also been engaging in forward FX transactions in recent months (Chart IV.3.22). Since the last reporting period, banks' net off-balance sheet assets have expanded by approximately USD 7.6 billion. This change was mainly driven by the USD 6.6 billion increase in currency swap transactions, followed by forward FX purchases amounting to USD 1.1 billion. Currency swap transactions with non-residents declined in this period, especially in March and the months that followed. The TL excess liquidity in the system started to decline in March, and then subsequently, TL liquidity shortfall has emerged. Moreover, banks' FX liquidity improved as FX loan growth slowed despite increased FX deposits. As a result, reverse swap transactions with the CBRT declined significantly, leading to an increase in banks' currency swap position. On the other hand, banks were positioned as FX buyers at maturity in forward FX transactions in the period before March 14, but the expansion in off-balance sheet long position was restrained by the subsequent reduction in buy-side transactions (Chart IV.3.23).

Chart IV.3.22: Banks' Off-Balance Sheet FX Assets (Billion USD)

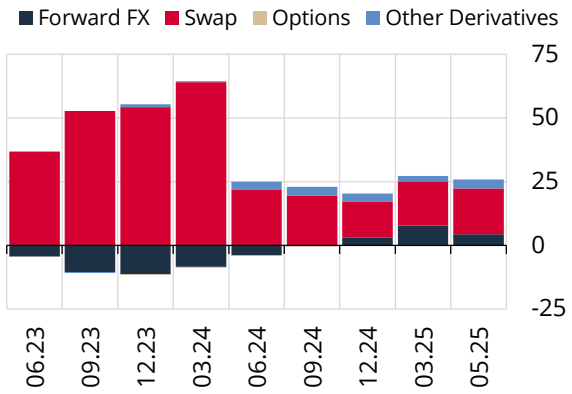
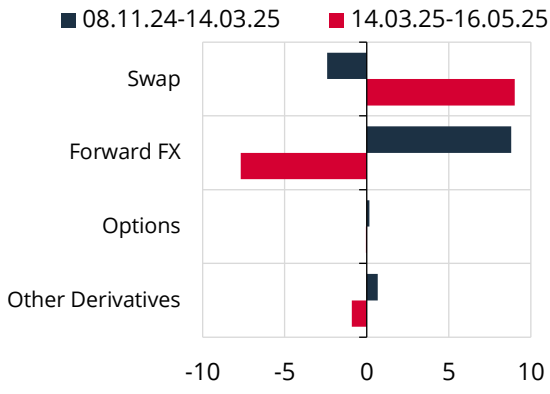


Chart IV.3.23: Banks' Off-Balance Sheet FX Position (Change, Billion USD)



Source: CBRT

Last Observation: 16.05.25

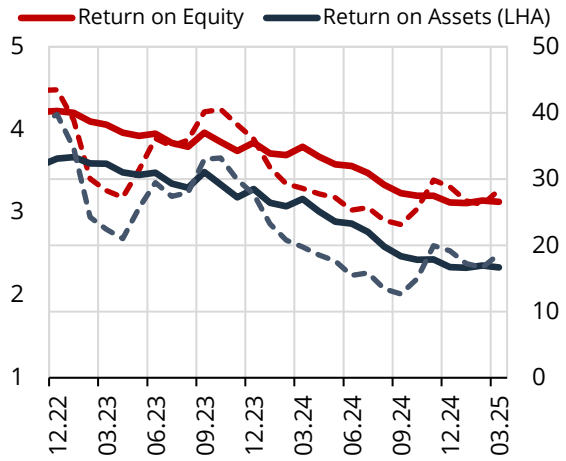
Note: Shows banks' FX buying positions at maturity. Currency options refer to the delta equivalent of currency options for this period. Forward FX position also includes FX position with a value date up to two days.

IV.4 Profitability and Capital Adequacy

Banking sector profitability has posted a slight recovery.

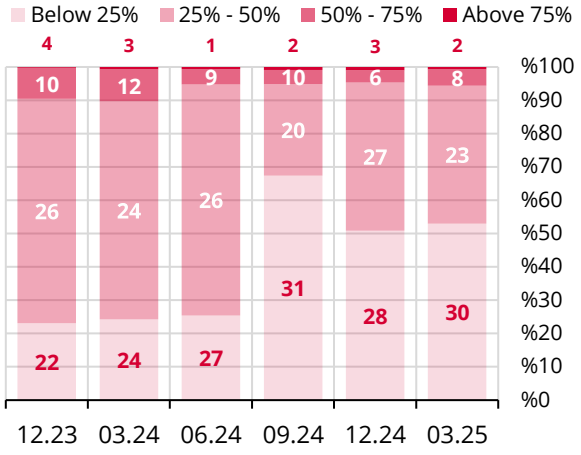
The fact that the negative impact of the previous period's interest rate hikes on stock interest margins through the repricing channel faded as of the last quarter of 2024, as well as the positive effect of rate cuts totaling 7.5 points from December 2024 to March 2025 on interest margins favorably affected net interest income and quarterly profitability. The sector's annualized quarterly return on equity and return on assets dropped to 23.2% and 2% as of the third quarter of 2024 but rose to 28.4% and 2.5% as of the first quarter of 2025, respectively (Chart IV.4.1). Additionally, banks' return on equity as a share of the sector's asset size was concentrated below 25% in the third quarter of 2024, while the asset share of banks that remained between the 25% and 50% range in the last two quarters has recorded a recovery (Chart IV.4.2).

Chart IV.4.1: Return on Equity and Assets (12-Month, %)



Source: CBRT Last Observation: 03.25

Chart IV.4.2: Distribution of Return on Equity (12-Month, % Asset Share, Number of Banks)



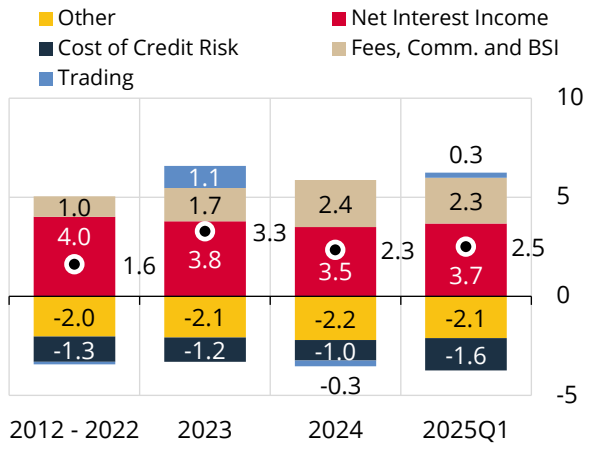
Source: CBRT Last Observation: 03.25

Note: Dashed lines show annualized three-month rates of the relevant series.

The improvement in banks' profitability was predominantly driven by net interest income.

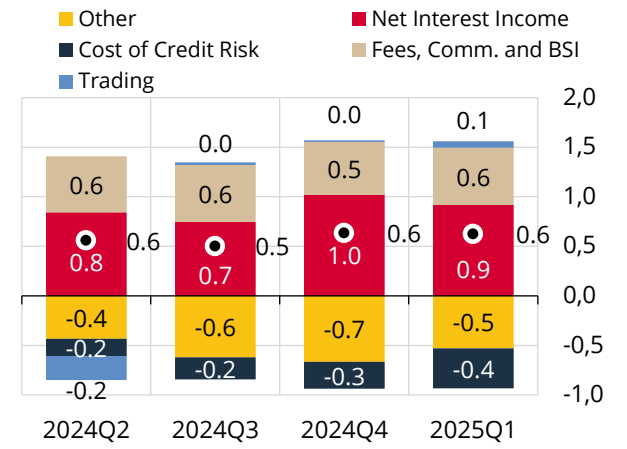
While the rise in annualized return on assets in the first quarter of 2025, albeit limited compared to 2024, was mainly driven by the improvement in net interest income, the strong course of the banking sector fees, commissions and services income also continued to support banks' profitability. However, the increase in provision costs allocated for loans restricted the improvement in profitability (Charts IV.4.3 and IV.4.4).

Chart IV.4.3: Components of Return on Assets
(Annualized, % Points)



Source: CBRT Last Observation: 03.25

Chart IV.4.4: Components of Return on Assets
(3-Month, % Points)



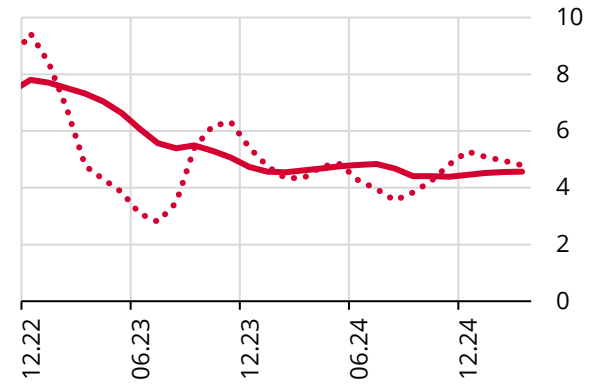
Source: CBRT Last Observation: 03.25

Note: Profits from capital market and foreign exchange transactions are defined as trading profit. Profit from capital market transactions is the sum of profits from trade of securities, commissions for buying/selling bonds and stocks, income from securities mutual fund, profit and loss sharing certificates, income linked securities, and revaluation gains. Profit from foreign exchange transactions is the sum of arbitrage profits, profits from foreign exchange buying/selling and revaluation, profits from precious metal buying/selling and revaluation, increase in the value of principal amount of FX-indexed loans and financial leasing receivables and FX indexed securities due to increase in foreign exchange rates. Cost of credit risk is the sum of general and specific loan provisions. Other profit/loss is mostly composed of non-interest income and expenditure items. Data for the 2012-2022, 2023-2024, and 2025Q1 periods show the annual average values in the relevant period, 12-month realizations, and annualized values, respectively.

The improvement in loan-deposit rate spread contributed to the mild recovery in net interest margin.

Having declined to 3.6% in August 2024, the three-month annualized net interest margin picked up afterwards and reached 5.3% in December 2024. The sector's net interest margin decreased slightly in the first quarter of 2025 but still remains significantly above the 2024 figures, standing at 4.8% (Chart IV.4.5). The loan-deposit interest margin which was in negative territory in the last quarter of 2024, moved into positive territory in the first quarter of 2025, while the continued improvement in other interest income has also positively affected net interest income (Chart IV.4.6). Moreover, the sector's profitability is boosted by measures taken within the macroprudential policy framework such as the increase in the remuneration rate applied to required reserves maintained for TL deposits, the continued increase of remunerated required reserve base due to transition from KKM accounts to TL deposits, and the reduction of the ratio for TL-denominated required reserves maintained for FX deposits, as well as by the interest income from money market transactions.

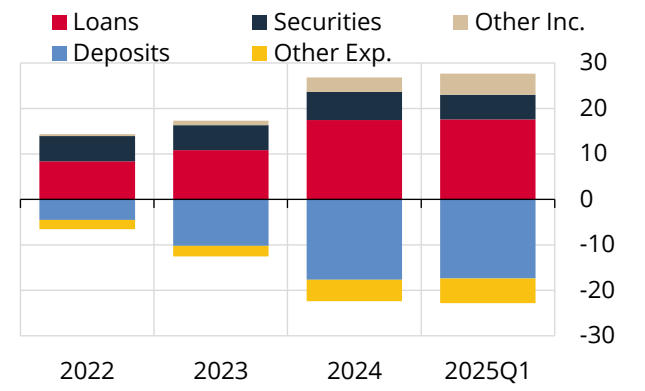
Chart IV.4.5: Net Interest Margin
(Annualized, %)



Source: CBRT Last Observation: 03.25

Note: The dashed line shows the annualized three-month net interest margin.

Chart IV.4.6: Components of Net Interest Margin
(Annual, 3-Month Annualized, %)



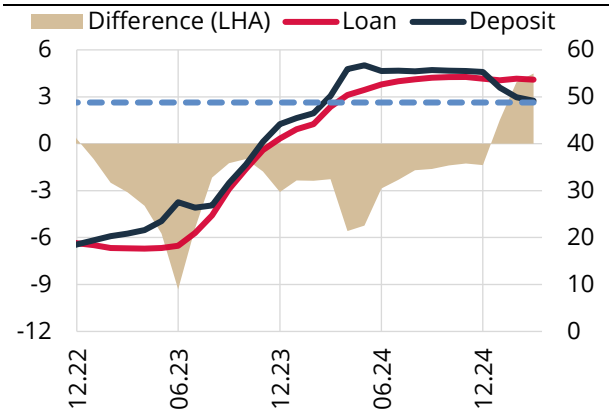
Source: CBRT Last Observation: 03.25

Note: Data for 2025Q1 denotes annualized values.

While loan-deposit rate spreads remain above long-term averages, the rate hikes in March and April are expected to slow the improvement in the loan-deposit rate spread.

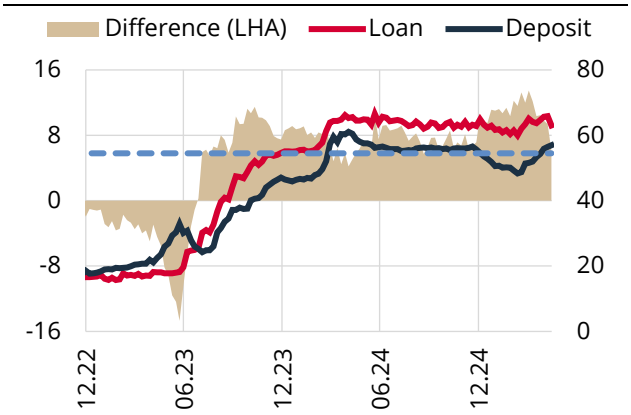
The stock TL loan-deposit rate spread, which had been negative since the end of 2022, turned positive in the last quarter of 2024 and exceeded its long-term average in the first quarter of 2025 (Chart IV.4.7). The pass-through from policy rate hikes in 2023 and the first quarter of 2024 to stock loan rates was completed in the last quarter of 2024 as loan maturities are longer than deposit maturities. Moreover, rate cuts from December 2024 through early March 2025 also supported the improvement in the TL loan-deposit rate spread. In the first quarter of 2025, the fall in deposit rates surpassed that in loan rates due to expectations of policy rate cuts, and the interest rate spread in new loans increased. The rise in CBRT lending rates starting from the second half of March affected TL loan and deposit rates to a similar extent, while no significant change was observed in flow data of loan-deposit rate spreads and this indicator remained above its long-term average (Chart IV.4.8). However, as it will take longer for rate hikes to be reflected in the pricing of longer-term stock loans than deposits, the rate hikes are likely to have a negative effect on stock loan-deposit rate spread through the repricing channel.

Chart IV.4.7: TL Loan – Time Deposit Rate Spread (Stock, %)



Source: CBRT Last Observation: 03.25

Chart IV.4.8: TL Loan – Time Deposit Rate Spread (Flow, %)



Source: CBRT Last Observation: 16.05.25

Note: Dashed lines show historical averages of the 2012-2021 period.

Banks' cost of credit risk increased, while fees, commissions and services income continued to support the sector's profitability.

Banks' cost of credit risk remained below its long-term average in 2024 due to the cancellation of loan provisions that were increased as a result of prudent policy stance in 2022 and 2023, while it rose to 3.6% in the first quarter of 2025 (Chart IV.4.9). The ratio of net fees, commissions and banking services income to assets continued to increase throughout 2024, and remained flat in the first quarter of 2025 (Chart IV.4.10). Although the relatively slow course of credit card spending in the first quarter of the year led to a decline in non-interest income from credit cards in this period, this income item remains a decisive factor in net fees, commissions and banking services income (Chart IV.4.11).

Chart IV.4.9: Cost of Credit Risk (Annual, 3-Month Annualized, %)

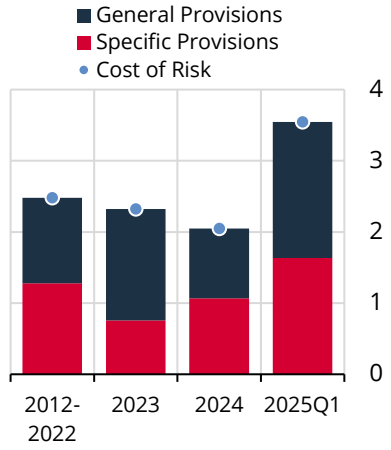


Chart IV.4.10: Ratio of Net Fees, Commissions and Services Income to Assets (3-Month, Annualized, TRY Billion, %)

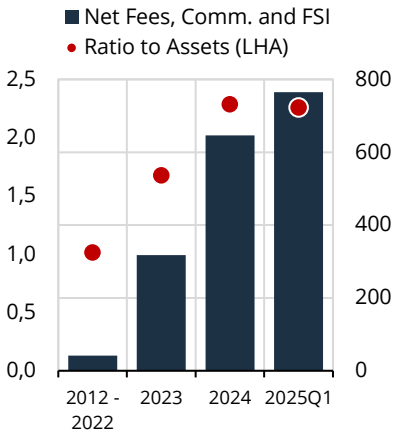
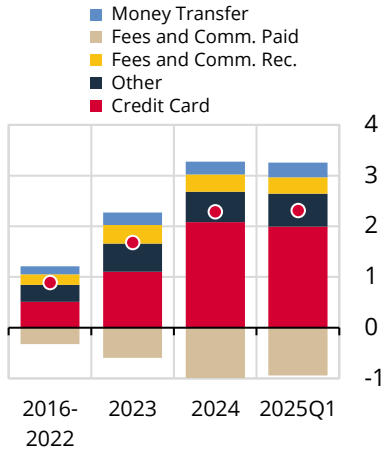


Chart IV.4.11: Distribution of Ratio of Net Fees, Commissions and Services Income to Assets (Annual, 3-Month Annualized, %)



Source: CBRT

Note: The cost of risk is the ratio of annual specific and general provision to the average gross loan amount for the respective period. 2025Q1 data represents annualized values.

Last Observation: 03.25

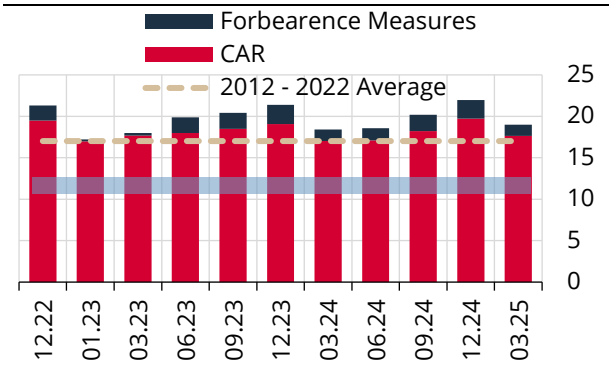
Note: 2025Q1 data represents annualized values.

The capital structure of the banking sector is strong enough to cover unexpected losses.

As of March 2025, the banking sector's capital adequacy ratio (CAR) and core CAR stood at 17.6% and 13.8%, respectively. The BRSA revised its forbearance measures for calculation of capital ratios on December 19, 2024. Accordingly, the high risk-weight for cash commercial loans extended since May 2022 was aligned with the Basel standards and these loans, also including the loans extended before the date of revision, were made subject to the risk weights specified in the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks. In addition, it was stipulated that as of the beginning of 2025, the exchange rate on June 28, 2024 instead of June 26, 2023 would be used in the calculation of risk-weighted amounts for FX items as per the regulation. While the reduction of risk weights had an upward contribution to CAR, the downward effect of the exchange rate arrangement was stronger. Excluding the forbearance measures, the sector's CAR is 16.3% and core CAR is 12.6%. Despite a moderate decline in the current Report period, capital adequacy ratios of all banks are above the regulatory thresholds and close to their long-term averages (Charts IV.4.13 and IV.4.14).[1]

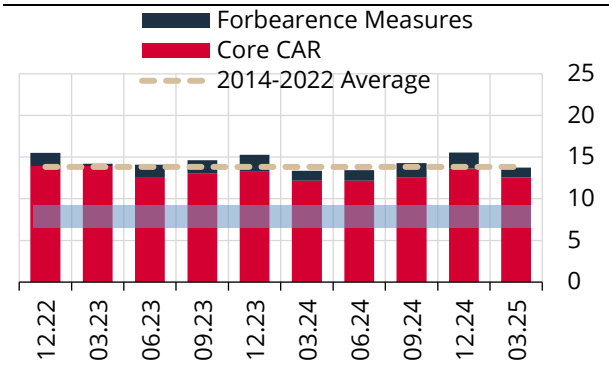
[1] Legal ratios are the sum of bank-specific countercyclical capital buffer, capital conservation buffer, and systemically important bank buffer ratios, in addition to the minimum ratio of 8% as per Basel III regulations. In Türkiye, the countercyclical capital buffer ratio is 0%, the capital conservation buffer ratio is 2.5%, and the systemically important bank buffer ratio is between 1% and 2%. Thus, the minimum consolidated ratios that banks are required to meet for CAR vary between 10.5% and 12.5% depending on the systemic importance of the bank. On the other hand, these ratios may be slightly higher than the countercyclical capital buffer calculated according to banks' exposures in other jurisdictions.

Chart IV.4.13: Capital Adequacy Ratio (%)



Sources: BRSA, CBRT Calculations

Chart IV.4.14: Core Capital Adequacy Ratio (%)



Last Observation: 03.25

Note: Red bars indicate CAR and core CAR excluding BRSA forbearance measures. The lower bound of the shaded area shows the minimum legal ratio including the capital conservation buffer, and the upper bound of the shaded area shows the minimum legal ratio including the capital buffer of systemically important banks.

Credit risk weights, which are applied more prudently in Türkiye, have been aligned with international standards.

While the Basel standards recommend a 100% risk weight for non-internal ratings-based corporate receivables and a risk weight between 20% and 150% for internal ratings-based corporate receivables, the risk weight applied to commercial loans (excluding agricultural, SME, investment and export, government, and financial sector loans as well as corporate credit cards) extended after May 1, 2022 was raised to 200% in Türkiye. With the BRSA decision of December 19, 2024, the risk weight was lowered to the Basel standards level so as to cover all loan balances (Table IV.4.1). After the change in credit risk weights, there remained no item with a 200% risk weight in the distribution of risk-weighted items (Chart IV.4.15). The return to Basel standards for the cash commercial loans drove the sector's capital adequacy ratio up by approximately 60 bps. On the other hand, the exchange rate flexibility had a positive impact of 155 bps on CAR in September, while the related impact originating from the exchange rate revision declined to 82 bps in March.

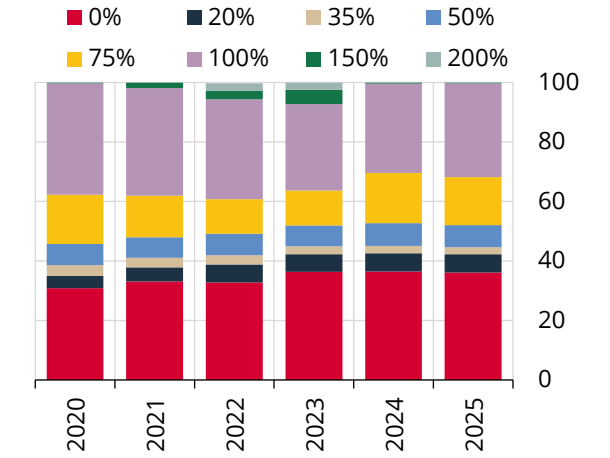
Table IV.4.1: Credit Risk Weights (%)

	Basel Practice	Pre-Regulation	20.09.2024	19.12.2024
Credit Cards				
1-6 month (inc.) maturity	75	150	**75**	75
> 6-month maturity	75	150	**75**	75
Vehicle Loans				
All maturities	75	150	**75**	75
General Purpose Loans				
1-12 month (inc.) maturity	75	150	**75**	75
>1-year maturity	75	150	**75**	75
Housing Loans				
First house	35	35	35	35
Other houses	35	150	**35**	35
Commercial Loans				
Large Firms*	100	200	200	**100**
SME	75	75	75	75

Source: BRSA

Note: The risk weight for agricultural, investment and export loans of large firms, and government and financial sector loans as well as for corporate credit cards is 100%.

Chart IV.4.15: Distribution of Risk-Weighted Items by Risk Weights (%, Standardized Approach)



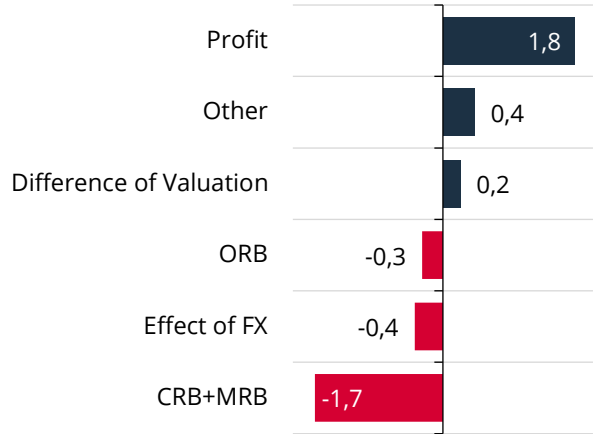
Sources: CBRT, BRSA

Last Observation: 03.25

Banks continue to support their capital adequacy ratios through profit generation and issuance of external subordinated debt instruments.

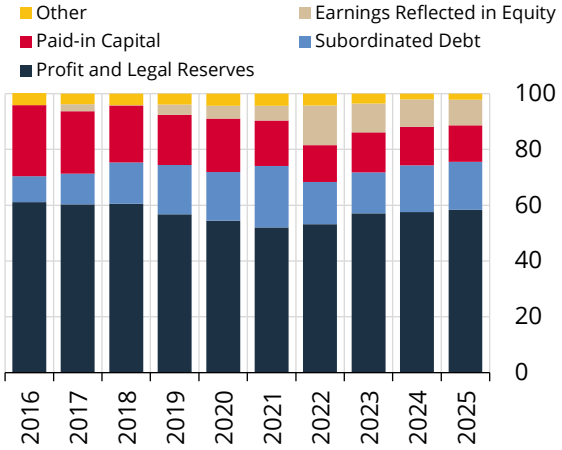
In the September 2024–March 2025 period, profit generation and subordinated debt issuance increased CAR by 1.76 and 0.26 points, respectively. Loan growth, the annual revision in operational risk-weighted amounts, and the rise in the exchange rate led to an increase in risk-weighted assets and a decrease in CAR, while profit generation, subordinated debt issuance tracked under the "other" item, and valuation differences boosted CAR (Chart IV.4.16). The return to Basel standards through the lowering of credit risk weights of large-scale firms limited the negative impact of the rise in credit risk-weighted amounts on capital adequacy. Thus, excluding the BRSA's forbearance measures, CAR increased somewhat. While core capital accounts for 78% of the banking sector's regulatory capital, profit and legal reserves stand out with a share of 58% in the composition of regulatory capital. On the other hand, FX-denominated subordinated debts provide banks with instrument diversity as well as protection from exchange rate increases through the valuation effect. With improved external financing conditions and increased interest from foreign investors, banks continue to issue additional Tier 1 and Tier 2 subordinated debt instruments. In cumulative terms, banks issued net USD 5.6 billion worth of subordinated debts in 2024 and 2025. Accordingly, the share of the sector's subordinated debt in equity rose by 2.6 points from end-2023 to 17.3% (Chart IV.4.17).

Chart IV.4.16: Contributions to Change in CAR
(Excluding BRSA Forbearance Measures, %)



Sources: BRSA, CBRT
Note: Excluding forbearance measures, the sector's CAR was 16.2% in September 2024, while it inched up to 16.3% in March 2025.

Chart IV.4.17: Composition of Regulatory Capital (%)



Sources: BRSA, CBRT Last Observation: 03.25
Note: Share premiums are included in paid-in capital. "Other" covers other equity items, with general provisions having a larger weight.

Banks continue to maintain above-threshold capital buffers.

In the last quarter of 2024, the banks' excess capital and the ratio of excess capital to risk-weighted assets both increased. This is attributed to banks' appetite for lending as well as exchange rate and interest rate developments, and the alignment of retail and commercial loan risk weights with international standards. In the first quarter of 2025, on the other hand, these indicators recorded a decline due in part to the rise in the level of the exchange rate used in the calculation of risks (Charts IV.4.18 and IV.4.19). Excess capital enhances banks' capacity to absorb possible risks and shocks in the short and medium term. It also helps banks to provide steady funding to households and firms during the slowdown and contraction episodes of the economy. Banks' loss absorbency capacity is bolstered by discretionary free provisions amounting to TRY 60 billion, in addition to capital buffers.

Chart IV.4.18: Banks' Excess Capital Buffer (%)

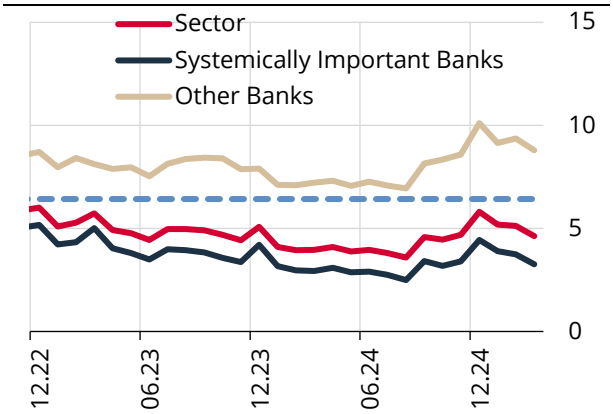
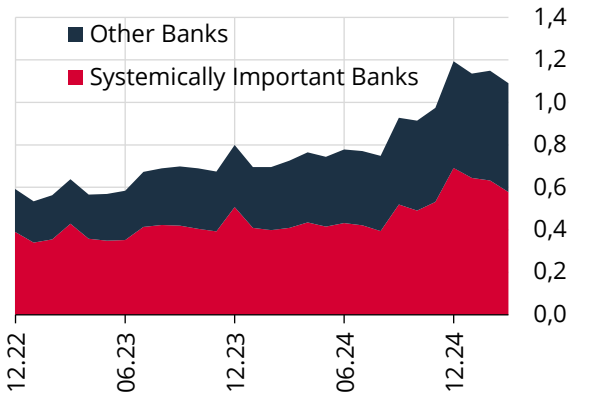


Chart IV.4.19: Banks' Excess Capital Buffer (TRY Trillion)



Sources: BRSA, CBRT

Last Observation: 03.25

Note: CARs excluding BRSA forbearance measures are used. The calculation of excess capital buffers includes the systemically important bank buffer, capital conservation buffer, and bank-specific countercyclical capital buffer in addition to the 8% regulatory limit. The dashed line denotes the average of the 2014-2022 period.

Box IV.5: Steps for Effective Functioning of Financial Markets

This box presents, under main headings, a summary of measures and policy steps implemented in the current reporting period to strengthen macro financial stability and contribute to the functioning of market mechanisms.

Table IV.5.1: Key Measures and Regulations for Financial Markets

1. Policy Rate and Central Bank's Liquidity Management

Announcements /Regulation Date	Measure / Regulation
05.12.2024	Haircuts on collateral applicable to the Open Market Operations, Interbank Money Market and Foreign Exchange Market operations were revised for the CPI-indexed GDDS and lease certificates from 80% to 30%.
13.12.2024	FX collateral deposit buying rates for the euro were reduced from 3.50% to 3.25% for all maturities.
19.12.2024	FX collateral deposit buying rates for the US dollar were reduced from 4.75% to 4.50% for all maturities, and the remuneration rate paid for the excess amount over required reserves for notice FX deposit accounts was lowered from 3.75% to 3.50%.
26.12.2024	The one-week repo auction rate was reduced from 50% to 47.5%.
26.12.2024	The total interest cost of rediscount credits for export and foreign exchange earning services was reduced to 29.93%.
23.01.2025	The one-week repo auction rate was reduced from 47.5% to 45%.
31.01.2025	FX collateral deposit buying rates were reduced from 3.25% to 2.75% for the euro, and from 4.50% to 4.25% for the US dollar for all maturities. The remuneration rate paid for the excess amount over required reserves for notice FX deposit accounts was lowered from 3.50% to 3.00%.
06.03.2025	The one-week repo auction rate was reduced from 45% to 42.5%.
12.03.2025	FX collateral deposit buying rates for the euro were reduced from 2.75% to 2.50% for all maturities.
20.03.2025	The CBRT initiated Turkish lira-settled foreign exchange forward selling transactions to ensure the sound functioning of the foreign exchange market, prevent possible volatilities in exchange rates and stabilize foreign exchange liquidity.
20.03.2025	The CBRT raised its overnight lending rate to 46%, suspended the one-week repo auctions temporarily and began to conduct eight-week TL deposit buying auctions.
21.03.2025	The CBRT started to issue liquidity bills with maturities up to 91 days.
17.04.2025	The CBRT raised the one-week repo auction rate from 42.5% to 46%, the overnight lending rate from 46% to 49%, and the overnight borrowing rate from 41% to 44.5%.
17.04.2025	The one-week repo auctions that were suspended on March 20, 2025 were resumed.
22.04.2025	FX collateral deposit buying rates for the euro were reduced from 2.50% to 2.25% for all maturities.

2. Reserve Requirements

Announcement/Regulation Date	Measure / Regulation
19.12.2024	The duration for the application of the reserve requirement ratio of 0% for foreign currency liabilities with maturities longer than six months was extended until the end of 2025, and the scope was narrowed to include liabilities other than deposits/participation funds with maturities longer than one year.
20.12.2024	- The total target for KKM accounts' transition to TL and renewals has been reduced from 70% to 60%. - The remuneration of reserve requirements maintained for KKM accounts was terminated for new KKM accounts or for those to be renewed.
04.01.2025	Regarding the loan growth-based reserve requirement practice, - The monthly growth limit for foreign currency commercial loans was reduced from 1.5% to 1%. - The 2% monthly growth limit for Turkish lira commercial loans was differentiated as 2.5% for SME loans and 1.5% for other commercial loans. - Turkish lira SME loans extended through the Small and Medium Enterprises Development Organization (KOSGEB) or in the scope of funding provided by international development finance institutions to support sustainability were exempted from the loan growth limit. - The scope of the loans made available for the earthquake region, which were exempt from the loan growth-based limits, was narrowed.
04.02.2025	Among banks' Turkish lira liabilities with maturities up to one year (including one year), the reserve requirement ratios were raised from 8% to 12% for - Funds from repo transactions abroad, - Loans obtained from abroad, and - Deposits/participation funds from banks abroad.
15.02.2025	KKM accounts held by legal entities were excluded from the targets for KKM accounts' renewal and transition to TL.
01.03.2025	Regarding the loan growth-based reserve requirement practice, - The monthly growth limit for foreign currency commercial loans was reduced from 1 % to 0.5%. - Loans extended to the earthquake region, which were exempt from FX loan growth limits, were excluded from the exemption, and the scope of investment loans was limited to the purchase of machinery and equipment only.
27.03.2025	The target for transition from the KKM to the TL and the real person TL share target were suspended temporarily.
28.03.2025	The loan growth limits started to apply to overdraft accounts with more than three installments (excluding education and training fees), which were exempted from the loan growth-based reserve requirements for general-purpose loans extended to consumers.
11.04.2025	- The ratio for maintaining TRY required reserves in blocked accounts was increased by 10 points. - The decision to temporarily suspend the KKM-to-TL transition target was extended for another period.
26.04.2025	For required reserves maintained for Turkish lira deposits, the CBRT decided to apply a remuneration rate at 84% of its weighted average funding cost (WAFC).
03.05.2025	- Reserve requirement ratios for FX deposits were raised by 200 basis points for all maturities.

	- The reserve requirement ratio for funds that are derived from FX repo transactions with residents of a maturity up to one year was raised by 400 basis points and the calculation method was changed. - Banks were introduced a monthly growth target of 0.3 points for their legal person TL deposit shares lower than 60%. - The remuneration rate applied to required reserves maintained for Turkish lira deposits was raised from 84% to 86% of the CBRT's WAFC.
10.05.2025	The decision to temporarily suspend the KKM-to-TL transition target was extended for another period.
24.05.2025	The reserve requirement ratio of 12% applied to maturities up to one year for TL-denominated funds from repo transactions abroad and loans obtained from abroad was revised and differentiated by maturity as follows: - 18% for maturities up to one month, and - 14% for maturities up to three months.

3. Rediscount Credits and Foreign Exchange Earning Services

Announcement/Regulation Date	Measure / Regulation
13.12.2024	FX rediscount credits for export and FX earning services were made available to firms with Export Development (IGE) and Credit Guarantee Fund (KGF) guarantees.
26.12.2024	The rule that determines the discount rate for rediscount credits for export and foreign exchange earning services was updated to make loans available for exporters at more affordable costs.
03.05.2025	The minimum proportion of export proceeds to be sold to the CBRT was set at 35% until July 31, 2025.
03.05.2025	The rate of FX conversion support to promote conversion of firms' FX export proceeds to the TL was raised to 3% until July 31, 2025.

4. Deposits / Participation Funds and Payment Systems

Announcement/Regulation Date	Measure / Regulation
20.12.2024	The minimum interest rate applicable to KKM accounts was reduced from 70% to 50% of the policy rate.
20.01.2025	For KKM accounts converted from FX and gold, account openings and renewals at maturities of 6 and 12 months were terminated.
24.01.2025	The FAST Request-to-Pay Overlay Service, which had been available for individuals since 2024, was updated to allow for access by corporate users.
15.02.2025	Opening and renewal of all KKM (including YUVAM) accounts were terminated for legal entities.

5. Classification of Loans and Receivables, and Legal Ratio Limitations

Announcement/Regulation Date	Measure / Regulation
05.12.2024	Regarding consumer loans for purchase of mobile phones, - The maximum term was set at 12 months for mobile phones priced at or below TL 20,000 and three months for mobile phones priced above TL 20,000. - The maximum term for "refurbished products" was set at 12 months for mobiles priced at or below TL 25,000 and three months for those priced above TL 25,000.

19.12.2024	- The provisional rule in place for calculation of capital adequacy standard ratios for commercial cash loans was terminated and risk weights were shifted to Basel regulations level. - Effective from January 1, 2025, the regulation-stipulated exchange rate used in calculating the value at credit risk was replaced by the CBRT's FX buying rate of June 28, 2024.
13.02.2025	The maximum loan amount for consumer loans with a maximum term: - up to 36 months was raised from TL 50,000 to TL 125,000, - up to 24 months was raised from TL 50,000 – 100,000 to TL 125,000 – 250,000, - up to 12 months was raised from TL 100,000 to TL 250,000. Besides, the same term limits were decided to be used for loan restructuring.
06.03.2025	The limits on maximum terms and loan-to-value ratios determined based on the final invoice value for loans extended for electric motor vehicles produced by taxpayers under Provisional Article 12 of the Corporate Tax Law were revised as minimum TL 2,500,000 and maximum TL 7,500,000.
13.03.2025	For loans that development and investment banks can extend, limits on the ratio of the total risk amount of such loans to Tier 1 capital were set.

6. Other Regulations

Announcement/Regulation Date	Measure / Regulation
01.02.2025	The application of the withholding tax rebate on the interest earned from Turkish lira deposits and similar income was not extended and common withholding tax rates were adopted again. Accordingly, the withholding tax rates applied to the interest from deposits and dividends from participation accounts were raised: - from 10% to 15% for deposit accounts with maturity up to six months, from 7.5% to 12% for deposit accounts with maturity up to one year, and from 5% to 10% for deposit accounts with maturity longer than one year. - The same rates were applied to KKM accounts with the same maturities as specified above. The withholding tax rates for income and earnings from bonds and bills issued by banks, and income and earnings from lease certificates with these banks as the fund users were raised: - from 10% to 15% for income obtained from those with maturities up to six months, from 7.5% to 15% for the income obtained from those with maturities up to one year, and from 5% to 10% for the income obtained from those with maturities longer than one year. - from 10% to 15% for earnings derived from the disposal of those held less than six months, from 7.5% to 15% for earnings derived from the disposal of those held less than one year, and from 5% to 10% for earnings derived from the disposal of those held for more than one year. The withholding tax rates for income and earnings from asset-based securities, mortgage-based securities, mortgage-backed securities, and asset-backed securities issued by mortgage finance institutions were raised: - from 7.5% to 15% for those with maturities less than 365 days, and from 7.5% to 10% for those with maturities of 365 days and longer. The withholding tax rate on earnings from investment fund participation certificates was raised from 10% to 15%.
17.04.2025	The lower limit for the total risk in the banking sector, including credit, which was set at TL 500 million regarding the credit rating obligation of companies other than banks and financial institutions, was revised to TL 750 million

Abbreviations

USA	United States of America
WAFC	Weighted Average Funding Cost
OMO	Open Market Operations
BRSA	Banking Regulation and Supervision Agency
NBFI	Non-Bank Financial Institutions
IPS	Individual Pension System
BIS	Bank for International Settlements
BIST	Borsa Istanbul
PCC	Personal Credit Card
Bps	Basis Points
CDS	Credit Default Swap
GDS	Government Debt Securities
DDM	FX-Converted Deposit
GDDS	Government Domestic Debt Securities
ECB	European Central Bank
PMC	Pension Monitoring Center
EVDS	Electronic Data Delivery System
FAO	Food and Agriculture Organization
FAST	Instant and Continuous Transfer of Funds
EBITDA	Earnings Before Interest, Taxes, Depreciation and Amortization
FED	Federal Reserve System
FECR	Financial Expenses Coverage Ratio
FRED	Federal Reserve Economic Data
MA	Moving Average
RA	Revenue Administration
EMEs	Emerging Market Economies
GDP	Gross Domestic Product
FV	Fair Value
FVTOCI	Securities at fair value through other comprehensive income
FVTPL	Securities at fair value through profit or loss
AEs	Advanced Economies
MA	Moving Average
WMA	Weekly Moving Average
IFSB	Islamic Financial Services Board
IIF Finance	Institute of International
IILM	International Islamic Liquidity Management
IMF	International Monetary Fund
IGE	Export Development
CCI	Construction Cost Index
LDR	Loan-to-Deposit Ratio
PDP	Public Disclosure Platform
HPI	House Price Index
KGF	Credit Guarantee Fund
KKM	FX-Protected Deposit
ODA	Overdraft Account
CRB	Credit Risk Basis
SME	Small and Medium-Sized Enterprises
KOSGEB	Small and Medium Enterprises Development Organization
DIB	Development and Investment Banks
ST	Short-Term
LIBOR	London Interbank Offered Rate
LCR	Liquidity Coverage Ratio
MKK	Central Securities Depository of Türkiye
NACE	Statistical Classification of Economic Activities in the European Community

ODMD	Automotive Distributors' and Mobility Association
AES	Auto Enrollment System
Avg.	Average
MMF	Money Market Fund
MPC	Monetary Policy Committee
MRB	Market Risk Basis
SFR	System's Funding Requirement
SSI	Social Security Institution
SOFR	Secured Overnight Financing Rate
LHA	Left-Hand Axis
S&P	Standard & Poor's
CMB	Capital Markets Board of Türkiye
CAR	Capital Adequacy Ratio
BAT RC	Banks Association of Türkiye, Risk Center
CBRT	Central Bank of the Republic of Türkiye
TEFAS	Türkiye Electronic Fund Trading Platform
TFRS	Turkish Financial Reporting Standards
CTM	Committed Transactions Market
NPL	Non-Performing Loan
TL	Turkish Lira
TLREF	Turkish Lira Overnight Reference Rate
SDIF	Savings Deposit Insurance Fund
TOKİ	Housing Development Administration
TMM	Takasbank Money Market
CPI	Consumer Price Index
TURKSTAT	Turkish Statistical Institute
UIP	Uncovered Interest Rate Parity
etc.	et cetera
et al.	et alia
VIX	Chicago Board Options Exchange Volatility Index
AMC	Asset Management Companies
FX	Foreign Exchange
FXNGP	Foreign Exchange Net General Position
YUVAM	Deposit and Participation Scheme for Non-Resident Turkish Citizens
RR	Reserve Requirement